OECD

OECD ECONOMIC SURVEYS

1998

SPECIAL FEATURES

Implementing Structural Reform: A Review of Progress

Towards a Better Integration of Work and Welfare

Corporate Governance

UNITED KINGDOM

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ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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BASIC STATISTICS OF THE UNITED KINGDOM (1997)

THE LAND

Area (1 000 sq. km)	241
Agricultural area (1 000 sq. km)	184

Major cities, 1996 (population in thousand, mid-year estimates):	
Greater London	7 074
Birmingham	1 021
Leeds	727
Glasgow	616
Sheffield	530

THE PEOPLE

Population, 1996 (thousands)	58 801
Number of inhabitants per sq. km	244
Net increase in population, 1991-96 annual average (thousands)	182
Percentage change at annual rate, 1991-96	0.3

Total civilian employment, June (thousands)	26 292
of which:	
Agriculture	480
Industry (incl. construction)	7 034
Other activities	18 778

THE GOVERNMENT

Public sector current expenditure on goods and services (per cent of GDP)	20
Public sector current receipts (per cent of GDP)	38
Net public debt (per cent of GDP)	44

Composition of House of Commons (number of seats):	
Labour	417
Conservative	162
Liberal	46
Ulster Unionists	10
Other	24
Total	659

Last general elections: May 1997

FOREIGN TRADE

Exports of goods and services (per cent of GDP)	28.4
Main exports as a per cent of total exports:	
Food, beverages and tobacco	6.5
Basic materials	1.6
Fuels	6.1
Semi-manufactured goods	26.1
Manufactured goods	58.6
Other	1.1

Imports of goods and services (per cent of GDP)	28.9
Main imports as a per cent of total imports:	
Food, beverages and tobacco	8.8
Basic materials	3.5
Fuels	3.3
Semi-manufactured goods	24.9
Manufactured goods	58.6
Other	1.0

THE CURRENCY

Monetary unit: Pound Sterling

Currency units per US$, average of daily figures:	
Year 1997	0.611
April 1998	0.596

Note: An international comparison of certain basic statistics is given in an annex table.

This Survey is based on the Secretariat's study prepared for the annual review of the United Kingdom by the Economic and Development Review Committee on 6 April 1998.

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After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 7 May 1998.

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The previous Survey of the United Kingdom was issued in May 1996.

Assessment and recommendations

The government pursues an ambitious reform programme

Economic activity has strengthened significantly since the UK economy was last reviewed in April 1996, but the pace slowed towards the end of 1997. The United Kingdom is now in its sixth year of expansion, and, in 1997, experienced a favourable, though unsustainable set of results. However, with the output gap closing, inflationary pressures have surfaced. They have so far been held in check by a significant macroeconomic policy tightening, which is likely to induce a considerable slowdown in activity in 1998 and 1999. The new government has identified the long-standing record of macroeconomic instability as a major reason for the relatively slow medium-term growth of the economy. It has put in place a new monetary policy framework and published a Code for Fiscal Stability – to be underpinned by statute – both aimed at improving accountability and transparency, thereby raising its capacity to pursue sound macroeconomic policies. The new government is also committed to a broad and ambitious structural reform agenda. By and large, the new initiatives do not backtrack on the thrust of previous reform efforts, but intend to improve on them and put greater emphasis on fairness. Some structural reforms are already in the process of being implemented, such as the Welfare to Work programme, tax and benefit reform to sharpen work incentives has begun, while others are still being shaped. It will, of course, be some time before the effects of these policies can be assessed in the light of experience. Overall, they appear to

be well designed to tackle the significant structural problems the UK economy is subject to.

After strong growth for most of 1997, the economy should continue to slow

The economy recovered strongly from the 1990-92 recession, underpinned by steady growth in domestic demand and with the low pound during 1993-96 boosting exports. Since mid-1996, activity picked up and growth in 1997 – at 3.3 per cent – was significantly above trend. Household spending was especially buoyant due to strong increases in disposable income and financial wealth, the latter including the windfall gains from the demutualisation of building societies, while rising house prices underpinned residential construction. With the economy operating close to capacity, business investment also rose sharply. On the other hand, the significant rise in sterling has hit export growth since mid-1997 and by the end of the year, net exports had become a sizeable drag on overall growth. Indeed, GDP growth slowed significantly in the fourth quarter. Weakening demand for tradeables has led to a fall in industrial output in recent months, while most service sectors continue to grow strongly. Weak foreign demand accentuated by the Asian crisis will continue to spill over to the domestic economy and fiscal and monetary policies will also continue to exert a dampening effect. This is likely to induce a significant slowdown in economic activity – to a growth rate of below 2 per cent in 1998 and 1999. Despite softening domestic demand, the current account could move into deficit, reaching 1¼ per cent of GDP in 1999.

Unemployment has fallen sharply and inflationary pressures have risen

Brisk job creation has led to a rapid decline in the unemployment rate – to just below 6½ per cent in early 1998. Wage behaviour was a crucial factor in restraining inflationary pressures during the early phase of this recovery. Both ample slack created by the 1990-92 recession and a sizeable fall in the structural unemployment rate contributed to this. However, unemployment is now probably

below its estimated structural rate and earnings are growing at around 4½ per cent, a full percentage point up on two years earlier. The high level of job vacancies also points to tight labour market conditions. Despite rising labour costs, overall price developments have remained tame, largely due to sterling's appreciation. In the service sector, however, inflation has drifted up steadily. Retail price inflation excluding mortgage interest payments (RPIX) – the variable targeted by the Bank of England – is currently running at close to 2½ per cent, while ''headline'' inflation is about 3½ per cent, largely due to rising mortgage interest payments. While inflation could rise somewhat in coming months, cyclical slack emerging later on should reduce inflationary pressures.

The new macroeconomic policy framework will raise accountability and transparency with the aim of reducing economic instability

Booms and busts have been a characteristic of the UK economy over the last several decades. The overall variability of key macroeconomic variables has been among the highest in the G7, which may have contributed to the disappointing medium-term growth performance. The new government has put in place a new monetary policy framework and published a Code for Fiscal Stability. Both will have a statutory status. These reforms should enhance the soundness of macroeconomic policies. Raising transparency and accountability are seen as essential to avoid short-termism in setting macroeconomic policy. The Code requires the government to formulate and implement fiscal policy in accordance with a specific set of fiscal principles. Consistent with those principles, the new fiscal policy approach centres on the observance of the golden rule – current disbursements should be covered by current revenues over the economic cycle – and the government debt/GDP ratio should be established at a prudent level over the economic cycle. While fiscal prudence has not been defined, it is seen as appropriate that the debt/GDP ratio should fall at this stage of the economic cycle. Fiscal projections now include

cyclically-adjusted deficits so that deviations from the medium-term fiscal programme can be monitored. The earlier framework suffered from very large deviations of outturns from the medium-term fiscal projections and despite its focus on the medium term, significant policy errors occurred. The new framework should make it easier to monitor whether the government behaves in a fiscally prudent way.

Fiscal consolidation is among the sharpest in international comparison

Since 1993, fiscal consolidation has been pursued steadily and the government deficit has declined from close to 8 per cent of GDP to 2 per cent of GDP in 1997, even though government net wealth was declining over this period. The biggest adjustment occurred in Fiscal Year (FY) 1997/98, when the cyclically-adjusted deficit fell by 2.1 per cent of GDP, with a further half a percentage point expected in FY 1998/99. Even though spending in the March 1998 Budget rises by 4¼ per cent, overall spending is expected to remain within the inherited ceilings for the first two years of the new government's Parliamentary term. The fiscal adjustment is among the sharpest in international comparison. The adjustment was achieved by a mixture of tight expenditure control and revenue increases. Tight expenditure control led to a sharp reduction in government investment, which is now the lowest in the OECD, and also relied on wage restraint for government officials. The government's medium-term fiscal projections show continued consolidation over the next five years, and suggest that it will meet the golden rule over the cycle. Even under pessimistic assumptions a small surplus is achieved by the turn of the century, and the budget could show a sizeable surplus in FY 2002/03. Given past macroeconomic instability, the government's aim of fiscal prudence is commendable. However, spending plans for the years 1999/2000 and beyond have not yet been decided which makes an overall assessment difficult. Expenditure plans for these years will

be decided as part of the Comprehensive Spending Review, which aims at quality public services, improved efficiency and at bringing programmes into line with the government's priorities. These include, most importantly, health, education and the provision of a modern infrastructure. It could be difficult to achieve the ambitious objectives of the medium-term fiscal plan as the government has identified new spending priorities, and social outlays have been trending up – at about the same pace as elsewhere in the OECD, suggesting considerable underlying spending pressures. The golden rule, however, implies that current spending will be matched by current revenues over the cycle. It would appear important to stick to the objectives laid out in the medium-term fiscal programme, not least because entry into monetary union would require compliance with the Stability and Growth Pact.

Central bank accountability is very strong

Shortly after taking office, the new government granted instrument independence to the Bank of England. The government continues to set the inflation target (2½ per cent for RPIX), but the short-term interest rate is now set by the Monetary Policy Committee (MPC) rather than the Chancellor. Transparency and accountability have been raised further with the publication of the minutes of the MPC meetings and of the *Inflation Report* under the responsibility of the MPC, and through enhanced Parliamentary monitoring. In addition, should inflation deviate by more than one per cent from the target in either direction, the Governor is required to send an open letter to the Chancellor explaining the reasons and indicating remedial action. Transparency and accountability requirements are very strong in international comparison. After the granting of instrument independence, the bond yield differential with Germany fell by close to 50 basis points, indicating improved monetary policy credibility, and the differential has subsequently narrowed somewhat further. UK yields

are still almost 100 basis points above German yields, at least partly reflecting cyclical differences in short-term interest rates, but there may be further narrowing to be achieved as the MPC continues to establish a track record. Improved credibility is also indicated by the narrowing of the differentials between yields on index-linked and conventional bonds, which now imply that inflation expectations are close to the inflation target.

Monetary policy has tightened significantly, largely restraining the tradeable sector

Between late 1995 and mid-1996, the repo rate was cut, reflecting slower output growth and an optimistic assessment of underlying inflationary pressures. However, a limited increase in October 1996 in conjunction with monetary policy easing elsewhere contributed to a sharp increase in the effective exchange rate. With inflationary pressures emerging, the repo rate was raised in several steps to 7¼ per cent in November 1997, partly inducing a further sterling appreciation – to close to 30 per cent above its trough in 1995, and 10 per cent above the level prior to sterling's suspension from the Exchange Rate Mechanism (ERM) in 1992. Other indicators also point to very tight monetary conditions. Among the G7 countries, only the United Kingdom has an inverted yield curve and the real short-term interest rate is the highest. On the other hand, money and credit growth has remained strong, the real long-term interest rate has fallen considerably and asset price increases have fuelled domestic demand. Despite the considerable fiscal policy tightening between FY 1996/97 and FY 1997/98 the sectors less exposed to foreign competition have continued to expand strongly, while the tradeable sector has been hard hit.

The new policy framework faces a serious challenge

The current situation poses a challenge for the conduct of macroeconomic policy. Despite the marked policy restraint, domestic demand is taking time to slow and unemployment has continued to fall. Currently it is very difficult to judge

the strength of underlying inflationary pressures and how quickly the economy will eventually slow. However, the lagged effects of fiscal and monetary restraint are likely to reduce growth considerably in the coming quarters, even though wage and price pressures could persist for some time. Faster fiscal consolidation would be one alternative to monetary policy restraint, if further tightening should prove to be necessary and if fiscal action could better target the areas of the economy which are expanding most strongly. Nonetheless, given the lagged effects of the tightening still in the pipeline, further restraint at this stage would risk tipping the economy into recession. It would, in any case, be impossible to control exchange rate movements with fiscal policy fine-tuning. Uncertainties are currently aggravated by the strength of the pound. A fall in the pound, if it was to occur, would help to rebalance demand, but there is a risk that it will fall too fast or too far, putting upward pressures on prices. The introduction of a minimum wage at a high level would complicate policy further. This consideration underlines the importance of the government's intention to set it at a sensible level. Despite the new policy framework, ensuring a smooth landing will be a difficult task.

Should the United Kingdom enter monetary union?

The previous government was strongly opposed to joining the third stage of European Economic and Monetary Union. The new government believes that this would be beneficial overall, but that joining the single currency area in 1999 is not in the country's economic interest. Even though the United Kingdom fulfils most Maastricht criteria, the government has indicated that the final decision to go ahead will be based on five self-imposed economic tests. Among them, cyclical convergence is very important. Given that the current cycle is much more mature in the United Kingdom, with the short-term interest rate far above the continental European level, entering now is clearly not

warranted. An even more important consideration is the weighing of the benefits of joining against the costs. However, while the benefits have certainly increased and potential costs been reduced in the course of European economic integration an overall economic assessment is not straightforward. Before joining, at the least, it should be clear that once a synchronisation of the cycle is achieved, it is also sustainable. This would show whether the large differences in cyclical developments with the continental European countries that have been observed in the past were due to divergent macroeconomic policies or reflect structural features of the UK economy. On balance, there appears to be a case for joining later, if monetary union proves to be a success and if structural features of the UK economy do not suggest that the loss of a sovereign monetary policy is too costly.

A broad structural reform programme tackles significant structural problems

Despite progress over the past decade, considerable potential remains to further improve UK productivity levels. The government has a wide structural reform agenda that largely follows the market-oriented approach of the previous government, but puts greater emphasis on softening the distributional consequences that may result from structural policy initiatives. Enhancing competition, improving on earlier regulatory reforms, changes to the tax and benefit systems to sharpen work incentives, strengthening corporate governance and financial market supervision arrangements are planned or in the process of being implemented. Several initiatives have been taken to reform taxes, but this reform programme is still in its early stage. It is still too early to assess the reform programme in the light of experience. With such a broad agenda, it will be important to remain focused on the ultimate goals, ensure the coherence of policies and set priorities.

Employability policies aim at raising the level of, and rewards from employment and at alleviating poverty

The previous *Survey* documented the wide-ranging labour market reforms implemented since the early 1980s. They improved labour market performance considerably and the review of countries' progress in implementing the OECD Jobs Strategy counted the United Kingdom among the few ''success'' stories – countries where structural unemployment has fallen over the 1990s. However, not everybody has benefited from the overall improvement. Many people would want to work, even though they are not counted as unemployed, and increased labour market flexibility has gone hand-in-hand with rising income inequality and poverty. The government has ambitious plans to address these problems, largely by raising the level of, and rewards from employment. Initiatives include active labour market policies, changes to the tax and social security systems to sharpen work incentives, and education and training to raise productivity and wages.

The Welfare to Work programme mainly targets the young and long-term unemployed

The New Deal for the young unemployed started nationally in April and the job subsidy programme for the long-term unemployed will commence in June. The introduction of the Welfare to Work Programme will reduce the cost of hiring the young and long-term unemployed by a temporary work subsidy, training and education is being stepped up and, where necessary, non-market jobs are being provided. The young have to choose among these options, otherwise benefit sanctions apply. The overall employment effects of subsidising jobs are usually fairly low, even though the ''gateway'' process of rigorously screening candidates should help in this respect. Chances of succeeding are currently favourable because of tight labour market conditions, but a rise in unemployment could lead to a ballooning cost of the programme. The government has planned to help other detached groups such as lone parents, partners of the unemployed and the disabled. The fall in youth unemployment has increased the amount of resources available to

help these groups. While no sanctions apply in these cases, the return to take up work has been raised with the recent tax and benefit reform. The government is also attempting to tackle poverty and social exclusion in deprived areas, where the proportion of potential participants in the new programmes is higher and the availability of jobs is lower. The strategy focuses on raising employability accompanied by urban regeneration and economic development. Given the complexity of the problem, such programmes are difficult to design.

Educational attainment has improved, but is still lagging

While educational attainment has risen sharply since the early 1980s, the overall level is still low in international comparison, and a significant number of young people still leave school without basic skills. Thus, upskilling has been insufficient to prevent a sharp widening of the earnings distribution. Apart from the training opportunities provided by the Welfare to Work programme, the government intends to enhance educational opportunities for those in and out of work and to strengthen basic education. However, international experience shows that it is difficult to reach those with the poorest skills.

The tax and benefit system is in need of reform; a first step has been accomplished

While the tax and benefit system has been reformed in the past to sharpen work incentives, several problem areas persist. The net unemployment replacement rate is high and some social benefit schemes may, for some people, substitute for unemployment benefits, as they provide higher income support which is unlimited in duration. The number of people in these schemes has risen considerably. Recent initiatives to address these developments have not changed the trend, and tighter screening would appear to be necessary. Means-testing has been introduced for a large number of benefits in order to arrest the sharp rise in social assistance payments. Housing benefits, for instance, have risen significantly. Given benefit withdrawal with rising income,

they provide a strong disincentive for raising work effort for people with a low earnings potential, especially for lone parents – the poverty trap. The same applies to the unemployment benefit system, which has *inter alia* contributed to the large number of ''workless'' households – the unemployment trap. There are no easy solutions to these problems. One approach would be to move back towards universal benefit provision, but this implies large budgetary outlays. What can be achieved, however, is a rebalancing of competing policy objectives. In this context, the government's programme places emphasis on making work pay through in-work benefits, welfare reform and improving workforce skills. The United Kingdom has used in-work benefits to supplement low incomes since 1973. While these initiatives can increase incentives to take up work, they also imply high marginal tax rates for those further up the earnings scale, reducing work incentives for those already in work. The government has decided that it will replace Family Credit with a system that raises earnings *via* the tax system, similar to the US Earned Income Tax Credit. The switch will improve work incentives, because it will not be budget neutral. The configuration of National Insurance contributions has also been reformed to lighten the burden on the low paid and brought closer into line with income tax.

The minimum wage should be set at a prudent level to keep the employability of the young and the unskilled intact

The government is committed to introduce a minimum wage. It forms part of the government's strategy to make work pay. The Low Pay Commission will make recommendations on the level and structure of the minimum wage in May 1998. Given the wide wage distribution, a minimum wage even at fairly low levels would cover many employees, especially the young, women and part-timers. Dispersion of regional coverage would be smaller, but still significant. International evidence suggests that sensibly set minimum wages have little effect on employment, but they

would also achieve little in terms of redistribution. More specifically, a minimum wage is not a particularly effective weapon against poverty, because poverty is tightly associated with lack of employment. On the other hand, in countries with a high minimum wage, employment, especially of the young and unskilled, may have been reduced. The OECD *Jobs Study* has, therefore, argued against measures which reduce wage flexibility and which prevent wages reflecting local conditions and individual skill levels, in particular of young workers. In the UK context it has been argued that a minimum wage is needed, because in-work benefits could be reflected in lower wages and thereby indirectly subsidise low-paying employers. This effect could occur if the existence of in-work benefits reduces the reservation wages of potential applicants. However, it is difficult to measure such effects. If a minimum wage is introduced it should start at a prudent level, in order to avoid negative employment consequences. The pronounced age/income profile suggests that a differentiation by age would be advisable. In addition, linkages between the minimum wage and planned tax and benefit changes should be taken into account.

The corporate governance system has evolved considerably...

The UK business sector is characterised by the large role the share market plays in financing enterprises and allocating corporate control; the high concentration of share capital in the hands of investment funds; and the large number of mergers and acquisitions. Following a number of corporate collapses, which pointed to weaknesses in corporate governance, the 1992 Cadbury Report provided a solid framework for the evolution of corporate governance. The Greenbury Committee followed, investigating boardroom pay issues, while the Hampel Committee, which reported in early 1998, largely attempted to unify earlier proposals, without going much beyond the previous reports. The Committees' recommendations have not been put into law,

but most have been taken up by the Stock Exchange into the Listing Rules. Major recommendations include the division of the roles of Chairman and Chief Executive Officer, the strengthening of boards, by raising the number and profile of non-executive directors, the establishment of Board Committees, and the disclosure of more information to shareholders. These have raised the effectiveness of boards and transparency. Other issues which continue to receive attention are the role of the Annual General Meetings in corporate governance, to be addressed in a major review of company law and the role and obligations of institutional investors, which are often the largest shareholders. In addition, boardroom pay issues are unlikely to go away, even though these were addressed in the Committees' reports.

... but there is scope for improvement

The reforms in the United Kingdom have largely addressed the needs of its arm's length system of corporate control and a high level of investor confidence is reflected in the size and liquidity of the share market. Deeper issues have been raised, however, concerning short-termism in decision-making, and whether a move towards a system based on more long-term control would be advisable. Dividend pay-out ratios in the United Kingdom have indeed been very high and R&D and physical business investment rather low. However, the latter has risen since the mid-1980s, probably reflecting the structural reforms implemented since the 1980s. Some reforms, concerning for instance boardroom pay or capital gains taxation, could still induce a longer planning horizon of management and investors. On the other hand, wholesale changes to the existing set-up could undermine the advantages of the arm's length approach, most notably that it may be superior to an insider system in that it gives the right incentives to enforce a prompt response to changes in the business climate.

Summing-up

The government has put in place a new macroeconomic policy framework and pursues structural reforms energetically. The reforms to the monetary policy arrangements and the introduction of the Code for Fiscal Stability are important changes which should help to foster macroeconomic stability. The macroeconomic framework is already facing its first test, with emerging inflationary pressures, but economic activity is likely to slow significantly. Ensuring a smooth landing will be important, because the Welfare to Work programme has the best chance to succeed in favourable labour market conditions, and cyclical divergence with the continental European countries would delay entry into monetary union. Apart from macroeconomic instability, the government has identified a large number of areas which impede growth. It pursues a broad reform programme which, on balance, looks well designed to promote growth and employment. It has already taken measures to raise employment and educational attainment. However, if the minimum wage were to be introduced in a uniform way and at too high a level, it could prove to be counterproductive. Overall, these policies, if followed through in a coherent manner, should raise potential output, while also lifting incomes for those most in need.

I. Recent trends and prospects

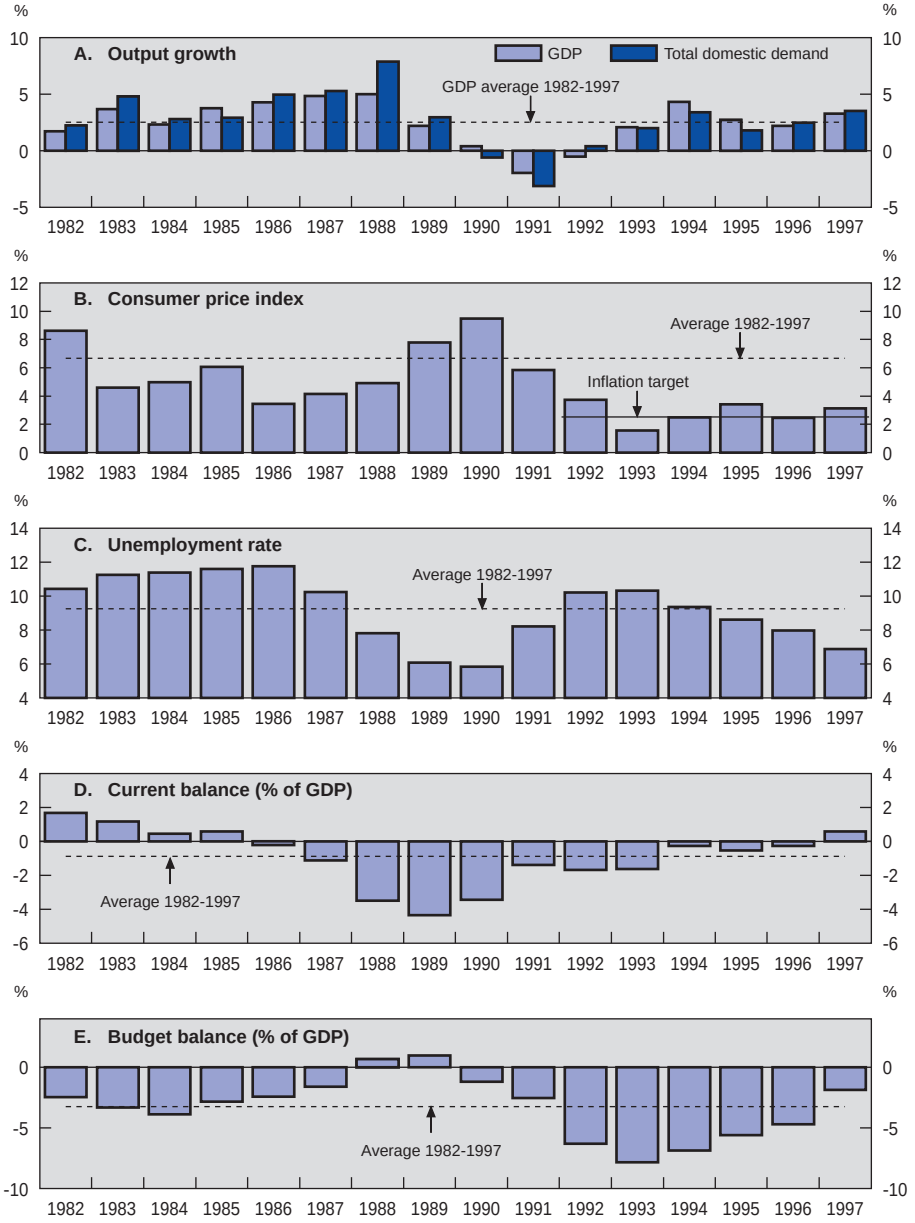
Overview

In 1997, the UK economy experienced a favourable though unsustainable set of economic results. Output rose by 3.3 per cent, driven by strong consumer demand and a rise in business investment spending, while the current account was in balance. Labour market conditions improved further as employment rose by nearly 2 per cent and unemployment fell by almost 1½ percentage points to around 6½ per cent. Inflation was virtually at the government's official target rate of 2½ per cent and the budget deficit narrowed by some 2 percentage points of GDP (Figure 1). But with growth significantly above trend, and after five years of expansion capacity strains emerged in early 1997, and the economy began to manifest signs of overheating. High vacancy levels and recruitment difficulties, especially for skilled labour, suggest that tight labour market conditions could lead to upward pressures on earnings growth. Capacity utilisation in manufacturing rose to levels close to those reached in the late 1980s. As a response to these developments, the macroeconomic policy stance has been tightened, with sizeable monetary restraint since Spring 1997 and a firmer fiscal stance. It has started to slow the economy – how quickly and to what extent are critical factors for economic prospects.

Domestic demand has slowed little so far...

Over the last few years output growth was broadly based. Exports were buoyant, largely due to strong competitiveness and domestic demand was led by a sharp pick-up in private consumption (Table 1). The economy then went through a slow patch from early 1995 through to Autumn 1996, as the economy adjusted to unanticipated stock accumulation and was affected by the slowdown

Figure 1. **MACROECONOMIC PERFORMANCE**



Source: OECD Secretariat.

Table 1. **Demand and output**

Percentage volume changes, 1990 prices

	1991-93	1994	1995	1996	1997
Private consumption	0.1	2.8	1.7	3.6	4.6
Government consumption	0.8	2.2	1.3	1.2	–0.5
Gross fixed investment	–3.5	4.3	1.5	1.5	4.8
of which:					
Public [1]	3.1	1.3	–7.2	–23.2	–14.2
Private residential	–1.5	3.6	2.1	1.1	7.4
Private non-residential	–5.8	5.5	3.9	8.3	7.8
Final domestic demand	–0.5	2.9	1.6	2.7	3.6
Stockbuilding [2]	0.1	0.5	0.2	–0.2	–0.1
Total domestic demand	–0.3	3.4	1.8	2.5	3.5
Exports	2.4	9.3	7.8	6.8	8.0
Imports	1.4	5.5	4.2	8.4	9.2
Foreign balance [2]	0.2	0.9	0.9	–0.5	–0.4
Compromise adjustment [2]	0.0	0.0	0.0	0.2	0.1
GDP at market prices	–0.2	4.3	2.7	2.2	3.3
Memorandum items					
Manufacturing production	–1.3	4.7	1.6	0.3	1.5
Employment [3]	–1.8	1.0	1.2	1.1	1.7
Unemployment rate (per cent)	9.6	9.4	8.6	8.0	6.9
Real personal disposable income	1.3	1.6	3.2	3.3	4.2
Personal saving ratio (per cent)	11.2	10.4	11.7	11.4	11.1

1. General government and public corporations. Figures are affected by the privatisation programme.
2. Changes as a percentage of GDP from previous period.
3. Yearly figures are averages of quarterly data for the months of March, June, September and December.

Source: Office for National Statistics, *Blue Book* and *Labour Market Trends*.

in Europe. Subsequently domestic demand growth picked up and net exports have contributed negatively to growth. On most measures, remaining cyclical slack was absorbed by early 1997. The sectoral composition of output growth has become uneven. The services sector continues to grow rapidly, rising by 4.3 per cent in 1997. In contrast, growth in manufacturing output, which is more exposed to international competition, has been considerably weaker, as the strong exchange rate has reduced competitiveness. Industrial output fell in recent months.

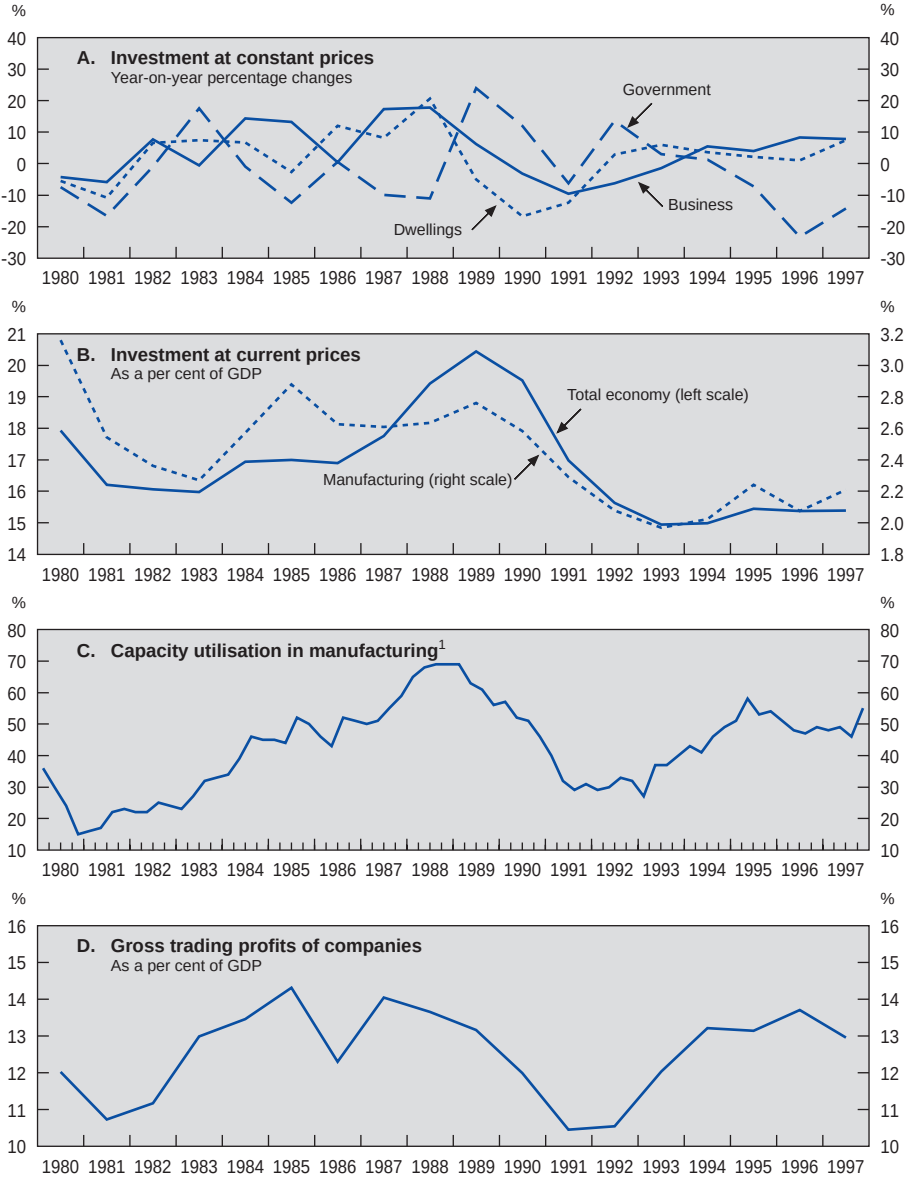
Consumer spending underpinned the sharp rise in domestic demand in 1997, fuelled by strong job creation, real income gains and high consumer confidence. Consumption was especially strong towards mid-year when the bulk of spending from windfall proceeds from building society demutualisations probably

occurred, and again in the fourth quarter. Overall, windfall gains are estimated to have added about ½ a percentage point to spending in 1997 (HM Treasury, 1998*a*). With consumption growth slightly outpacing strong personal disposable income gains, the household saving ratio fell a bit, although it is still above its long-term average.[1] Strong personal income growth, as well as rising real house prices and, until recently, relatively low borrowing costs have bolstered residential investment. Initially, housing investment was concentrated in improving existing dwellings, but the composition is now more broadly based, with a sharp recovery in new housing starts since late 1996.

The ratio of business investment to GDP has risen in each of the past four years, and it rose sharply in 1997. But despite this there has been a steady rise in capacity utilisation. The British Chamber of Commerce measure of capacity utilisation for the business sector reached a record level in 1997, with almost half the net balance of respondents operating at full capacity. Likewise for manufacturing, capacity utilisation was high. Both services and manufacturing companies face tight supply constraints, although these have started to ease, especially in manufacturing. These tight conditions, a generally favourable business climate, with profitability high and long-term borrowing costs falling, spurred business investment spending in 1997; real spending rose by about 7¾ per cent (Figure 2).

Total economy investment has been subdued and low by international standards, although it picked up in 1997. Due to the large falls at the beginning of the decade, the level of real spending in 1997 remained below its previous cyclical peak in 1989. Such sluggish investment performance mainly reflects lower manufacturing and public sector investment. Although the former recovered strongly in 1997, the latter fell by almost 35 per cent between 1995 and 1997. Even abstracting from the Private Finance Initiative (PFI),[2] which represents capital spending of less than half a per cent of GDP, a steep fall has taken place. Low investment, especially by companies, has become, in conjunction with sluggish labour supply, a barrier to sustained expansion. The government's structural reform agenda aims to increase investment spending as part of its approach to improving UK productivity (see Chapter III).

Figure 2. **INVESTMENT AND CAPACITY UTILISATION**



1. Firms operating at full capacity.
Source: Office for National Statistics, *Blue book*; OECD, *Main Economic Indicators* and *National Accounts.*

... while external demand begins to falter

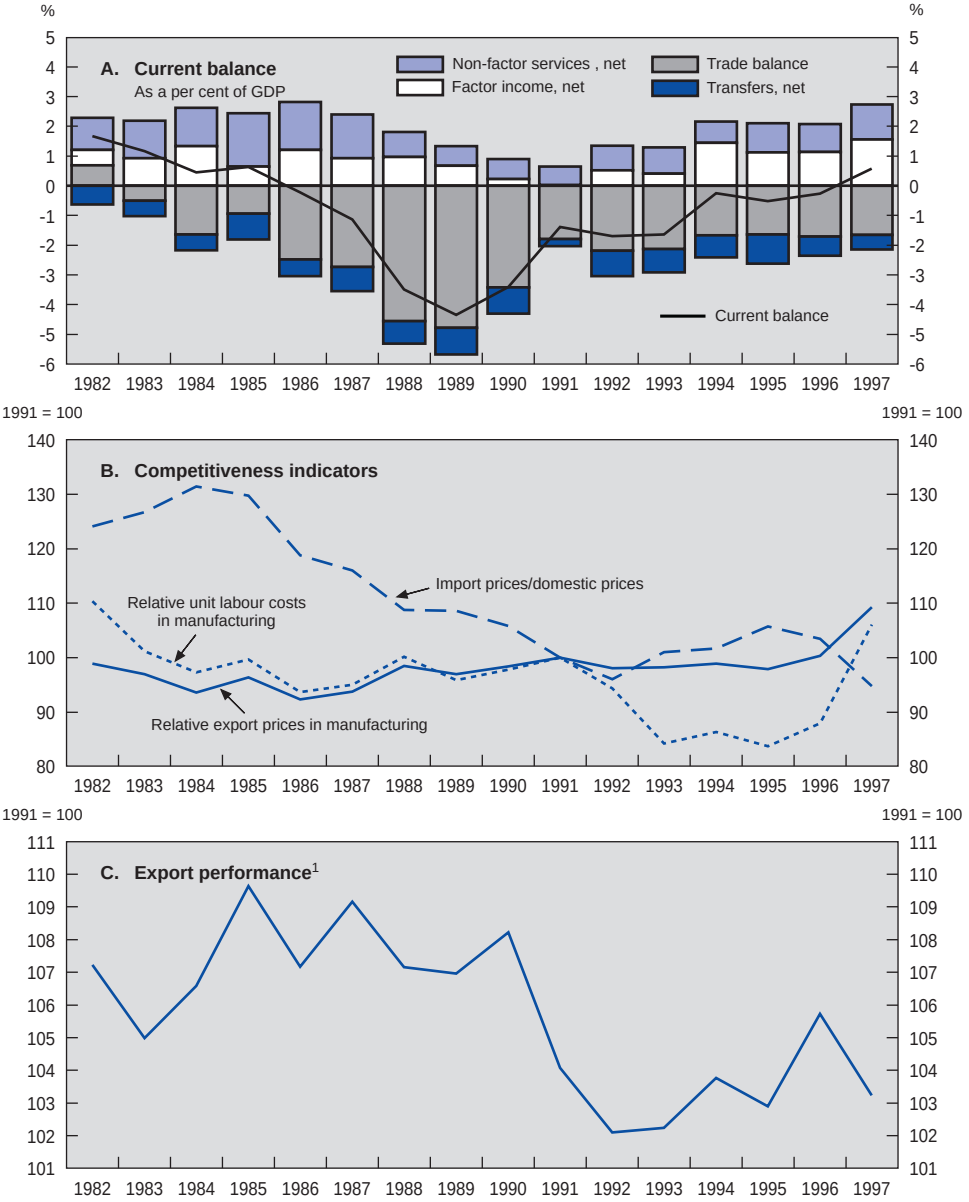
Following sterling's appreciation since the middle of 1996, UK competitiveness has deteriorated sharply. The nominal effective exchange rate has risen by 27 per cent since August 1996 and the real effective exchange rate, based on unit labour costs, indicates an appreciation of some 20 per cent in 1997 (Figure 3). However, partial absorption of exchange rate movements in margins has limited the deterioration in export price competitiveness. The decline in competitiveness is nonetheless very large, with a fall of some 10 per cent since mid-1996 to reach an historic low point. The slow pass through of the exchange rate appreciation into traded goods and services prices and adjustment lags have muted the initial response in trade volumes. Over the past 18 months, import and export price indices have declined by about 9 per cent, implying approximately only a third of the expected pass through. Slow pass through partly reflects existing contractual arrangements, and a profit margins squeeze in the tradeable goods sector.

Export volumes in 1997 were underpinned by faster market growth, especially in Europe, giving the impression that the exchange rate appreciation has had little impact on trade. Even though exports rose by 8 per cent in 1997, UK market share fell, as markets grew by some 10 per cent. Moreover, exports fell slightly towards the end of 1997 in line with survey based evidence earlier in the year. Import volumes have risen significantly since 1996, reflecting the strength of domestic demand and exchange rate movements. Despite strong market growth, by the end of 1997 the external sector had clearly become a sizeable drag on output growth.

The goods and services trade deficit of the balance of payments narrowed further in 1997 (Table 2). The fall since 1993 partly reflects positive valuation effects from the exchange rate appreciation, while imports and exports in volume terms grew at similar rates. Changes in the investment income balance have had the largest influence on the current account deficit. Net investment income flows have typically been in surplus, reflecting the large stock of UK owned assets abroad. In 1997 the surplus as a per cent of GDP rose to 1½ per cent. This contributed to a current account surplus of 0.6 per cent of GDP, the first annual surplus since 1985.

Rising investment income reflects several years of rapid increases in direct and portfolio investments by UK residents abroad. The annual flow of direct

Figure 3. **BALANCE OF PAYMENTS AND COMPETITIVENESS**



1. Export performance is the ratio between export volumes and export markets for total goods.
Source: OECD Secretariat.

Table 2. **The current account**[1]

£ billion

	1992	1993	1994	1995	1996	1997
Exports of goods	107.3	121.4	134.7	153.1	166.9	170.1
Imports of goods	120.5	134.9	145.8	164.7	179.6	183.1
Trade balance	–13.1	–13.5	–11.1	–11.6	–12.7	–13.0
Exports of services	35.2	39.1	41.9	46.6	50.2	53.3
Imports of services	30.2	33.6	37.1	39.7	43.2	44.0
Services, balance	5.0	5.5	4.8	6.9	7.0	9.3
Goods and services, balance	–8.2	–7.9	–6.4	–4.7	–5.7	–3.7
Investment income, net	3.1	2.6	9.7	7.9	8.6	12.2
Private transfers	–0.3	0.0	0.1	0.2	0.3	0.3
Official transfers	–4.8	–4.9	–5.1	–7.1	–5.0	–4.2
Invisibles, net	3.0	3.2	9.5	7.9	10.9	17.6
Current balance	–10.1	–10.3	–1.7	–3.7	–1.8	4.5
As per cent of GDP	–1.7	–1.6	–0.3	–0.5	–0.2	0.6

1. OECD definitions.
Source: OECD Secretariat.

investment abroad more than tripled to £35 billion over the past seven years and portfolio investments, which are typically larger and more erratic, have risen, but by a smaller factor. Direct investment into the United Kingdom has also risen, up 22 per cent over the same period and reaching an historic high of £22.5 billion in 1997. The balance in the value of UK foreign assets and liabilities at the end of 1997, at £8.5 billion, was considerably lower than the 1995 level, mostly reflecting valuation effects linked to the appreciation of sterling.

The labour market tightens sharply

Rapid output growth has had a positive influence on labour markets. Employment rose by almost half a million in the year to Autumn 1997 (1.7 per cent) and was mainly accounted for by full-time employment (Table 3). But the size of the non-active working-age population continued to expand, and at a faster pace compared with previous years.[3] With both employment and the non-active working age population growing, unemployment has fallen sharply while labour force growth has been low. Over the year to Autumn 1997, the survey-

Table 3. **Labour supply and demand**

Percentage changes

	1991-93	1994	1995	1996	1997[1]
Working age population	0.2	0.2	0.4	0.4	0.2
Labour force	–0.2	–0.1	0.4	0.4	0.5
Employment	–1.8	1.0	1.2	1.1	1.7
of which:					
Full-time	–2.8	0.2	1.2	0.0	1.5
Part-time	1.2	2.5	0.6	3.7	2.0
Unemployment rate	9.6	9.4	8.6	8.0	6.9
Participation rate	75.8	75.4	75.3	75.3	75.6
Employment ratio	68.6	68.3	68.8	69.3	70.3
Unfilled vacancies (1 000)	121.0	158.0	182.8	225.8	283.4
Memorandum item:					
Labour productivity	1.3	2.3	0.9	0.7	1.4

1. OECD estimates.

Source: Office for National Statistics, *Labour Force Survey, Historical Supplement 1997.*

based measure of unemployment has declined by 379 000 and the rate of unemployment, at 6.6 per cent, is the lowest level since the UK Labour Force Survey (LFS) commenced in 1984. The reduction in unemployment is broad based, with falls in all age groups, and the proportion of long-term unemployed fell to one third of the total; its lowest level since the early 1990s. Judged by developments over the cycle, labour market trends are less favourable. Since the beginning of the recovery in late 1992, employment has risen by only 5¼ per cent and is still below the level at the beginning of the decade.

On most estimates, including the OECD Secretariat's, unemployment is now below the structural rate. Although the range of structural unemployment estimates is wide, reflecting the difficulty to pin down unobserved variables, clear and growing signs of labour market tightness are consistent with the OECD estimate. These include rapidly falling unemployment, the vacancies to unemployment rate (Beveridge ratio) at a very high level, reported skill shortages and recruitment difficulties,[4] and rising real wages.

Mounting inflationary pressures

Average earnings grew by 4½ per cent in 1997, a full percentage point up on two years earlier and close to its highest rate since 1992, although the rate remained broadly flat through the year (Table 4). Part of the increase reflects unusually large bonus payments, but even abstracting from these and adjusting for average hours worked, it reveals a pick up in headline earnings. At this stage of the cycle, when productivity gains are usually slow, such a rate is barely consistent with the official inflation target. Real earnings over the past year, based on headline inflation (RPI) have risen by marginally less than productivity growth. On the other hand, due to smaller rises in the GDP deflator, growth in the real product wage outstripped productivity improvements in 1997. Even over

Table 4. **Wages and prices**

Percentage changes from the same period a year earlier

	1991-93	1994	1995	1996	1997[1]	1997			
						Q1	Q2	Q3	Q4[1]
Retail prices									
All items (RPI)	3.7	2.5	3.4	2.4	3.1	2.7	2.7	3.5	3.7
Underlying (RPIX)	4.8	2.4	2.8	2.9	2.8	2.9	2.6	2.8	2.8
Producer prices[2]									
Material and fuel purchased	0.6	2.6	9.6	–1.1	–8.5	–6.9	–9.6	–8.6	–9.1
Output prices	3.3	2.3	4.4	2.5	1.0	1.0	1.1	1.0	1.0
Input prices	–0.3	3.5	10.6	–3.8	–6.9	–7.3	–7.8	–6.3	–6.0
Import prices[3]	2.9	2.9	7.2	0.6	–6.6	–5.4	–8.0	–7.4	–5.6
Earnings and wages									
Average earnings	n.a.	3.9	3.4	3.8	4.5	4.5	4.2	4.4	4.6
Manufacturing	n.a.	4.7	4.6	4.4	4.4	4.4	4.3	4.2	4.7
Memorandum items									
National accounts deflators									
Private consumption	5.3	2.3	2.6	2.5	2.1	2.1	2.1	2.2	2.1
GDP at market prices	4.8	1.6	2.5	3.1	2.6	2.5	3.1	2.8	2.2
House prices[4]	–3.3	0.7	–1.7	4.3	6.4	6.9	6.7	6.6	5.2
Unit labour costs									
Total	3.8	–0.5	1.7	2.9	3.1	3.0	2.7	2.8	4.0
Manufacturing	1.6	–0.4	3.7	5.3	3.1	3.4	2.9	2.4	3.6

1. OECD estimates where official data are not yet available.
2. Manufacturing.
3. Goods and services. National accounts definition.
4. Halifax house price index.

Source: Office for National Statistics, *Economic Trends* and *Labour Market Trends*, and OECD, *Main Economic Indicators*.

longer periods, real earnings have risen more slowly during this cycle, compared with previous recoveries. This probably reflects earlier labour market reforms, notably changes which weakened union negotiating strength, a greater sense of job insecurity and a higher relative cost of losing employment (OECD, 1997*a*). As a result, the OECD estimate of the structural unemployment rate, based on the LFS, has declined by 2 percentage points over the last decade to around 7 per cent.

Private sector wage settlements are not always a reliable indicator of average earnings, because of wage drift. Over the past two years private sector wage settlements have been broadly constant, with annual rises between 3¼ and 3¾ per cent. In the twelve months to December 1997, employment-weighted settlements collected by Income Data Services rose by 3.7 per cent, about half a percentage point higher than six months earlier and just over half of 1998 deals were 4 per cent or above. Part of the rise reflects last August's construction sector settlement – where hiring difficulties are particularly apparent – providing for a wage rise of 5.5 per cent, although partly offset by the withdrawal of some allowances. Public sector settlements have been subdued over the last couple of years at less than 3 per cent per year.

Sterling's appreciation since August 1996 and more recent falls in commodity prices have dampened inflation. But the downward effect on price levels is transitory and could even reverse, while underlying inflation pressures remain. Bank of England estimates suggest that prices of domestically produced goods and services rose by 3 per cent over the twelve months to January 1998. And headline inflation (RPI) is running at slightly over 3½ per cent since the middle of last year and could rise temporarily above 4 per cent, due partly to higher indirect taxes and mortgage interest payments. Inflation measures which abstract from the effects of tax rises and monetary policy decisions are more subdued. RPIX (the index on which the inflation target is based) rose to slightly above target at 2.6 per cent in the twelve months to February 1998. And underlying inflation has remained within +/–1 percentage points of the current inflation target (Figure 4).

Figure 4. **UNDERLYING INFLATION RATE**

Year-on-year percentage changes

Source: OECD, *Main Economic Indicators.*

The short-term outlook

A number of forces are expected to exert a restraining impact on economic activity over the next two years. These include lagged effects of tighter macroeconomic policy settings, the unwinding of windfall effects and the impact of financial turmoil in Asia. Since the Bank of England gained instrument independence in May 1997, base rates have been raised to 7¼ per cent and the exchange rate has probably overshot its long-term equilibrium value. Since OECD projections are based on the technical assumption of unchanged exchange rates, easier monetary conditions over the projection period hinge on a reduction in base rates by 2 percentage points by the end of 1999. Hence monetary conditions are initially very tight and then ease towards a more neutral stance. Fiscal policy assumptions are also restrictive. The July 1997 Budget maintained the tight spending controls of the previous government and accelerated the pace of consolidation through higher overall taxation. The cyclically adjusted deficit is pro-

jected to decline between 1997 and 1999, and the budget could be close to balance in 1999. In addition, the currency turmoil in South East Asia and South Korea and the loss of confidence has significantly strengthened these countries' competitive position and weakened the outlook for domestic demand growth in the region, which will dampen world trade growth.

Reflecting these forces, output growth is projected to slow significantly in 1998 and remain below potential rates in 1999 (Table 5). GDP could rise by 1¾ per cent in both 1998 and 1999, although the profile over 1998 indicates a relatively sharp contraction. Weak growth implies a small output gap by 1999, but current momentum and tight supply conditions are projected to lead to inflation slightly above the target rate for most of the projection period.

The projected slowdown in economic activity is due initially to weak external demand related to low competitiveness and the negative shock in Asia. Net

Table 5. **Short-term projections**

Percentage change from previous year[1]

	1996	1997	1998	1999
Private consumption	3.6	4.6	3.3	2.1
Government consumption	1.2	–0.5	0.8	1.2
Gross fixed investment	1.5	4.8	5.0	3.5
Business	8.3	7.8	4.9	3.6
Housing	1.1	7.4	7.3	4.7
Government	–23.2	–14.2	1.6	0.8
Final domestic demand	2.7	3.6	3.1	2.2
Change in stockbuilding[2]	–0.2	–0.1	–0.1	0.0
Total domestic demand	2.5	3.5	3.0	2.2
Foreign balance[2]	–0.5	–0.4	–1.4	–0.5
Exports of goods and services	6.8	8.0	5.0	4.8
Imports of goods and services	8.4	9.2	9.0	5.7
Gross domestic product (market prices)	2.2	3.3	1.7	1.8
Private consumption deflator	2.5	2.1	2.4	2.6
GDP deflator	3.1	2.6	2.5	2.6
Current account, per cent of GDP	–0.3	0.6	–1.0	–1.3
Total employment	1.1	1.7	0.5	0.0
Labour force	0.4	0.5	0.4	0.4
Unemployment rate[3]	8.0	6.9	6.8	7.2
Personal savings ratio (per cent)	11.4	11.1	10.7	10.7

1. The 1998 and 1999 figures are OECD projections.
2. As a per cent of GDP in the previous year.
3. Level, per cent of labour force.

Source: OECD Secretariat.

exports are forecast to detract significantly from growth in 1998 and to have a neutral impact in 1999, although carryover effects will continue to pull growth down in annual average terms. Overall, the impact of the Asian turmoil is projected to lower output by about half a percentage point, with most of the effect in 1998. Domestic demand growth, on the other hand, is projected to be still strong in 1998. Rising real personal incomes, high levels of confidence, house price increases, capacity constraints and healthy corporate balance sheets are the forces supporting the continuation of this ''twin-track'' economy in 1998.

In 1999, growth could remain subdued, but be more balanced as earlier macroeconomic policy tightening has its full impact. Both consumption and business investment spending growth are projected to decline to levels closer to their long-term average. The lagged effects of lower competitiveness should continue to have a restraining influence on export volumes, and slower domestic demand growth could soften import volume growth. This implies that overall external demand could marginally detract from GDP growth through 1999 and the current account deficit could widen to around 1¼ per cent of GDP.

With the slowdown in activity, demand for labour is projected to weaken and the unemployment rate could rise by about half a percentage point, to reach 7¼ per cent in 1999 – somewhat above its structural level. As cyclical slack develops only in late 1998, some escalation in average earnings through 1998 can be expected. Moreover, labour market strains should also be alleviated by the government's Welfare to Work measures, which will facilitate increased labour market participation. Private sector wage growth is projected to peak at close to 5 per cent. Despite the strength of sterling and weaker commodity prices, such a wage profile is likely to result in inflation slightly above target during 1998. In 1999, rising unemployment is expected to reduce earnings growth to a level compatible with the Bank of England meeting the inflation target.

A major risk to these projections concerns the assessment of labour market tightness, which could be stronger in the near term and trigger greater wage pressures, compromising the likelihood of achieving the inflation target. This would imply more buoyant near-term prospects, but also a strong reaction from the monetary authorities, with significantly slower growth thereafter. On the other hand, the lagged effects of policy restraint could be underestimated and business and consumer confidence could fall sharply from their current high levels, intensifying the slowdown in domestic demand.

II. Macroeconomic policies

While improving slowly since the mid-1980s, the medium-term growth performance of the UK economy only matched the OECD countries' average, and GDP per capita has remained the lowest among the G7 countries (see below). Apart from tackling obstacles holding back investment, productivity improvements and employment opportunities, the new government has identified the long-standing record of economic instability – the succession of booms and busts – as a major source of uncertainty in decision-making. Between 1980 and 1997, the overall variability of key economic variables was among the highest in comparison with the other G7 countries.[5] The new government has put in place a new monetary policy framework and has published the Code for Fiscal Stability, which should enhance the pursuit of sound macroeconomic policies. In addition, raising transparency and accountability are seen as essential to avoid short-termism in setting macroeconomic policy.

During this cycle, fiscal policy was tightened at an early stage and the general government deficit has fallen from 7.9 per cent in 1993 to close to 2 per cent in 1997, with the prospect of further reductions in the coming years. Monetary policy has complemented fiscal policy and inflation has remained moderate by UK standards. While the new government inherited a generally favourable economic situation, macroeconomic policy was not tight enough in the run-up to the elections and the expansion built up considerable steam in 1997. After the elections, further significant tightening of fiscal and monetary policy has so far had little effect on domestic demand, but the sharp rise in sterling has dampened inflation and has started to slow export growth.

Macroeconomic policy, especially monetary policy, currently faces a serious challenge, as it is difficult to assess the extent of underlying inflationary pressures and to foresee when and how quickly the economy will slow. The orderly unwinding of the current imbalances will be an ''acid-test'' for the new

Box 1. **To be or not to be in monetary union**

The previous government strongly resisted joining monetary union and the United Kingdom is under no legal obligation to move to the third stage of economic and monetary union. The new government has come to the view that joining would be beneficial overall, but that British membership in the single currency area in 1999 is not in the country's economic interest. The government will judge whether British membership of a single currency is in the country's economic interests based on five economic tests (HM Treasury, 1997*a*). The tests are formulated around the following questions:

i) Are business cycles and economic structures compatible so that the United Kingdom and others could live comfortably with euro interest rates on a permanent basis?

ii) If problems emerge is there sufficient flexibility to deal with them?

iii) Would joining EMU create better conditions for firms making long-term decisions to invest in Britain?

iv) What impact would entry into EMU have on the competitive position of the UK's financial services industry, particularly the City's wholesale markets?

v) In summary, will joining EMU promote higher growth, stability and a lasting increase in jobs?

As soon as the government considers that the tests have been passed, the UK's voters will be asked to give their verdict on this matter in a referendum.

The current cycle in the United Kingdom is indeed much more mature than in continental Europe. Short-term interest rates are much higher and the currency is extremely strong. Cyclical divergence is not a new phenomenon. The correlation of UK growth with the business cycle in continental Europe has remained fairly low, while it has risen significantly and to a high level for most monetary union candidates (Table 6). The pursuit of divergent macroeconomic policies may have been a major cause of this. But also its trade with the union member countries is still somewhat lower than for the other large EU countries, which reduces the cyclical link with the continental European countries; personal sector wealth is held in a larger proportion in equities and housing, which makes consumption more vulnerable to swings in asset prices; variable rate borrowing and short-term debt are more common than in the continental European countries; and the United Kingdom is a substantial energy producer. The impact of these structural features on cyclical developments is difficult to judge.

Joining a monetary union has benefits and costs. The benefits largely stem from a reduction in trading costs, uncertainty and greater price transparency. The costs stem from the loss of monetary policy as a policy tool.[1] While it is generally agreed that nominal exchange rate changes do not affect real variables in the long run, they can speed up necessary adjustment. Erratic exchange rate movements, on the other hand, can reduce macroeconomic stability. The case for joining the monetary union is stronger, the more

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(continued)

Table 6. **GDP growth correlation with monetary union candidates**[1]

	1977-86	1987-92 (S1)	1992 (S2)-96
Germany[2]	0.89	0.28	0.93
France	0.72	0.85	0.99
Italy	0.93	0.65	0.92
Austria	0.65	0.71	0.85
Belgium	0.51	0.92	0.97
Finland	0.17	0.68	0.88
Ireland	0.30	0.65	0.76
Netherlands	0.76	0.60	0.89
Portugal	0.48	0.43	0.41
Spain	0.21	0.62	0.94
United Kingdom	0.48	0.53	0.57
Denmark	0.33	–0.07	0.54
Greece	0.65	0.36	0.83
Sweden	0.27	0.61	0.90

1. Refers to correlation coefficient of each country's GDP growth rate with that of the 11 prospective participants in European Monetary Union in 1999. Correlations are based on semi-annual data.
2. The 1987-92 figure for Germany is affected by reunification.

Source: OECD Secretariat.

trade integration has advanced – the benefits of union are larger and cyclical divergences will be smaller because of strong trade links. Concerning this criterion, not only has openness of the United Kingdom increased from some 20 per cent in the early 1960s to close to 30 per cent currently, but also trade with the EU member countries has risen sharply (Figure 5). A second criterion is the degree of diversification of an economy. The more diversified an economy, the lower the likelihood of country-specific shocks. An indicator of diversification is the amount of intra-industry trade taking place. On this count there has also been a sharp increase over the last decades. A third criterion is the degree of integration of labour and capital markets. While capital market integration has advanced swiftly, labour mobility is very low in Europe. As this is also a regional phenomenon, including in the United Kingdom, the question arises whether the potential negative aspects of low labour mobility would be heightened within a monetary union. While, overall, closer integration has made the case for joining monetary union stronger, it is very hard to come up with a sound empirical assessment of the costs and benefits of joining monetary union.

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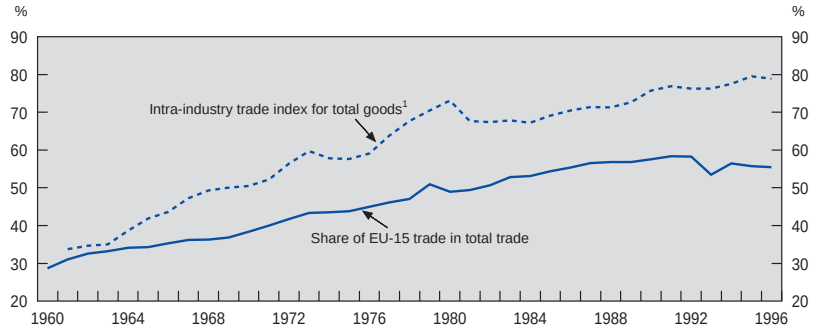
Figure 5. **TRADE OPENNESS AND DIVERSIFICATION**

Per cent



1. Intra-industry trade is the value of total trade (exports + imports) remaining after subtraction of the absolute value of net exports or imports of individual industries. For comparison between countries and industries, the measures are expressed as a percentage of each industry's combined exports and imports. Trade flows are measured at the three-digit level.

Source: OECD, *Monthly Statistics of Foreign Trade* and *Foreign Trade by Commodities.*

An issue specific to the United Kingdom is that the interest rate sensitivity of the economy, especially at the short end, is considerably greater than in most other EU countries, so that a central monetary policy could have a stronger impact on the UK economy. However, evidence on this is inconclusive. The higher proportion of short-term debt and variable-rate financing is likely to be a reflection of the past inflationary history and financing patterns are likely to converge in a low-inflation environment. While taking part could carry with it some potential risks, staying out in the longer term could also entail disadvantages, as the City could lose some of its competitive edge and a successful monetary union could lead to diversion of foreign direct investment. Finally, while staying out would have the advantage of pursuing an independent monetary policy, being in would have the advantage of avoiding unnecessary exchange rate volatility. While it is certainly not in the UK's economic interest to join in 1999, there is a case for joining later, if monetary union proves to be a success and if the synchronisation of the cycle is sustainable.

1. It is also argued, that the absence of a central fiscal stabilisation scheme could aggravate cyclical divergence across regions during monetary union. What matters in this context, is that budgets of EU member countries are much larger than in States or Provinces in federal states, so that automatic stabilisers have a higher impact.

macroeconomic policy setting. If it were to fail, cyclical convergence with the future monetary union member countries would be delayed. Convergence is a *sine qua non* for entry to monetary union. While entry has been ruled out for this Parliament, the new government views membership in a successful single currency as beneficial (Box 1).

Monetary policy

Following the suspension of sterling from the European Exchange Rate Mechanism in October 1992, the United Kingdom adopted an explicit inflation target[6] in order to provide a new nominal anchor. Both the target and interest rates were set by the Chancellor, with the Governor of the Bank of England providing policy recommendations. The target was to hold inflation in the range of 1 to 4 per cent, and to steer it to the bottom half by the end of Parliament, implying a medium-term target for inflation of 2½ per cent or less. The framework raised transparency of monetary policy making considerably, with the Bank of England publishing an independent assessment of inflation prospects, and with the publication of the minutes of the monthly review of inflation developments by the Chancellor and the Governor of the Bank of England. With the economy growing fast and inflation picking up to 3 per cent in mid-1995, differences in the assessment of inflation prospects emerged between the Chancellor and the Governor, which led to uncertainties about the course of monetary policy and a widening risk premium. Eventually interest rates were cut, which – with hindsight – was a wrong decision. This episode is a major reason for the move of the new government to depolitisise the monetary policy-making process and to grant instrument independence to the Bank of England.

The new monetary policy framework

Shortly after taking office, the new government announced that it would give the Bank of England operational independence – the responsibility to set interest rates to achieve the government's inflation objective. While this move is important for the United Kingdom, in international comparison, it largely represents a catching-up to major features of monetary policy frameworks elsewhere. On the other hand, transparency of central bank decision making was strengthened further and goes considerably beyond practice elsewhere in the OECD. At

the same time, it was decided that banking supervision will pass to a new integrated regulator – the Financial Services Authority (FSA), and the Bank's responsibilities in debt management have been transferred to the Treasury. The separation of banking supervision from monetary policy responsibilities follows a general trend in the OECD. It means that the central bank should focus monetary policy on macroeconomic stability rather than on the health of the financial system, and assigning institutions with clearly-defined responsibilities is a precondition for accountability.

Monetary policy decisions are taken by the Monetary Policy Committee (MPC), which comprises nine members: the Governor and two deputy Governors, who are appointed by the Crown on proposal by the government, two directors of the Bank of England with management responsibilities for monetary policy and market operations, and four expert members appointed from outside the Bank by the government. The MPC sets monetary policy to achieve an inflation target, decided upon by the government. Previously, the Treasury set both the inflation target and short-term interest rates. The target is being set annually (to be confirmed in each Budget), with the expectation that the current target will hold at least over the term of the present Parliament. The current aim is to keep inflation (RPIX) close to 2½ per cent over a two-year horizon, as compared with the earlier target of ''2½ per cent or less''. Should inflation deviate by more than one percentage point from its target in either direction, the Governor is required to send an open letter to the Chancellor explaining the reasons for the deviation and indicating remedial action. The thresholds, however, do not define a target range. The Bank must also support government policies, notably its growth and employment objectives, without, however, jeopardising the government's inflation objective. Responsibility for the exchange rate regime remains in the hands of the government, a feature shared with most other OECD countries. Finally, the government can override monetary policy decisions in extreme economic circumstances, but only for a limited time, and subject to ratification by the House of Commons.

Overall, central bank independence is limited compared with the Maastricht Treaty requirements that the central bank be free of political control over setting and implementing policy targets, but improves considerably on the earlier situation. Central bank independence is lower than in the United States or Germany (Table 7). In these countries, the government cannot give instructions to the

Table 7. **Independence, transparency and accountability of central banks**[1]

	United Kingdom	United States	Japan	Germany	France	Italy	Canada
A. Independence of central banks							
Institutional independence (absence of rights of 3rd parties):							
To give instructions	–	*	*	*	*	*	–
To approve, suspend, annul or defer decisions	*	*	*	*	*	*	*
To vote	*	*	*	*	*	*	*
To be consulted *ex ante*	*	*	*	*	*	*	*
Personal independence (of Board members)							
Minimum term of office five years[2]	–	*	*	*	*	*	*
No dismissal other than for serious misconduct or unfitness	*	*	*	*	*	*	*
Conflicts of interest arising from other functions	*	*	*	*	*	*	*
Functional independence							
Price stability as explicit objective	*	*	*	*	*	–	*
No ambiguity as to primacy of price Stability objective	*	–	–	*	*	–	–
Financial independence							
Can avail itself of the appropriate material means	*	*	*	*	*	*	*

	United Kingdom	United States before/ after 1994	Japan old/new	Germany	France	Italy	Canada
B. Transparency of central banks							
Formal scheduling and publication of calendar of monetary policy decision making process	Y	Y	N/Y	Y	Y	N	N
Interest rate decisions taken at scheduled meetings under normal circumstances	Y	Y	N/Y	Y	Y	N	N
Publication of explanatory press releases at the time of each official interest rate change	Y	N/Y	Y	N	Y	Y	Y
Minutes of meetings of monetary policy decision making body published	Y	Y	Y	N	N	N	N
Regular publication of monetary policy or inflation report	Y	Y	Y	Y	Y	Y	Y
Publication of internal forecasts for intermediate or final target variables	Y	N	N	N	N	N	N
Reporting to/monitoring by the Parliament	Y	Y	Y	N	Y	Y	Y

1. * = Aspects enhancing independence are present; – = Aspects enhancing independence are not present; Y = Yes; N = No.
2. In the United Kingdom, the Governor and Deputy Governors are appointed for 5 years. The other members have 3 year terms.

Source: OECD Secretariat.

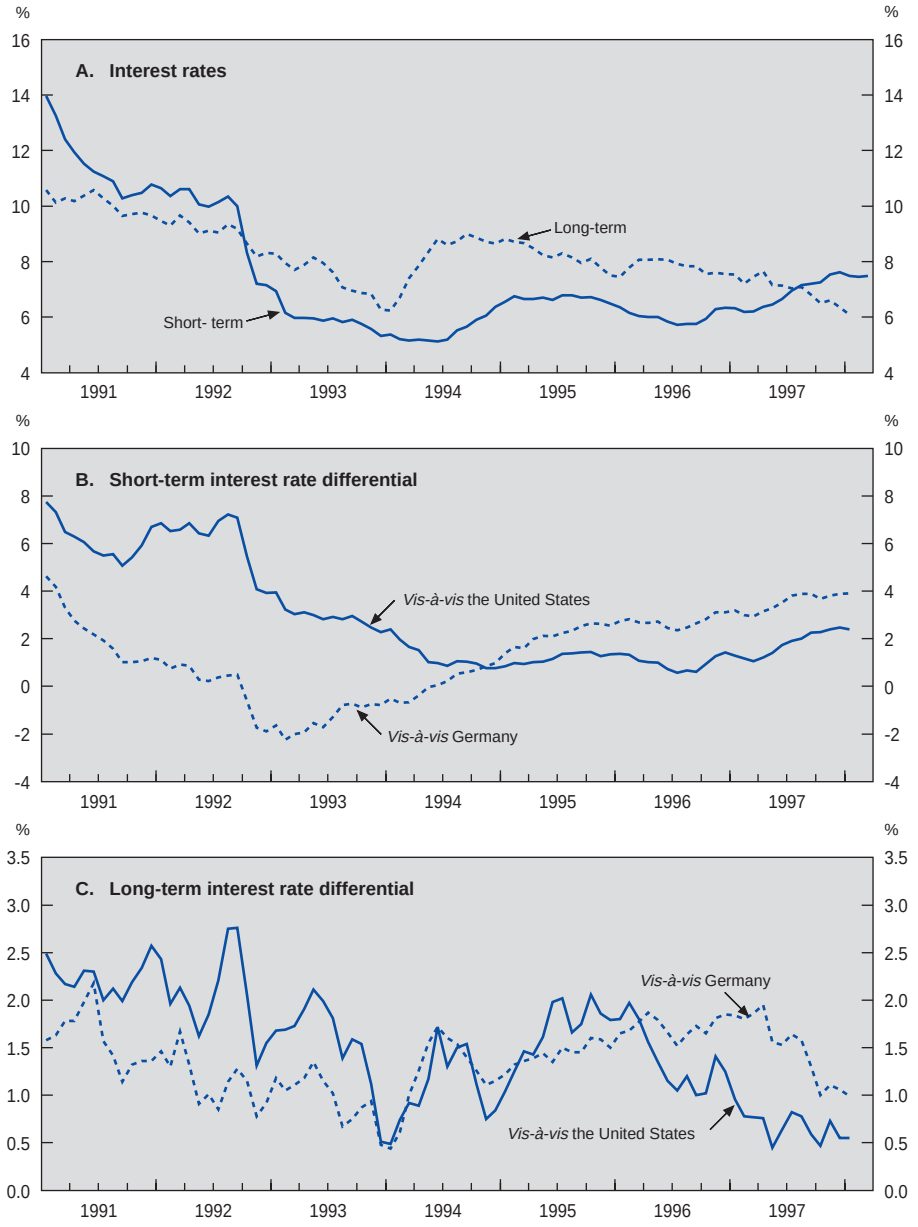
central bank and minimum terms of office for monetary policy council members are longer. A growing body of research suggests (see for instance, Alesina and Summers, 1993; Eijffinger and de Haan, 1996), that countries which grant a higher degree of central bank independence, have enjoyed lower inflation. Although some other central banks have longer terms of office for monetary policy council members, and some have goal independence, there may be little extra credibility to be gained from such arrangements as the new arrangements are supplemented by a high degree of transparency and unparalleled accountability. As compared with the other OECD countries which pursue an inflation target, the United Kingdom's inflation target is on the high side.[7] On the other hand, the inflation bias of the CPI in the United Kingdom is assessed to be higher than many other countries,[8] and the benefits of a further reduction in inflation would need to be weighed against the cost of realising it.

The new framework strengthened accountability and transparency further, which should help in achieving the inflation target. The minutes of the MPC meetings are made public no later than six weeks after a meeting, which is the same practice previously applied to the meetings between the Chancellor and the Governor, but the quarterly *Inflation Report* now reflects the views of the MPC members on the inflation outlook. Previously, the Inflation Reports reflected the central bank governor's assessment of monetary policy decisions taken by the Chancellor on inflation. Finally, the ''open letter'' arrangement provides another means to inform the public about the course of monetary policy. In international comparison, the United Kingdom's framework is among the strongest in terms of accountability and transparency, which should help lower risk premia by reducing uncertainty about the objectives and the implementation of monetary policy (Table 7).

The evolution of monetary policy indicators

After several cuts in base rates between December 1995 and June 1996, reflecting slower output growth and an optimistic assessment of inflationary pressures by the government, the base rate was held stable at 5¾ per cent until Autumn 1996 (Figure 6). Lower short-term interest rates had little impact on the effective exchange rate, as interest rates were also reduced in many other countries. However, with growth accelerating from mid-1996 onwards and inflationary pressures becoming more visible again, the base rate was increased by a

Figure 6. **INTEREST RATE DEVELOPMENTS**



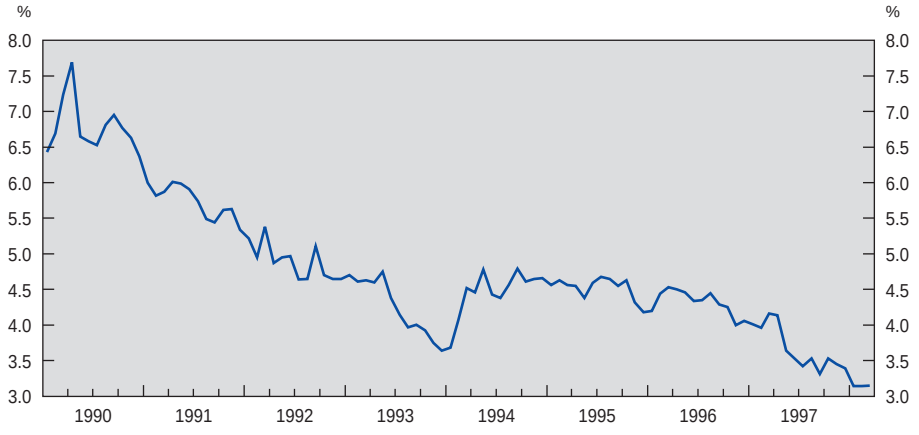
Source: OECD, *Financial Statistics* and *Main Economic Indicators.*

¼ percentage point in October 1996. This move, the expectation that further tightening would be needed to cool the economy, and further declines in interest rates in some European countries, started a sharp rise in the effective exchange rate – by some 15 per cent between mid-1996 and early 1997. Despite sterling's strength the economy grew strongly in early 1997. The Bank of England's repo rate has been raised five times since May 1997, by ¼ percentage points on each occasion, to reach its current level of 7¼ per cent in November 1997. The rate increases underpinned, though by no means explain the extent of, sterling's strength, which is currently 30 per cent above its trough in 1995 and some 10 per cent higher than the level prior to the suspension of sterling from the ERM.[9]

Long-term bond yields drifted down in tandem with rates elsewhere in Europe, even though the differential against German rates tended to widen up to April 1997, largely reflecting uncertainties about the course of monetary policy. The gap may also have reflected the persistence of relatively high inflation expectations despite the good inflation record, as highlighted by the difference between the yields on index-linked and conventional bonds (Figure 7). Bond

Figure 7. **INFLATION EXPECTATIONS**[1]

Year-on-year percentage changes



1. Measured by the difference between the real gross redemption yield on Treasury index-linked long-term bonds and the gross yield on Treasury bonds.

Source: Office for National Statistics, *Financial Statistics.*

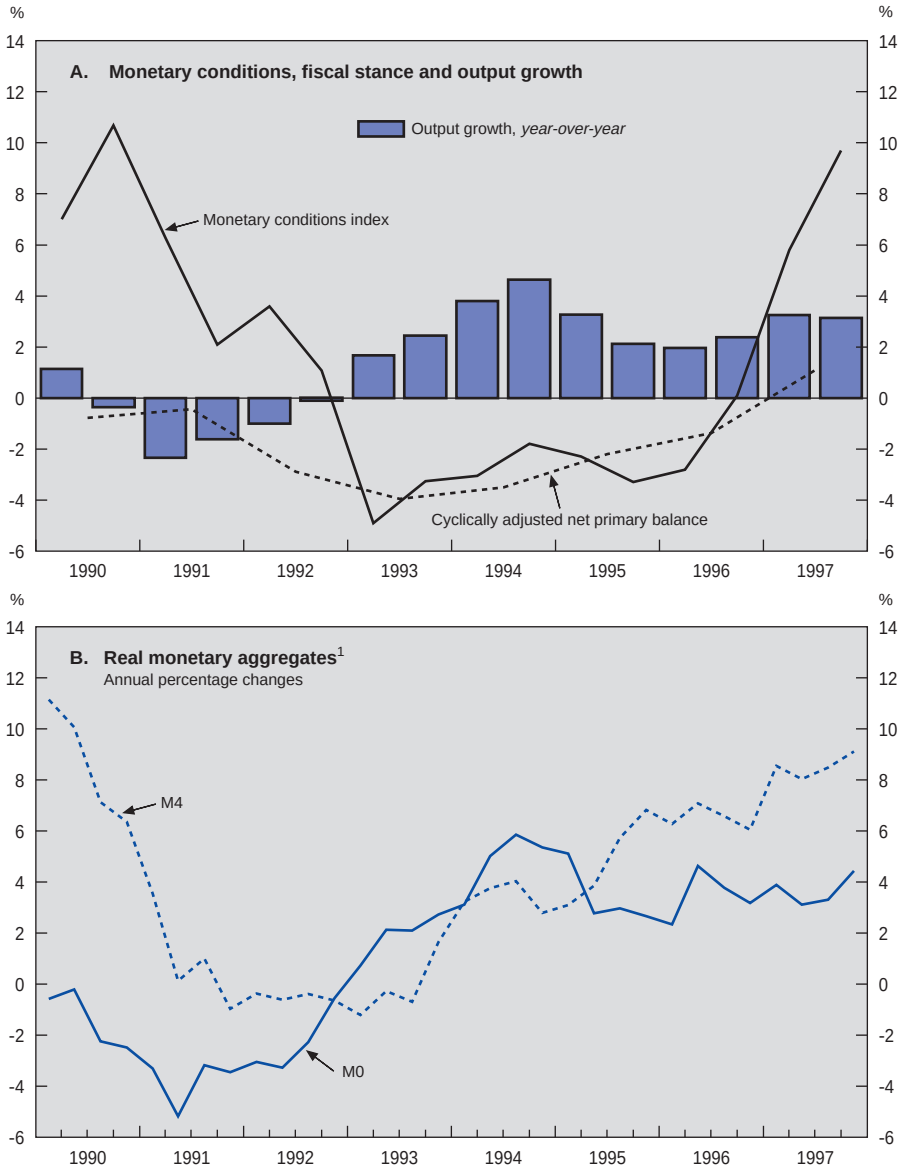
yields fell sharply – by 50 basis points – between April and May 1997, following the announcement of the new monetary policy framework. Inflation expectations of professional forecasters have declined as well and since the new framework has been in place, the dispersion of private sector inflation forecasts up to the end of 1998 has also decreased. Bond yields have come down further since then to close to 6 per cent, reflecting declining bond yields in international markets, but also some further decline in differentials. Comparing 5 year forward rates, the differential against German rates is now around 60 basis points and is close to zero with respect to the United States. This has been associated with a marked fall in UK inflation expectations as measured from a comparison of conventional and index-linked bond yields, which have fallen from 3.9 to 2.8 per cent since the new monetary framework was announced in early May 1997. Some of this convergence might be related to the increased probability that the United Kingdom will join EMU soon after the turn of the century, but the timing of the changes suggest that the main factor has been the introduction of the new monetary framework.

Money growth plays an important role in the central bank's assessment of the inflation outlook (Bank of England, 1997). Monetary targets were abandoned with the introduction of inflation targets, but monitoring ranges were set for M0, the narrow monetary aggregate, as well as for M4, the broad aggregate. Money growth outside the monitoring ranges was regarded as cause for concern by the monetary authorities. Between 1993 and 1997, the monitoring range was unchanged at 0 to 4 per cent for M0 and 3 to 9 per cent for M4. In view of its operational independence, the MPC can choose whether to employ intermediate targets or monitoring ranges and abandoned the practice of announcing monitoring ranges, because velocity has behaved erratically in recent years. However, the monetary aggregates still play an important role in the MPC's inflation forecast and the MPC could reconsider the use of monitoring ranges, if velocity were to stabilise (Bank of England, 1997).

Both the M0 and M4 aggregates have grown considerably in real terms and were above their monitoring ranges in recent years (Figure 8). Money demand by other financial institutions (OFIs) was especially strong, rising by more than 20 per cent in recent quarters, but their demand is probably driven more by portfolio considerations, rather than transactions demand. However, insofar as liquidity is used to buy assets, this will raise asset prices, which could stimulate

Figure 8. **MONETARY CONDITIONS**

Per cent



1. Deflated by the GDP deflator.

Source: OECD Secretariat.

consumption and investment. Also personal and business sector demand for money has grown robustly in recent quarters, reflecting the strong underlying momentum in the economy. The growth of lending by banks and building societies slowed during 1997, after strong growth in the previous two years. While lending to individuals remained robust, despite the rise in interest rates, lending to companies was subdued. Company borrowing as a share of gross profits has so far remained considerably below the level of the early 1990s.

Is a further monetary policy tightening needed?

The large changes in monetary conditions over the last few years are well captured by a monetary conditions index (Figure 8). The index combines interest rate and exchange rate developments and reflects the idea that interest rates influence several domestic demand components, while differences in monetary policy settings across countries lead to capital flows and exchange rate movements and, therefore, to changes in foreign and import demand. As any simple indicator, the index has limits. The choice of the weights for the interest rate and exchange rate, for instance, is fraught with uncertainties. In addition, long-term interest rate developments or equity price movements also affect activity and inflation, yet they are not included in the index.

Figure 8 shows that monetary conditions were tight in the early 1990s, but eased considerably along with fiscal policy and boosted activity out of recession from 1993 onwards. The ensuing strong recovery was accompanied by a moderate tightening in both monetary and fiscal policy, even though monetary conditions became more relaxed again in 1995. From 1996 onwards, however, monetary conditions tightened sharply, in large part due to the rise in the exchange rate and to a lesser extent due to the rise in short-term interest rates. Also fiscal restraint sharpened. Monetary conditions are now considerably tighter than elsewhere. Among the G7, the United Kingdom is the only country with an inverted yield curve and real short-term interest rates higher than elsewhere (Table 8). But real long-term interest rates are now lower than in the last few years and close to the rates in Germany and the United States. While interest rates have gone up at the short end, their effect on restraining domestic demand has probably been partly counterbalanced by the fall in long-term interest rates and the strength of asset prices.

Table 8. **Real interest rates in the G7 countries**

Nominal interest rates minus inflation[1]

	1992	1993	1994	1995	1996	1997	1998 H1[2]	1992-97 Average	1992-97 Differential against the United Kingdom
United Kingdom									
Short-term	5.0	2.7	3.8	4.2	3.1	4.5	5.2	3.9	..
Long-term	4.4	3.7	5.0	5.6	5.4	4.8	4.0	4.8	..
United States									
Short-term	0.7	0.4	1.9	2.9	2.7	3.1	3.3	1.9	–2.0
Long-term	3.8	3.0	4.4	4.2	4.2	4.3	3.8	4.0	–0.8
Japan									
Short-term	2.6	2.3	2.1	1.9	1.1	–1.0	–0.3	1.5	–2.4
Long-term	3.9	3.3	3.9	3.1	2.8	1.8	1.1	3.1	–1.7
Germany									
Short-term	3.9	3.3	2.9	2.4	2.3	2.4	2.5	2.9	–1.0
Long-term	4.1	3.0	3.9	4.5	4.5	4.4	4.2	4.1	–0.7
France									
Short-term	8.2	6.1	4.3	5.0	2.8	2.4	2.4	4.8	+0.9
Long-term	6.6	5.0	5.7	6.1	5.2	4.5	4.0	5.5	+0.7
Italy									
Short-term	9.3	5.8	5.0	5.5	3.7	4.3	3.0	5.6	+1.7
Long-term	7.8	6.2	5.7	7.6	5.4	3.4	2.5	6.0	+1.2
Canada									
Short-term	5.4	4.0	4.7	5.4	3.1	2.4	3.4	4.2	+0.3
Long-term	6.8	6.4	7.3	7.2	6.4	5.3	4.3	6.6	+1.8

1. Real short-term interest rates are measured by deducting the annual percentage change in the GDP deflator from nominal rates and real long-term rates by subtracting the low frequency component of the annual change of the GDP deflator using the Hodrick-Prescott filter.
2. Estimates.

Source: OECD Secretariat.

The current situation poses a serious challenge for the conduct of monetary policy. Despite the considerable tightening of monetary policy, domestic demand has so far not slowed much and the labour market has continued to tighten rapidly. Concerning the central bank's projections, both inflation and output growth turned out to be ½ percentage point higher than the central projection between the August and November 1997 *Inflation Reports*, the unexpected strength leading to the latest hike in the base rate; and, while growth did slow somewhat by the February 1998 *Inflation Report*, inflation was again somewhat higher than projected in November. The changes to the central bank's projection

underline, how difficult it is to judge when and how quickly the economy will eventually slow – uncertainties being exacerbated by the recent financial market turmoil affecting some Asian countries. In addition, wage pressures are more likely to rise than to fall during Spring 1998 as headline inflation could reach 4 per cent or even more. Market sentiment that a further tightening is imminent has driven the effective exchange rate higher and will lead to a sharp reduction in net exports.[10] Overall, there appears to be no need for a further tightening. As soon as the slowdown of economic activity comes through, the fears of overheating will fade and the exchange rate could be expected to decline. The average of a large sample of forecasts, for instance, predicts a fall of more than 10 per cent by the end of 1999 (HM Treasury, 1998*b*). While desirable, because it would help rebalance demand and be needed for an eventual smooth entry into monetary union, a fall in the exchange rate would raise the price level, which implies that base rates could remain fairly high for some time. Given the current uncertainties concerning, on one hand, the strength of inflationary pressures, and on the other hand, the speed with which the economy will slow, avoiding a bumpy landing will be a serious challenge for monetary policy. If the minimum wage were to be introduced at a fairly high level, this could complicate the task further, because of its inflationary implications.

Fiscal policy

Budgetary developments since 1996

The November 1995 Budget aimed at a reduction in the deficit[11] from 5.1 per cent of GDP in FY 1995/96 to 3.4 per cent of GDP in 1996/97.[12] The measures taken in the Budget were broadly neutral, with expenditure and revenue reductions of close to £3 billion each roughly balancing. However, the fiscal stance was moderately restrictive due to the fiscal measures already taken earlier on. Funding was reduced for defence, public housing and transfers to the European Community, while resources were increased for schools, the National Health Service and the police. Stringent pay control also helped in keeping the rise in expenditure low. In addition, public investment was cut sharply, with little offset due to the ''Private Finance Initiative'' (see below). Tax cuts concerned personal income taxes (the basic rate was lowered to 24 per cent) and corporate

taxes (the rate on small business was reduced to 24 per cent). The outturn for FY 1996/97 was very close to the budget projections.

The November 1996 Budget aimed at a further moderate tightening of fiscal policy, and projected a decline of the deficit to 2.6 per cent in FY 1997/98 (Table 9). The Budget provided for stringent control of public sector pay awards and another sharp decline in public investment was programmed. Priority was given to education, health, police and prison expenditure, while defence expenditures were cut further. The budget projected to save nearly 1 per cent of GDP by targeting tax and benefit fraud. It included a variety of tax measures: most importantly, concerning direct taxes, both the basic rate of income tax and the rate on small businesses were lowered to 23 per cent. On the other hand, various

Table 9. **Budget and outturns**

£ billion

	1996/97		1997/98			1998/99 Budget[3]
	Budget	Outturn	Budget[1]	Budget[2]	Estimated outturn	
Receipts	289.9	285.4	304.2	311.1	315.7	333.0
of which:						
Taxes on income and royalties	98.8	98.9	101.8	109.9	110.7	116.3
Taxes on expenditure	111.7	110.2	119.4	119.7	120.4	127.6
Social security contributions	47.0	46.7	49.2	49.7	50.7	53.9
Council tax	9.8	10.1	10.6	10.6	11.1	11.6
Expenditure	315.4	314.9	324.7	324.0	320.9	334.5
of which:						
Final consumption	152.4	156.8	156.8	157.8	157.5	165.6
Subsidies	7.5	9.5	8.3	8.0	8.2	8.1
Grants to personal sector	99.8	99.5	103.7	104.5	104.2	108.6
Debt interest	26.9	26.6	29.5	28.8	28.5	28.1
Fixed investment	15.2	13.4	13.4	12.7	12.9	14.2
Capital grants	5.0	4.3	4.7	4.0	4.2	3.9
Reserve	0.3	..	0.2	0.2	0.0	0.0
Financial deficit	25.4	29.2	20.5	12.9	5.1	1.6
Per cent of GDP	3.4	3.9	2.6	1.6	0.6	0.2
Public sector borrowing requirement	22.4	22.7	19.2	10.9	2.6	2.3

1. November 1996 Budget.
2. July 1997 Budget.
3. March 1998 Budget.

Source: HM Treasury, *Financial Statement and Budget Reports, 1996/97, 1997/98 and 1998/99.*

indirect taxes were raised, with the overall effect of a small decline in tax revenues as compared to a constant tax policy base.

The July 1997 Budget, the first of the new government, heralded a new fiscal policy framework (see Box 2) and announced a Comprehensive Spending Review (see below). The budget aimed at further fiscal consolidation, in both FY 1997/98 and FY 1998/99, to encourage a more balanced recovery and to help offset some of the pressure on monetary policy. It projected a budget deficit of 1.6 per cent of GDP in FY 1997/98 and of 0.5 per cent in FY 1998/99. The budget adhered to the previous government's tight nominal spending targets up to FY 1998/99, except for the initiatives financed by the windfall tax (see below) on utilities. These comprise spending on the Welfare to Work initiative, which is described in detail in Chapter IV, and more resources spent on schools and lone parents. In addition, part of the contingency reserve was released for health and education spending, and capital outlays by local councils benefited from the release of part of the blocked receipts from housing privatisations.

Tax measures amounted to nearly £6 billion (close to 1 per cent of GDP), with the windfall tax accounting for nearly half of additional taxation, the rest being accounted for by changes to direct, property and indirect taxes, and anti-avoidance measures. The windfall tax, levied on utilities deemed to have made ''excess profits'', has to be paid in two instalments of £2.6 billion in December 1997 and in December 1998 to finance the above-mentioned spending initiatives over the next five years. The windfall tax has been criticised for being retroactive and for being unfair, because it is unlikely to fall on those who realised ''excess profits'' from privatisations.

The budget lowered the corporate tax rate from 33 to 31 per cent and that for small businesses from 23 to 21 per cent, and abolished the payment of income tax credits on dividends paid out to pension funds. As tax credits were paid in cash to non-taxpaying shareholders, such as pension funds, the old tax system had created a tax bias in favour of making dividend payments rather than retaining funds for reinvestment. The change reduces the cost of capital on retained earnings, but households and companies could be less well off because pension funds are likely to react to this measure by either raising contribution rates or lowering benefits. The budget also announced a reduction in the VAT rate on domestic fuel, a reduction in mortgage interest tax relief and a significant rise in excise taxes.

Box 2. **The new fiscal policy framework**

Since the early 1980s, fiscal policy had been set within the framework of a medium-term financial strategy (MTFS). While the targets have evolved substantially over time, its core aim remained the achievement of sound public finances over the medium term. Judged by the evolution of net public sector debt, the United Kingdom fared much better than any other G7 country, except Japan: since the early 1980s its net debt/GDP ratio has risen by only 5 percentage points as compared to close to 20 percentage points for the G7 on average and its current net debt/GDP ratio of some 45 per cent is relatively low in international comparison. On the other hand, current revenues did not cover current expenditure for most years since the early 1980s. This contributed to a steep fall in the public sector's net wealth from close to 80 per cent of GDP in the early 1980s to 14 per cent in 1995. In addition, the MTFS framework suffered from very large deviations of outturns from medium-term fiscal projections and the medium-term focus did not help in avoiding severe policy errors, for instance, the fuelling of demand in the strong-growth period in the late 1980s (HM Treasury, 1997*b*). During this episode the government was overly optimistic about inflation prospects and underlying growth of potential. Overall, the MTFS targets did not restrain short-term behaviour. The new fiscal framework aims to strengthen fiscal transparency, accountability and predictability and thereby policy credibility. The approach centres on the observance of two rules pursuant to a Code for Fiscal Stability.

The Code for Fiscal Stability

In its November 1997 Pre-Budget Report (HM Treasury, 1997*c*), the government proposed a Code for Fiscal Stability (HM Treasury, 1997*d*) to improve the fiscal policy framework. Subsequently, a paper setting out and explaining the Code was published with the March 1998 Budget. The Code will be put before Parliament later in 1998 in the Finance Bill. Under the Code, the government will undertake the following commitments. It will:

- conduct fiscal and debt management policy in accordance with a set of specific principles;
- state explicitly its fiscal objectives and operating rules, and justify any changes to them;
- operate an efficient debt management policy;
- disclose, and quantify where possible, all decisions and circumstances which may have a material impact on the economic and fiscal outlook;
- ensure that best-practice accounting methods are used to construct the public accounts;
- publish a Pre-Budget Report to encourage debate on the proposals under consideration for the Budget;

(continued on next page)

(continued)

- to continue to publish the Financial Statement and Budget Report to discuss the government's longer-term goals and strategy for the future;
- publish a specific range of information from its economic and fiscal projections, including estimates of the cyclically-adjusted position;
- invite the National Audit Office (NAO) to audit changes in the key assumptions and conventions underpinning the fiscal projections;
- produce a Debt Management Report outlining the government's debt management plans;
- refer all reports issued under the Code to the House of Commons Treasury Select Committee; and
- ensure that the public has full access to the reports issued under the Code.

Finally, it is intended to improve the information on which decisions are based by upgrading the government's balance sheet data,[1] by moving to resource accounting, and by constructing intergenerational government accounts (HM Treasury, 1997*e*).

The fiscal rules

Consistent with the Code, policy is guided by two rules:

i) the golden rule: over the economic cycle the government will only borrow to invest and not to fund current expenditure; and

ii) public debt as a proportion of national income will be held over the economic cycle at a stable and prudent level.

The golden rule implies that current expenditure will be covered by current revenues over the cycle or, equivalently, that the deficit will not be larger than investment (as defined in the national accounts). As net wealth accumulation is driven by changes in net savings (except for asset revaluations), the golden rule equally implies that net wealth will remain stable over the cycle.

It is much more difficult to specify medium-term goals than it is to set objectives for monetary policy, because fiscal policy goals cover efficiency, equity and macroeconomic stability objectives. Fiscal rules cannot embrace all these objectives, but they are a means to encourage fiscal prudence over the medium term.

1. The National Asset Register was published by the Treasury in November 1997. It provides a list of the extent and coverage of government owned assets, even though no asset valuation is provided due to commercial concerns. Departments are allowed to reinvest receipts from the disposal of assets subject to certain limits (necessary to ensure compatibility with the government's overall spending objectives) and are encouraged to make better use of those they retain.

The March 1998 Budget maintains a firm overall fiscal stance. Government estimates suggest that the cyclically-adjusted deficit fell from 3.0 per cent of GDP in FY 1996/97 to 0.9 per cent in FY 1997/98, with a further half a percentage point decline expected in FY 1998/99. Even though spending rises by 4¼ per cent, overall spending is expected to remain within the inherited ceilings for the first two years of the new government's parliamentary term as spending was lower than planned in FY 1997/98. Higher outlays are allocated to education, health and improved public transport. Several initiatives to encourage work were also announced. These include an extension of the Welfare to Work programme to cover the long-term unemployed aged over 25 years, partners of the unemployed and the disabled; a reform of National Insurance contributions (NICs) to lighten the burden on the low paid; and a Working Families Tax Credit (WFTC) which will replace existing in-work benefits in 1999. These measures are expected to reduce the number of families with very high marginal effective tax rates (80 per cent or more), but will increase the number of families with effective tax rates above 60 per cent.

Revenues are officially estimated to have risen by 10½ per cent in FY 1997/98 and a further 5½ per cent is projected in FY 1998/99, which implies a cumulative increase of 2 percentage points in the tax to GDP ratio. The rise reflects revenue measures introduced in the July 1997 Budget, such as the one-off windfall tax, larger than previously expected gains in direct and indirect taxation and new revenue measures. These include further rises in excise duties, abolition of Advance Corporation Tax and the introduction of quarterly payments of corporation tax by large companies, partly compensated by lower corporate tax rates. The Budget also announced final details of a new ''Individual Savings Account'' to be introduced in 1999, which will widen the range of tax exempt assets, but will be less generous in the future for high-saving households. The commitment to introduce a 10 per cent income tax starting rate as soon as it is fiscally prudent to do so was also renewed and capital gains tax arrangements were modified so as to favour long-term investments.

Medium-term issues

Fiscal consolidation has been pursued steadily and the general government deficit on a national accounts basis has shrunk from close to 8 per cent of GDP in 1993 to 2.3 per cent in 1997 (Table 10). The largest structural adjustment – as

Table 10. **Fiscal indicators**

General government, per cent of GDP

	1991	1992	1993	1994	1995	1996	1997	1998	1999
Financial balances									
Net lending	–2.6	–6.3	–7.9	–6.9	–5.6	–4.7	–1.9	–0.8	–0.4
Net primary balance	–0.5	–4.2	–5.6	–4.2	–2.6	–1.7	1.2	2.0	2.3
Structural balance	–2.5	–4.9	–6.1	–6.1	–5.2	–4.4	–1.9	–0.9	–0.4
Primary structural balance	–0.4	–2.9	–4.0	–3.5	–2.2	–1.4	1.1	2.0	2.3
Gross saving	0.3	–3.4	–5.0	–4.3	–3.2	–2.8	–0.4	0.5	0.9
Government debt									
Gross	40.6	47.6	56.6	54.2	59.7	61.2	60.3	59.1	57.5
Net	19.2	26.0	35.7	35.6	41.7	44.3	43.7	42.7	41.4
Spending and revenue									
Total expenditure	40.7	43.1	43.6	43.2	43.0	41.9	39.7	39.2	39.0
Current receipts	38.1	36.8	35.7	36.3	37.4	37.2	37.8	38.4	38.6

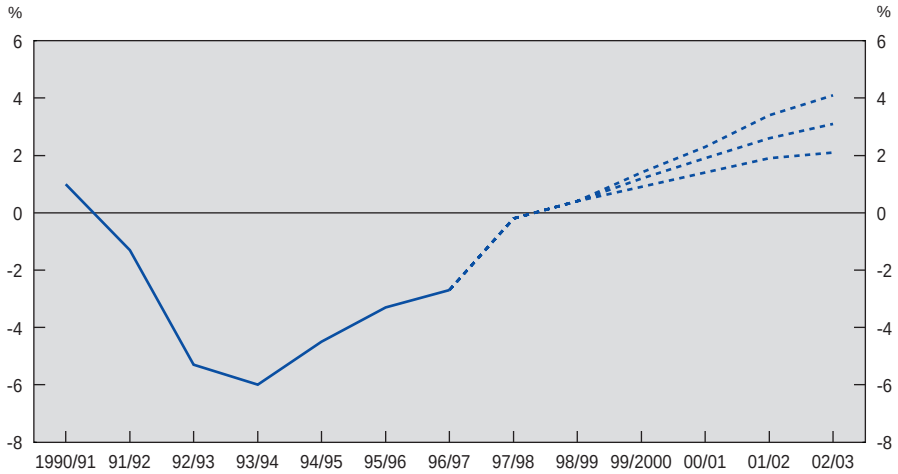
Source: OECD Secretariat.

measured by the change in the cyclically-adjusted net primary balance – occurred between 1996 and 1997, partly reflecting the additional policy tightening in mid-1997. As the fiscal situation was unsustainable in most OECD countries in the early 1990s, virtually all OECD countries have pursued a budgetary consolidation strategy. Overall, the fiscal adjustment in the United Kingdom between 1993 and 1997 is among the most impressive, with only Canada, Finland, Greece, Italy, Norway (bigger surplus) and Sweden realising larger declines in their deficits.[13] As in most other countries, fiscal consolidation was achieved by a mixture of revenue increases and current and investment spending restraint. Fiscal consolidation has allowed debt dynamics to be turned around, and the United Kingdom to meet the Maastricht fiscal criteria. On the other hand, both the cyclically-adjusted and current account balances remained in deficit even though the output gap was closed in 1997.[14] However, with the further tightening of fiscal policy in 1998 and 1999, both the actual and cyclically-adjusted deficits could fall to ½ per cent of GDP on the OECD's projections, which is close to the government's projection.

The government has put forward ambitious medium-term projections: they suggest that the government will easily meet the golden rule and the debt/GDP ratio will fall substantially (Figure 9). Given the past macroeconomic volatility it appears wise to err on the side of caution. In addition, if the United Kingdom

Figure 9. **THE GOVERNMENT'S FISCAL MEDIUM-TERM PROJECTIONS**

Current balance, per cent of GDP



Source: HM Treasury (1998), *Financial Statement* and *Budget Report.*

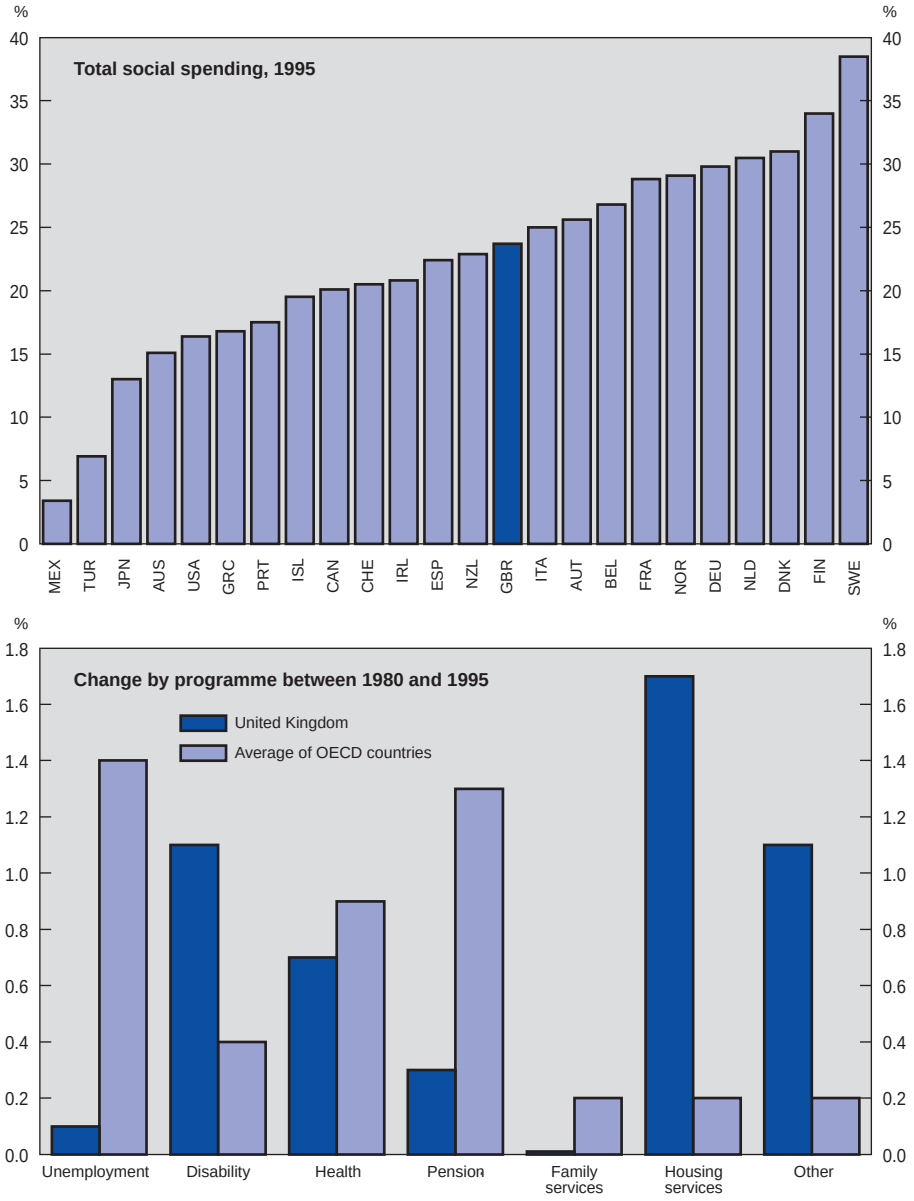
were to join EMU, a fiscal cushion would be necessary to comply with the Stability and Growth Pact at cyclical troughs. However, considerable uncertainties surround spending plans because they hinge on the outcome of the Comprehensive Spending Review. Contrary to earlier Public Spending Reviews, which concentrated on raising effectiveness of single departments, this review was set up to also reorder spending programmes to meet the government's priorities. Apart from 24 departmental reviews, there are 6 cross-departmental reviews and a Ministerial committee is co-ordinating the allocation of resources between departments. The review examines whether spending programmes meet the public interest; whether they are in line with the government's objectives; and whether they are the most effective way of achieving those objectives. The review process is due to finish in Summer 1998. Pending new spending plans which will emerge from the outcome of the review, the government has based its medium-term scenarios on three spending assumptions, ranging from a real annual growth in spending of ¾ per cent to 2¼ per cent. Average real spending growth was 1¾ per cent per annum between 1980 and 1997. In the low spending

scenario, government net saving (the current balance) would rise to 4¼ per cent of GDP by FY 2002/03 and in the high spending scenario to 2 per cent of GDP, while the budget would show a surplus of between 3¼ and 1 per cent for the two scenarios, respectively.[15] This would lead to a sizeable reduction in indebtedness. Over the medium-term horizon, taxation is projected to rise by 1¼ percentage points of GDP, reflecting real fiscal drag and a programmed rise in fuel and tobacco duties.

In the absence of the Comprehensive Spending Review, it is difficult to assess how successfully spending can be restrained over the medium term, while also satisfying the government's aims of increasing real spending on the National Health Service, of raising educational standards and of providing high quality public infrastructure. In the short run, there is a risk that tight labour market conditions could ignite public sector wage pressures after a string of years of settlements below private sector rates. Public sector wages will rise by 3.9 per cent in the course of 1998, but the phasing in of the increase in April and December implies a much smaller average yearly rise. However, the carry-over into 1999 will be substantial and wages of low-paid staff will rise in line with inflation already in 1998. Apart from wage restraint, the pruning of public investment has helped to improve the public finances. General government investment as a share of GDP is now the lowest in the OECD. In part, this reflects the increasing use of the Private Finance Initiative (PFI) which reduces the need for public sector investment, but so far, annual PFI spending is only about 0.2 per cent of GDP. The initiative shifts the role of the public sector from being a provider of services to becoming a procurer, with the hope of reaping efficiency gains. Problems arose with this initiative in its early phase as there was little experience in drawing up contracts. In the meantime, the government has streamlined the PFI process, has tackled blockages in the health sector, and a Treasury Taskforce verifies the commercial viability of significant projects before the procurement process begins and helps in establishing model transactions. This is expected to raise the value of PFI contracts considerably by 1999. The largest single project is the Channel Tunnel Rail link. However, after two years of planning, the consortium responsible for the project has been unable to fulfil its planned financing arrangements (public flotation) and as a result is currently looking to strengthen participation in the consortium.

Figure 10. **SOCIAL SPENDING TRENDS**

Per cent of GDP



Source: OECD Secretariat.

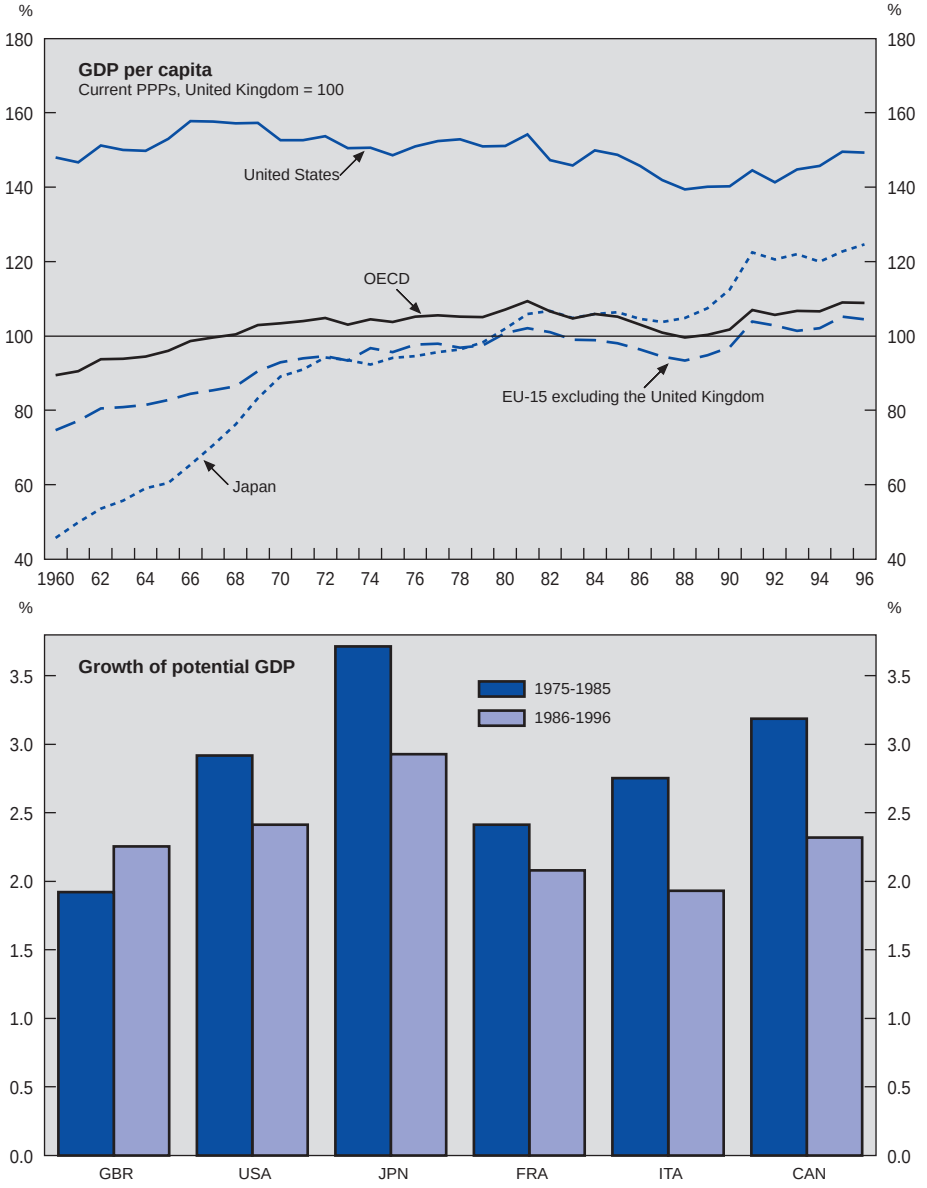
Spending pressures could come from the public sector wage bill and higher general government investment. Moreover, while the PFI programme saves outlays in the build up phase, it results in a commitment to pay service charges in future periods. More importantly, welfare spending has shown an upward trend over the last cycle. While total spending remained constant, a fall in government consumption and investment was offset by a rise in transfer spending (social security, other current transfers and subsidies as defined in the national accounts) by 2 per cent of GDP. Longer term social spending pressures – as defined by the OECD's Social Expenditure database – are similar to those in other OECD countries. Between 1980 and 1993, the share of social spending in GDP rose by 5 percentage points as compared with the OECD average increase of 4.7 percentage points. The UK level in 1993 of 23.7 per cent was still somewhat lower than elsewhere on average (24.2 per cent of GDP), but considerably higher than in the United States (16.4 per cent) and Japan (13.0 per cent) (Figure 10). As compared to the OECD average, increases in spending as a per cent of GDP in the United Kingdom were lower for pension and unemployment benefits, close to average for health care outlays, but considerably higher for disability, housing and other social assistance benefits. Overall, these pressures have tended to restrain funding of other expenditure. Education outlays, for instance, rose by much less. While upward pressure on some of the social spending items could be reduced by the Welfare-to-Work initiative, others will continue, if not addressed adequately by the Comprehensive Spending Review. Overall, it could be difficult to reconcile underlying spending pressures and additional spending commitments with the ambitious medium-term goals the government has set itself. If additional revenue needed to be raised, the focus should be on base broadening, rather than tax rate increases.

III. Implementing structural reform: a review of progress

GDP growth has averaged 2¼ per cent per annum over the past 10 years, very close to the average since the middle of the last century. Indeed, variation in the long-term growth rate over the cycles has been small, apart from the post-war reconstruction period when growth averaged 3 per cent. Other OECD countries have managed to grow at a faster pace, largely because of better productivity performance. Almost four decades ago, the UK level of GDP per capita was some 10 per cent above the OECD average, but many OECD countries quickly caught up and surpassed the United Kingdom in the 1970s. In 1996, the United Kingdom was 8 per cent below the OECD average and ranked nineteenth.

Over recent years, the relative decline has been halted. This partly reflects weaker performance among continental European countries, but also an improvement in UK growth performance since the mid-1980s (Figure 11). The wide-reaching programme of structural reform over the past couple of decades has probably helped UK labour productivity levels catch-up with best practices although a substantial gap remains. Between 1960 and 1985 all G7 countries except the United Kingdom made substantial progress catching-up with US levels. Improvement in the United Kingdom was achieved, but it was not until the following decade that more rapid gains were made. UK relative labour productivity levels rose by some 5 percentage points per person engaged, and by 10 percentage points per hour worked *vis-à-vis* the United States between 1985 and 1995. In contrast, all other G7 countries either broadly maintained their relative labour productivity level (France, Japan) or fell short of the pace of improvement in the United States (Germany, Canada). Many of the smaller OECD countries, with the notable exception of Australia, also made substantial progress over the past decades (Table 11).

Figure 11. **UNITED KINGDOM GDP PER CAPITA *VIS-A-VIS* OTHER OECD COUNTRIES**



Source: OECD, *National Accounts.*

Table 11. **Relative labour productivity levels in manufacturing**

1960-95, United States = 100

	1960		1973		1985		1995[1]	
	Value added per person engaged	Value added per hour worked	Value added per person engaged	Value added per hour worked	Value added per person engaged	Value added per hour worked	Value added per person engaged	Value added per hour worked
United States	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Japan	25.1	19.2	55.4	48.5	78.2	68.8	74.8	72.8
Germany	60.6	56.0	72.5	76.1	75.6	86.4	63.1	81.4
France	47.5	45.9	66.0	70.0	72.3	85.8	70.1	85.1
United Kingdom	48.6	45.0	52.0	53.6	54.7	59.7	59.6	69.7
Canada	69.1	68.5	81.3	82.5	82.0	84.3	68.4	69.6
Australia	52.9	50.5	50.2	49.9	54.2	56.5	50.3	51.7
Belgium[2]	45.3	45.6	60.7	70.9	83.1	106.4	81.1	104.7
Finland[2]	49.2	45.9	54.4	58.3	63.9	71.9	82.8	100.8
Mexico[2]	26.6	24.7	34.2	32.4	34.3	31.4	n.a.	n.a.
The Netherlands	52.8	50.8	76.8	88.2	85.8	107.1	73.7	96.5
Portugal[2, 3]	15.7	n.a.	25.3	n.a.	23.9	n.a.	26.7	n.a.
Spain[2, 3]	15.4	20.4	29.2	37.8	48.8	79.8	40.1	67.6
Sweden	48.5	49.8	66.0	79.6	68.3	87.3	75.4	90.3

1. Or latest available year.
2. The productivity estimates for these countries are directly derived from industry-of-origin studies, and thus exclude PPPs from expenditure studies. They are therefore not strictly comparable to the estimates for the other countries.
3. Portugal/USA and Spain/USA are inferential estimates, based on benchmark studies for Portugal/UK and Spain/UK that were linked to the other countries by the UK/USA comparison.

Source: Pilat (1996).

Despite catch-up towards US productivity levels, UK labour productivity is still the weakest of the G7 countries, along with Canada. There are several reasons for the United Kingdom's relatively poor productivity performance. Perhaps most importantly, the level of per-capita investment in physical assets and skill acquisition has been lower than in most other OECD countries and spending on education, research and development as a share of GDP has fallen from levels well above the OECD average to about the median level. While progress since the mid-1980s has been made in arresting these trends in the forces underpinning growth, it will take some time before the productivity gap narrows. The legacy of macroeconomic instability – which is discussed above – may have also detracted from productivity growth.

Raising potential growth – a broad agenda

The government has embarked on an extensive and wide-reaching structural reform agenda, with the ultimate goal to boost living standards, particularly among the less well-off. The approach seeks to draw on the lessons from previous experience and has two broad pillars. These are strengthening the institutional framework, including the macroeconomic policy-making environment, and implementing microeconomic reforms that help make markets work better. In this sense, the market-oriented reforms of the previous government are broadly maintained and in some areas strengthened. One important exception, however, concerns the abolition of the internal market for providing health care services introduced in the early 1990s.

A large part of the microeconomic reform agenda addresses issues raised by the OECD's Jobs Strategy recommendations for the United Kingdom. These are assessed in Chapter IV. Other elements of the reform agenda include strengthening product market competition, regulatory reform, fostering innovation and entrepeneurship, tax policy in general and financial market supervision. These are discussed below, but since most changes are yet to be – or are in the process of being – implemented, it is too early to provide a detailed assessment.

Product market competition

The degree of competition at the national level and within sectors is considered to be among the most important elements influencing productivity gains,

since competition acts as a powerful force motivating firms to incorporate better technology, design more efficient productive processes and remove organisational slack (Pilat, 1996). Exposure to a higher level of competition forces inefficient firms to restructure, freeing resources for other productive uses. Recent research also finds that a low degree of competition is less conducive to innovation activity (Symeonides, 1997). The 1996 *OECD Survey of the United Kingdom* examined competition policy in depth. The key policy recommendations from that study centred on strengthening the framework for an effective competition policy. In particular, streamlining the organisational responsibility for competition policy, greater investigatory powers for the Office of Fair Trading (OFT) and a less onerous test of anti-competitive practices were called for, as well as closer alignment of UK legislation with EU practices and procedures.

Some of these proposals were first suggested many years ago and are now close to being implemented. The Competition Bill is on track to be passed into law this summer and to come into effect in 1999.[16] The new rules will largely adopt EU regulations governing restrictive practices and abuse of dominant positions into national law. The Competition Bill also provides for the consolidation of the OFT and Monopolies and Mergers Commission into one competition body, with wider investigatory powers and an ability to handle abuses more quickly. Under the existing framework complaints about abuses of dominant position or price-fixing were often handled in Brussels. The new body is expected to be more pro-active, with greater capacity to initiate and handle investigations in the United Kingdom. Not all investigations, however, are likely to have a purely national dimension. Due to the Single Market and a spate of company acquisitions and mergers ahead of European Economic and Monetary Union, a growing number of cases will have a cross-border dimension.

In order for this new framework to be effectively implemented it is important that the competition body receives adequate resources to perform its functions. The government will ensure that the OFT has the necessary resources and uses them effectively. It is estimated that the additional expenditure involved in the new regime will be about £6.5 million annually, with staffing at the OFT rising by approximately 15 per cent. These extra funds are not expected to enable the competition body to examine all sectors or firms, especially given the highly technical and rapidly changing nature of many industries in advanced economies such as the United Kingdom. Rather, the body will need to focus its resources on

those sectors most exposed to limited competition and where the gains from intervention are likely to be high. To identify these cases, one possibility is to strengthen and expand benchmarking studies. Such studies measure the performance of the highest achievers within an industry or sector, sometimes across countries, and attempt to identify the factors which explain superior performance. Of course, performance shortfalls relative to best practice are not necessarily due to non-competitive practices, but they can serve as a useful indicator and also perform an instructive role identifying and increasing awareness of productivity enhancing processes.

Quantifying the impact of changing product market competition and regulatory arrangements on economic output is virtually impossible. Nonetheless, it is feasible through expanded use of benchmarking studies to develop an evaluation framework to assess whether competition policies are working adequately. And other policies can indirectly strengthen competitive forces. For instance, further progress in reducing barriers to the free flow of goods, services and investment, both within the Single Market and the rest of the world should expose inefficient practices and apply stronger pressure for sharpening performance. But how widely such forces reach throughout the economy also depends on the scope of the legislative framework. Certain sectors, such as financial markets and the professions, are currently exempt from the Competition Bill.[17] Broader coverage would help secure a larger part of the benefits that derive from a more efficient allocation of resources.

Regulatory reform

In some sectors, market forces in themselves are unlikely to lead to desirable results. This situation is common in most utilities, particularly water, where local natural monopolies are pervasive. In such cases a regulatory framework is necessary to ensure that market power is not abused and resources are deployed efficiently. Ideally, the framework should provide incentives which come close to mimicking the conditions of, and outcomes that would be expected in a competitive market. Features of such a system typically aim to promote competition by removing entry barriers, place restrictions on vertical integration and horizontal concentration, expand the use of franchising and contracting-out of those goods and services that are not characterised by natural monopoly conditions, and by regular benchmarking studies and strengthening of competition policy.

In practice, however, designing and implementing an effective framework can be difficult, especially when no precedent exists. This was demonstrated in the United Kingdom, particularly in the first years following the privatisation of many public utilities. Regulatory arrangements fell short of providing a regime that would give adequate incentives for passing on efficiency improvements through lower prices and better quality services to consumers.[18] Many of the privatised enterprises retained their monopoly status, at least initially, and others were able to operate in monopolistic markets for part of their operations. To limit market power utility regulators adopted a price control scheme known as RPI-X, where RPI is the retail prices index and X reflects expected efficiency gains.[19] Once set, the X rate was fixed for about five years. It is difficult, however, to set X at the right level. It requires a detailed understanding of a company's cost structure and potential efficiency gains, part of which will depend on unknown technological improvements. In retrospect, the X factor was typically set too low and the new owners were able to extract sizeable monopoly rents due to large efficiency gains. With experience, regulators used more sophisticated methods to set X, which could vary based on parameters agreed in advance between the regulator and the industry. This approach has resulted in price caps acting as a greater operational constraint on business, particularly in monopoly networks, and spurred efficiency gains.

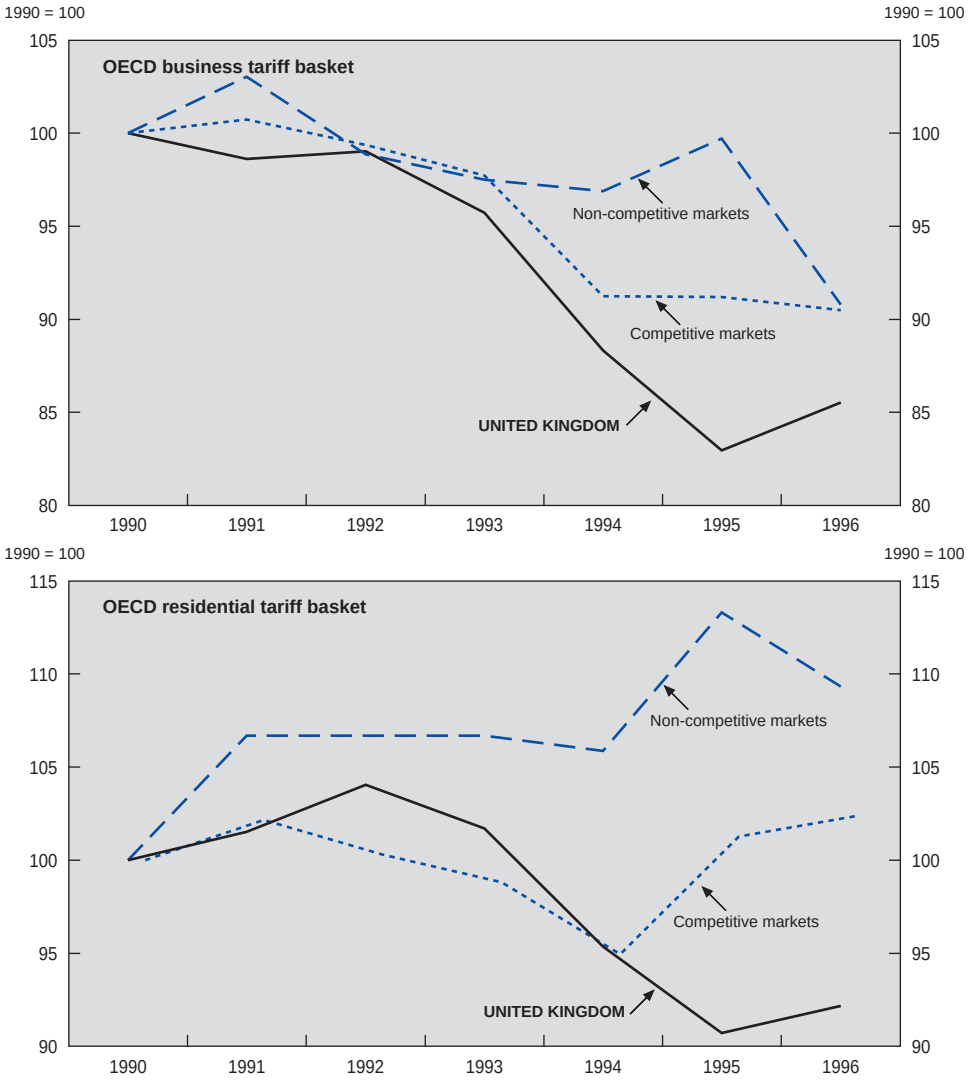
The average annual rate of return on investments in regulated network industries and generation companies has been systematically higher compared with average returns on other shares (Thornton, 1998). And in those companies where senior management performance-related pay packages were linked to share price movements, executive salaries grew at a spectacular pace, generating pressure for change and weakening public perceptions of the gains from privatisation. In the case of electricity, nominal industrial energy prices since privatisation in 1990 have been steady, but on average, so have prices in the OECD area generally. Moreover, the level of industrial electricity prices in the United Kingdom is higher than the average. For households, electricity prices have not risen as fast as in other OECD countries, and even fell between 1992 and 1996, but their level is well above the United States which has a more competitive electricity market, and about the same level as in other European regulated markets.

The July 1997 Budget announced a one-off tax on the ''windfall'' profits of privatised utilities, which is intended to finance the cost of the Welfare to Work programme. The tax is meant to appropriate and distribute more widely the high level of profits achieved following privatisation. The incidence of the tax, however, is unlikely to fall on those who benefited, since many of the original shareholders subsequently sold their shares, realising a capital gain.[20] At the same time the government announced a review of utility regulation.[21] The results of this review were published in a Green Paper in late March (DTI, 1998). The paper sets out proposals that aim to modernise the regulation of water, gas, electricity and telecom utilities, safeguard the interests of consumers, sharpen incentives to innovate and improve efficiency, within a more transparent framework. The 42 proposals include keeping RPI-X as the fundamental basis for price regulation, separating the supply and distribution elements of electricity licenses and replacing electricity and gas regulators with a single energy regulator.

In contrast, firms that have been privatised in markets where competition was permitted have generally brought lower prices and better quality services to consumers and businesses (Thornton, 1998). Telecommunications and natural gas are good examples. The telecom monopoly was dismantled in 1984, although competition was mostly limited to business clients. In 1991, a relaxation of entry restrictions and technological innovations spurred more competition in residential services. Since the establishment of a competitive telephone market in the United Kingdom, charges have fallen for both residential and business users. Moreover, the rate of fall has been quicker than in other countries with competitive markets and compares with increases, until recently, in non-competitive markets. Although these trends largely reflect technological developments, competitive markets have brought a quicker diffusion of the benefits from these innovations (Figure 12). Competition in the natural gas supply market is more recent, although privatisation dates back to 1986. Since the separation of British Gas in 1996 into a monopoly network and several gas supply firms which are almost fully open to competition, prices have fallen. Natural gas used for industrial purposes fell by 27 per cent between 1995 and 1996 and is close to the lowest level in international comparison. Falls in gas prices for electricity generation and household use have been much less, but also compare favourably in international comparison.

Figure 12. **TELEPHONE CHARGES IN COMPETITIVE AND NON-COMPETITIVE MARKETS**[1]

Index 1990 = 100



1. Simple average of each country's index (1990 = 100). The calculation is based on PPPs expressed in US$. Luxembourg and Mexico are excluded. The countries with competitive markets are: from 1990, the United States, the United Kingdom, Japan and New Zealand; from 1992, Canada, Australia; from 1993, Sweden; from 1994, Finland.

Source: OECD (1997*b*).

National Health Service[22]

One area where the new government has partly reversed earlier market-oriented reforms concerns health policy. The internal market for delivering health services will be abolished and replaced with a system that will place less accent on competition and more on co-operation between doctors and between doctors and patients. The internal market was created in the early 1990s as a device to reduce supply side inefficiencies and expand consumer choice, while maintaining universal coverage and effective cost control. The central idea that underpins the internal market is to separate the purchaser and the provider of hospital and community health services. Providers compete to supply services to purchasers of health care. There are two types of purchaser. The first and largest kind are the Health Authorities (HA) which have responsibility for a whole area. The second type are General Practitioner (GP) Fundholders who deliver primary care services. Both receive a budget from the National Health Service (NHS) with the HA budget based predominantly on a per capita formula. Within this budget, Fundholders and HAs are able to purchase treatments for their patients. GP Fundholders who underspend their allotted budget can use the surplus to improve and expand their practice. On the provider side, hospitals were converted into independent trusts and given autonomy to sell their services to GP Fundholders and HAs. Trusts are responsible for managing their budget and have more operational flexibility. Most evaluations have found that aspects of the system work well, such as the separation between planning and provision and the increased role for primary care, although some are less equivocal, particularly in terms of meeting fairness criteria and the high administrative burden. Greater competition has improved efficiency, mainly due to GPs prescribing cheaper, but equally effective medication, through greater specialisation in trust hospitals and through greater responsiveness to GPs on the part of trust hospitals. However, with the coexistence of GP fundholding and GPs who opted to remain outside the fundholding scheme, patient waiting times for treatments were not always handled fairly; a practice known as ‘‘queue jumping’’.

The new approach will create local ‘‘partnerships’’ that consolidate family doctors and community nurses into Primary Care Groups to work with hospitals and health authorities. It is hoped that greater co-operation will result in health care services that more closely satisfy needs and extend the incentive created by

the internal market for doctors to deliver services cost effectively. However, it is not yet clear what mechanisms can be developed to achieve co-operation and resolve conflicts over planning and service delivery among partnerships that include all GPs and community nurses in a locality. Moreover, it will be a challenge to extend responsibility of managing service delivery within a budget constraint to all GPs and all services. On the other hand and since, in time, the new system will apply universally, the practice of ''queue jumping'' should cease and longer term agreements and other simplifications may, based on government calculations, lower administrative costs by £1 billion over the current Parliament.

Tax policy – lowering obstacles to growth

An important factor likely to impact on an economy's total factor productivity is its ability to adapt and innovate. Given the rather amorphous nature of such forces, policies which try to stimulate innovation and adaptability are typically focused on removing obstacles which are believed to curtail such behaviour, rather than direct interventions. This naturally shifts the focus to identifying barriers to research and development and the commercial exploitation of its discoveries, investment and firm creation. In this context, the government has modified capital gains tax in the March 1998 Budget to lower rates on long-term investment and adjusted tax reliefs relating to access to venture capital and high risk investments. The March 1998 and July 1997 Budgets also removed some distortions in the corporate tax code and raised incentives to save (see below), especially among the less well-off. Nonetheless, there is scope for more improvement and further review of household and indirect taxation which has so far been excluded from the agenda.

The government has reformed elements of the UK capital income tax structure which may have favoured a more short-term approach to investment decisions and possibly resulted in a lower overall level of investment. For example, tax exempt pension funds had an incentive to favour dividends which were coupled with a tax credit, rather than retained earnings. These tax credits were abolished in the July 1997 Budget. Moreover, firms whose income was predominantly sourced abroad were often not able to claim the full benefit of this imputation system. These firms were effectively taxed twice, resulting in lower

net retained earnings. Since retained earnings are a source of investment finance, and to the extent that other finance sources are not perfectly substitutable for retained earnings, investment decisions may have been curtailed. This distortion was removed by further reforms to the corporation tax system in the March 1998 Budget, which replaced Advance Corporation Tax with a system of quarterly payments.

More generally, the tax system may discourage saving, since it places greater reliance on the income base and less on the consumption base. This structure distorts the decision to save since the income base implies a double taxation of saving; once when the saved income was generated and again on the income stream earned on these savings. Although consumption taxes are relatively more important in the UK tax mix (some 34 per cent) than they are in most European economies, it is also the case that the proportion of UK revenues raised from personal and corporate income tax bases is higher. In order to try and limit the distortionary effects on saving, tax policies often permit some tax relief on savings income. In the United Kingdom, savings channelled through pension funds receive generous tax treatment and some saving account instruments (PEPs and TESSAs) are tax exempt.

Tax policy responses largely concentrate on making adjustments to eligibility criteria, improving access and the flexibility of savings instruments benefiting from tax relief. The March 1998 Budget finalised details of a new Individual Savings Account (ISA) to complement other tax exempt accounts by extending favourable tax treatment to a wider range of assets structured, it is hoped, in such a way that it will encourage savings from people on lower incomes. It is not clear whether the overall level of savings will increase, because tax-favoured instruments may partly serve as a close substitute for savings channelled through instruments with less favourable tax implications and the maximum annual increment of tax-exempt savings is capped at a relatively low level.

Reform of the financial regulatory regime

The existing financial market prudential supervision regime is a product of the 1986 ''Big Bang'' in the London market.[23] Since then, the financial system has changed profoundly, both in terms of financial products offered, and in terms of the scope of activities pursued by the various institutions. In addition, a

number of regulatory mishaps since the mid-1980s were partly blamed on the fragmented self-regulatory regime. In May 1997, the government proposed a major overhaul of the current system of supervision and protection to create a new single regulator to be called the Financial Services Authority (FSA). The new regulator will, through legislation to be passed over the next two years, have a single set of powers to regulate and supervise almost all financial institutions and markets.

The current system, in which there are nine regulators,[24] will be consolidated into the FSA. The earlier system proved inefficient, confusing for investors, lacked accountability and led to overlapping regulatory demands (OECD, 1997*c*), while the new structure will bring the regulatory regime closer in line with financial market developments. The benefits of the new approach are seen to be a better co-ordination of the supervision of complex groups; improved accountability; improved investor and depositor protection through a single point of entry; better capability of investigation and enforcement; the sharing of specialist knowledge; and, above all, a single, efficient and transparent regulatory structure should enhance the competitiveness of the financial industry. The design of a new supervisory structure within the FSA is a complex issue: under current planning, the supervision will be divided into units supervising particular areas, such as banking, insurance or fund management, but financial conglomerates will be supervised by a ''lead supervisor'', who will be responsible for a co-ordinated and prioritised supervisory programme for the whole group. Other options, including, for instance, multi-disciplinary supervisory teams were also seen as attractive, and the FSA has proposed to work with financial conglomerates to pilot alternative models.

Assessment

Despite progress over the past decade, considerable potential remains to improve UK productivity levels further. The government's wide structural agenda hopes to lift the economy's level of productivity and in the process close the gap with the world's leading economies, and distribute the benefits widely. The approach largely follows the market-oriented policies of the previous government, but puts greater emphasis on the distributional consequences that may result from liberal polices. This may prove difficult to accomplish without poli-

cies designed specifically to redress the problems of the most disadvantaged (see below). Nonetheless, strengthening competitive forces will help expand the resources available to address these concerns.

With such a broad structural agenda, it will be important to remain focused on the ultimate goals and set priorities. Otherwise the momentum for change may be too broadly scattered and result in slow and ineffective implementation. Successful implementation will also depend on providing adequate resources to professionally operate the regulatory agencies and the body overseeing competition policy and the financial markets. Concerning tax policy, changes so far have been focused on corporate tax and significant reforms to National Insurance contributions to lighten the burden on the low paid. While tax system changes already introduced go some way to promoting more long-term planning horizons and complement the aims of reforms to the corporate governance structure, a first-best strategy would attempt to remove the source of the tax biases against saving, rather than address the symptoms. In this respect, significant potential exists to reduce other distortionary elements of the tax system not currently under review. For instance, the structure of value added taxes, which account for about 20 per cent of total tax revenues, include numerous exemptions or reduced rates. Broader VAT coverage with more uniform rates would reduce the distortionary effects of the VAT system itself, limit opportunities for evasion and fraud, and permit a revenue neutral shift of the tax burden on to consumption. Even though the UK corporate tax system is among the least distorted in international comparison, marginal effective tax wedges bias new equity in favour of debt or retained earnings as sources of finance and differentiation of corporate tax rates in support of small business may distort entrepreneurial and investment behaviour.[25]

Scope also exists to examine the effectiveness of tax expenditures which erode both the direct and indirect tax bases. In FY 1997/98 the Treasury estimates that tax expenditures will amount to about £40 billion – of which tax reliefs on savings account for about one-third – equivalent to some 15 per cent of central government outlays and 2 per cent higher than in FY 1996/97. The rise largely reflects the July 1997 Budget decision to further reduce the already lower VAT rate on domestic fuel and power, raising the tax expenditure to £1.7 billion per annum, approximately double the annual amount allocated to the Welfare to Work programme. Tax expenditures are not part of the government's Comprehensive Spending Review. Structured tax reliefs which reduce tax liabilities to

reflect broad distributional objectives, and simplify compliance and enforcement, but can also resemble tax expenditures are also excluded. Structural reliefs are projected to rise by 8 per cent in FY 1997/98 to reach £105 billion (HM Treasury, 1997*f*). The main structural reliefs include personal and capital allowances against direct income tax assessments.

IV. Towards a better integration of work and welfare

The previous *OECD Survey of the United Kingdom* (OECD, 1996*a*) evaluated progress made in implementing the OECD's Jobs Strategy. It concluded that much progress had been made in improving the flexibility of the labour market, but recommended that greater efforts be given to raising the skills and competences of the labour force, to improve the effectiveness of active labour market policies (ALMP) and to sharpen work incentives which could be impeded by the tax and benefit system (Table 12). Since that report, UK labour market performance has continued to improve. Employment, after several years of sluggish growth is now buoyant and unemployment has fallen sharply to reach 6.4 per cent of the labour force, which is close to most estimates of the structural rate of unemployment and its lowest level since the labour force survey was introduced in 1984.

But not everyone has benefited. Some 2.3 million people, 6.5 per cent of the working-age population, would like to work even though they are not classified as unemployed, and there has been virtually no growth in the labour force and employment rate over the past 14 years (Office for National Statistics, 1997). Moreover, growth in the number of inactive people who would like a job has averaged 5 per cent per annum since 1992. Many of these people are dependent on welfare benefits for survival. And often they are concentrated in deprived areas where employment opportunities are low. Increased labour market flexibility has also been associated, and some would argue connected, with significant increases in income inequality and poverty.[26] The Gini coefficient based on household incomes, rose (indicating a less equal distribution) on average by an unprecedented 2.5 per cent per annum between 1977 and 1991. The trend towards greater inequality reversed a period of some 30 years in which income

Table 12. **Implementing the OECD Jobs Strategy: an overview**

Proposal	Action	Assessment/recommendation
I. Reform of unemployment insurance and related benefit systems		
• Lower work disincentives facing some groups, by shifting benefit entitlement to an individual basis and by adjusting administrative rules to alleviate the transition from unemployment to work.	Taylor review established in May 1997 considered how the tax and benefit system can be streamlined to raise employment opportunities and work incentives.	The trade-offs between unemployment and poverty traps cannot be evaded through increased spending on in-work support. But they can be rebalanced to encourage greater attachment to the labour market. A wide earnings distribution and low out-of-work benefits suggests that a potential to strengthen employment incentives at modest cost exists.
	Improved child support, especially for lone parents through a Child care tax credit and other measures.	Should increase the incentive between choosing some work, rather than no work, but lowers the incentive to increase work effort beyond a limited number of hours.
	Working Family Tax Credit to replace the existing in-work benefit – Family Credit.	Existing scheme works well. New approach will be less transparent and more complicated to administer. As the WFTC will not be budget neutral, work incentives will be strengthened. May reduce stigma of claiming a benefit.
	Reform of National Insurance contributions.	Improves work incentives and eases poverty traps.
	Introduction of a 10 per cent marginal income tax rate proposed.	A lower income tax rate would benefit all tax payers. Changes to the benefit system can be more finely targeted.
• To the extent that trends in earnings and benefits have widened income distribution, examine how policies bear on those at the bottom.	Planned introduction of a national statutory minimum wage.	Rather ineffective anti-poverty measure. If introduced, do so at a low level with a differential between youth and adult minima. Policies other than exclusive reliance on higher employment levels may be required to assist those most in need.

Table 12. **Implementing the OECD Jobs Strategy: an overview** *(cont.)*

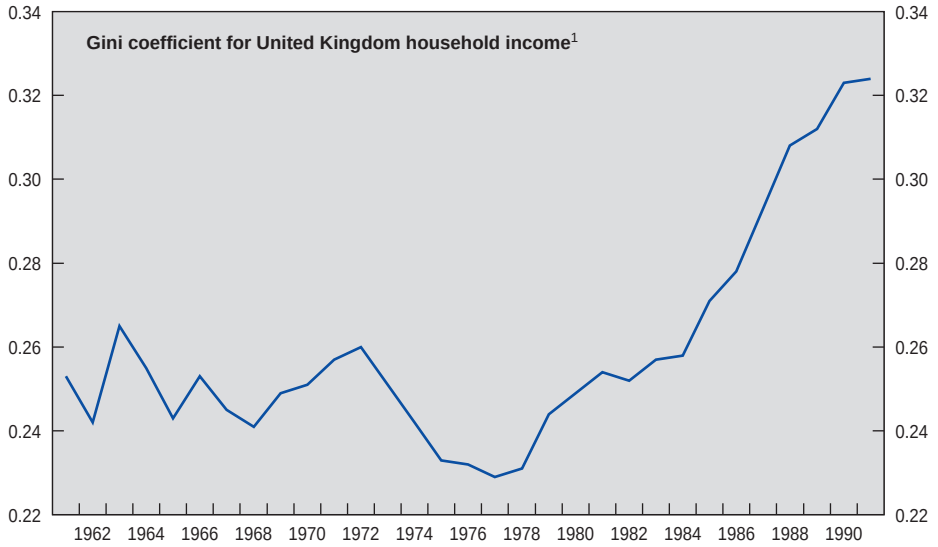
Proposal	Action	Assessment/recommendation
II. Improve efficiency of active labour market policies		
• Ensure cost effectiveness of wage subsidy ALMPs.	Pilot studies of new schemes conducted regularly. Effectiveness of ongoing schemes reviewed regularly.	Continue to make systematic reviews.
• Extension of ALMP, provided they enhance labour market participation and social opportunity for disadvantaged groups	Welfare to Work has begun on a nation-wide basis in April 1998. Principally aims at young and long-term unemployed, but also provides resources for disadvantaged groups such as lone parents, disabled, ex-offenders and those with English language difficulties. Provides wage subsidies, education and training and employment in the voluntary sector or an Environmental task force for those not securing a job in the private sector. Sanctions apply to youth who decline to participate.	Careful implementation needed in order to limit potentially large dead-weight and substitution costs. Enhance opportunities for other groups in need of assistance.
III. Improve labour force skills and competencies		
• Improve educational attainment of 16 to 19 year olds.		
• Allocate a larger proportion of budget for vocational training and education.	Introduction of university fees to fund an expansion in the number of people enrolled in higher education.	
• Increase life-long learning opportunities to address the large stock of unqualified older workers, possibly via training vouchers.	Investors in People Standard, gives employers a benchmark to evaluate the skill level of the workforce and a better basis for determining needs. Aims to increase employer investment in training and skills.	Emphasis on providing information on opportunities important, but does not necessarily reach those with the weakest skills. Participation in adult education closely related to initial level of educational attainment. Suggests emphasis on extending the initial level of education attainment and targeting opportunities to those with few skills.

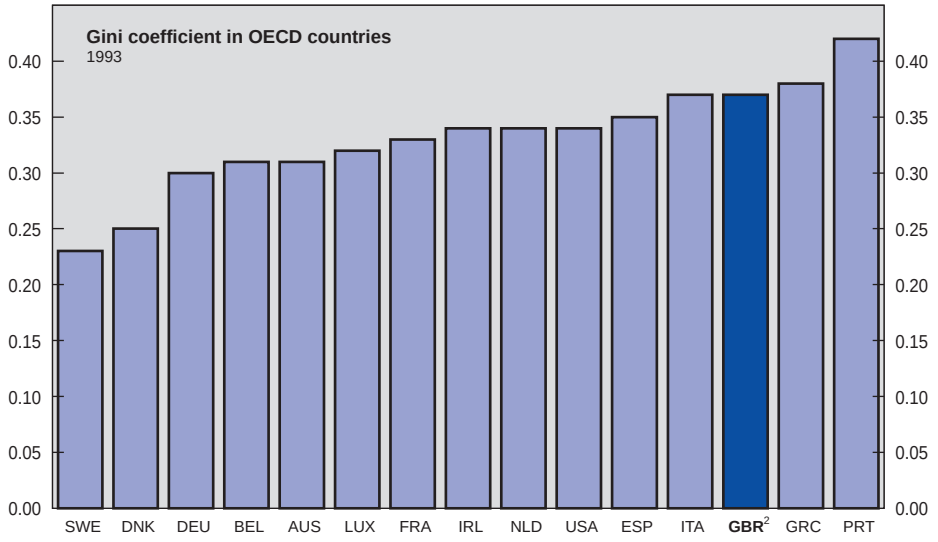
Table 12. **Implementing the OECD Jobs Strategy: an overview** *(cont.)*

Proposal	Action	Assessment/recommendation
	Government plans to introduce Individual Learning Accounts which will offer an incentive for individuals in and out of work to raise their skill levels.	
	Establishment of a University for Industry. Will offer life-long learning opportunities and serve as a clearing house on other learning opportunities.	
IV. Increase the flexibility of wages and employment conditions	Signed the European Social Chapter.	The Social Chapter is not expected to impose serious restrictions on the labour market.
	Low Pay Commission established in July 1997 to make recommendations on the level and other design features that the minimum wage should take.	A minimum wage would reduce wage flexibility. If it were to be introduced it should start at a prudent level, in order to avoid negative employment consequences. The pronounced age/income profile suggests that a differentiation by age would be advisable. Linkages between the minimum wage and tax and benefit changes should be taken into account.

Source: OECD Secretariat.

Figure 13. **HOUSEHOLD INCOME DISTRIBUTION**





1. Before housing costs.
2. Based on household incomes after direct taxes, social security charges and housing costs.

Source: Goodman and Webb (1994), Eurostat (1997) and Gottschalk and Smeeding (1997).

inequality was largely stable and perhaps even falling slightly during the period of incomes policies in the late 1960s and early 1970s (Figure 13).

The new government has ambitious plans to change these trends. The centrepiece of this approach is the goal to raise the level of, and rewards from, employment. The agenda gives high priority to the young and the long-term unemployed as well as some of the inactive, and relies almost exclusively on raising employment to redress poverty and inequality. A wide range of policies can be construed as potentially consistent with efforts to promote these goals. They include ALMP, promoting human capital, sharpening work incentives and tackling barriers to employment. The government has defined employability as ''the development of skills and adaptable workforces in which all those capable of work are encouraged to develop these skills, knowledge, technology and adaptability to enable them to enter and remain in employment throughout their working lives''.[27] In this context, employability is focused less on achieving specific unemployment or labour force participation rates, but rather on ensuring that opportunities and incentives to work are available to all.

The focus of this chapter is to evaluate the government's employability initiatives. Since the agenda places heavy emphasis on sharpening incentives for seeking employment, lowering barriers to employment and policies that strengthen the working-age population's job readiness and job search effort, these areas are covered in greater depth. Higher employment levels also form part of the strategy for reversing increases in poverty. The chapter, however, does not attempt to identify and evaluate alternative policy strategies that might keep unemployment and welfare dependency low while also addressing poverty and inequality. Rather, an overview of recent trends in inequality and poverty is included and the assessment identifies the trade-offs that the government could encounter in implementing its approach.

Workforce developments

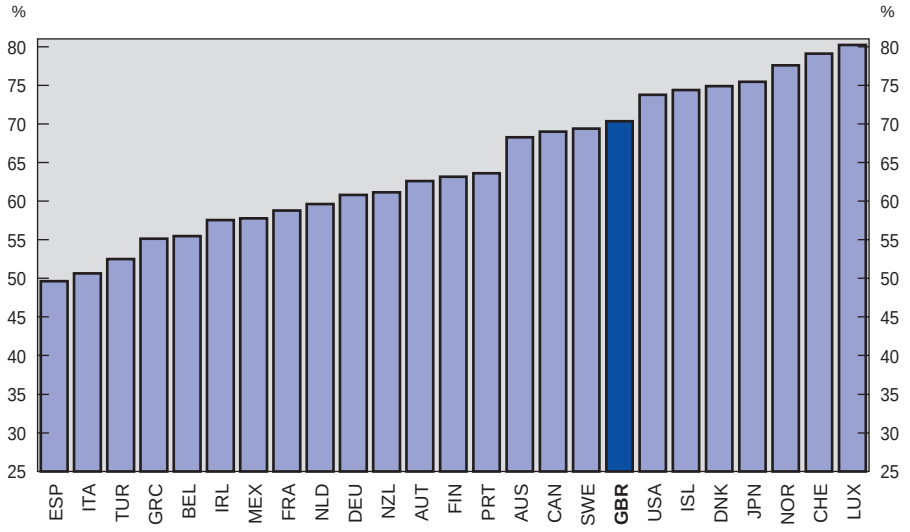
Active in the workforce

Since the early 1980s, the United Kingdom's labour market has been radically transformed. A series of employment laws reduced employees', and especially unions' bargaining power. Wage Councils – which set occupational mini-

mum wages and work conditions – were largely abolished, welfare benefits reduced in relative terms and eligibility tightened.[28] These initiatives were a major component of the previous government's efforts to strengthen labour market flexibility and increase potential output. These reforms helped reduce structural unemployment, but had little discernible effect on raising employment rates. Although the UK employment rate compares favourably with most other European countries, it is still some 3 percentage points below the peak rate of the last cycle and lower than in the United States, Japan and most of the Nordic countries (Figure 14).

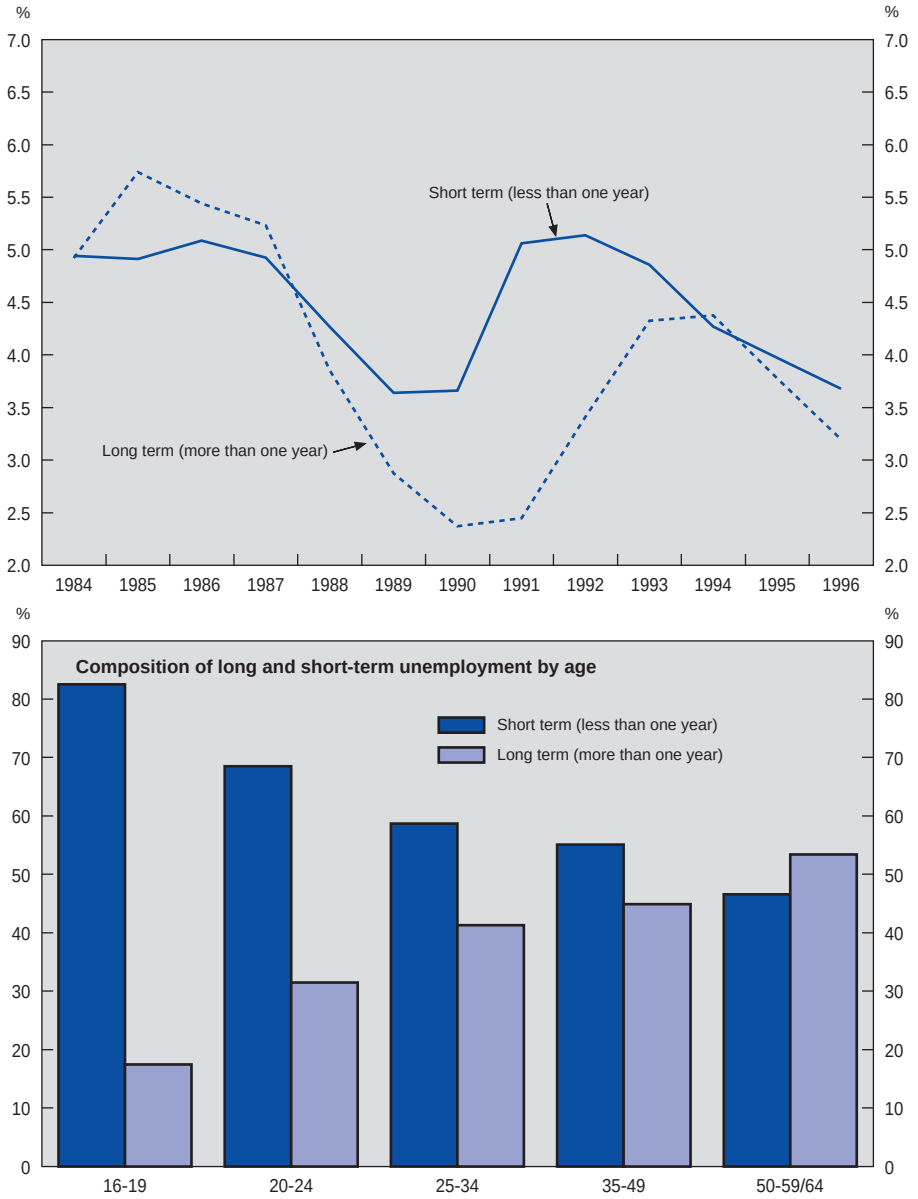
The nature of unemployment has changed. The rate of long-term unemployment – unemployed for over a year – has fallen (Figure 15, upper panel). In the early 1980s, about half the unemployed were without work for over a year, whereas currently, about 2 out of 5 unemployed have been looking for work for more than a year. When examined over a longer period, however, the composition of unemployment remains a major concern. Prior to the 1980s, long-term unemployment was relatively insignificant, with about 10 per cent of the

Figure 14. **EMPLOYMENT RATE IN OECD COUNTRIES**



Source: OECD, *Labour Force Statistics.*

Figure 15. **LONG AND SHORT-TERM UNEMPLOYMENT RATES**



Source: Office for National Statistics, *Labour Force Survey,* Historical supplement 1997 and OECD, *Labour Force Statistics.*

unemployed out of work for over a year. The long-term unemployed find it much harder to find work and are more likely than the short-term unemployed to move onto other benefits. For example, among those unemployed for more than two years, the chance of finding employment in the following year is only 50 per cent. The incidence of unemployment duration is also closely linked to age. Teenagers typically have the highest rate of unemployment, but the average duration of unemployment is relatively short. In contrast, the unemployment rate among older workers is usually below the national average, but more than half have been unemployed for more than one year. Among prime-age workers unemployment duration is more evenly distributed (Figure 15, lower panel).

Despite a highly deregulated and more flexible labour market, the aggregate participation rate has not increased over the past couple of decades, averaging slightly less than 75 per cent, considerably below the United States and Scandinavian countries. Lying behind a stable national participation rate have been significant structural changes in the age and sex composition of labour force participation. Male participation has fallen by about 5 percentage points since the early 1980s, while a rise in the female participation rate has roughly offset that fall. More striking are the changes in the age distribution of the active workforce. Teenage participation has fallen by some 10 percentage points in one decade, mostly reflecting an increase in the average number of years in education. Older workers (50+), especially males, are also less active in the workforce.

Non-attached to the workforce

Examination of employment and unemployment trends hides a more complex picture of the UK labour market. A closer look at the composition of working age people out of work reveals a number of groups excluded from the labour force. Currently, about 7.5 million individuals of working age are economically inactive. Most of these people are inactive by choice, for example because of family responsibilities, voluntary early retirement or full-time education. But some 2.3 million (6.5 per cent of the working-age population) would like to work even though they are not classified as unemployed. Moreover, growth in the number of inactive who would like a job has averaged 5 per cent per annum since 1992.

Three distinct groups of people account for most of those classified as involuntarily non-employed. The first and fastest growing group are the long-

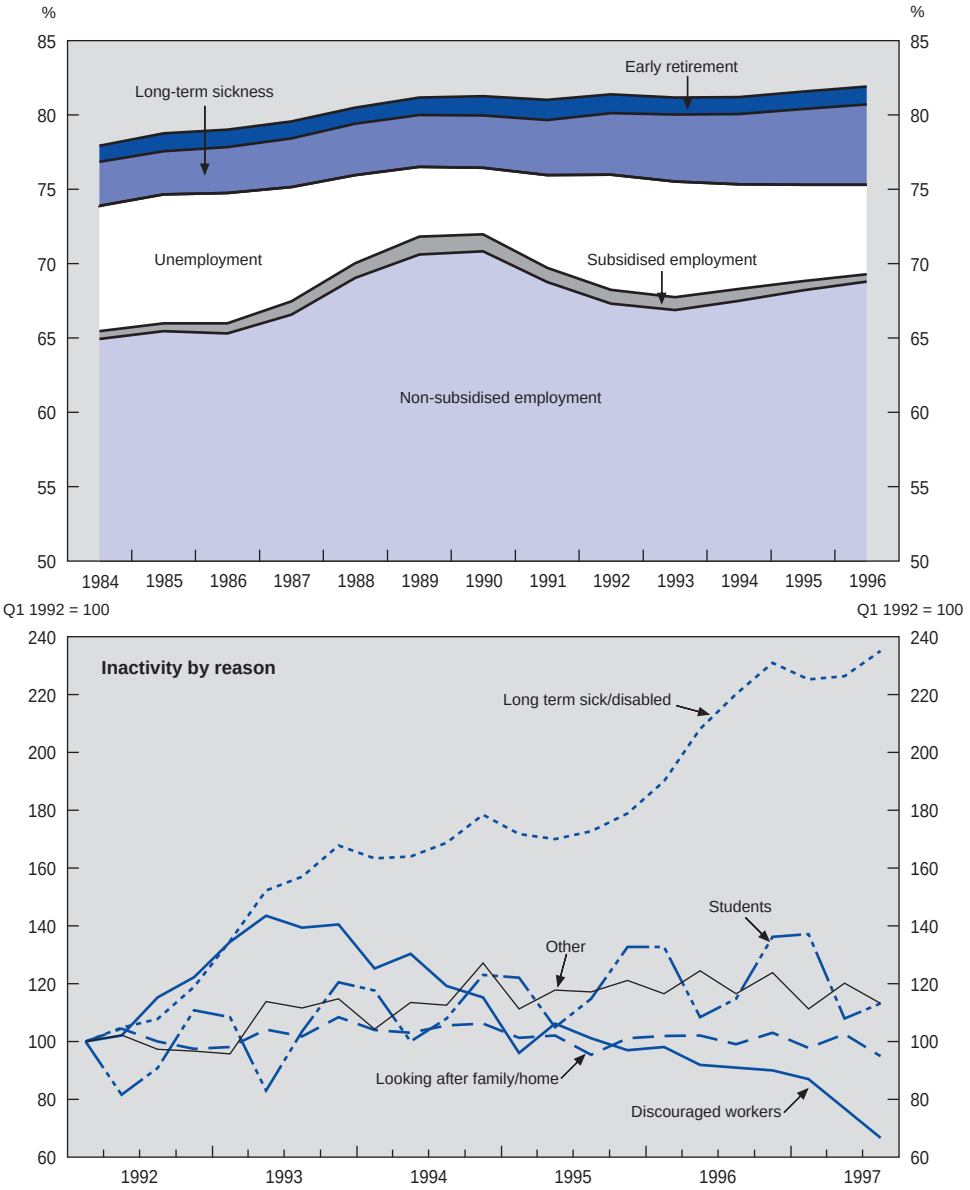
term sick and disabled (Figure 16, lower panel). The number of people of working age out of work due to sickness and disability has risen by 1½ million over the past 20 years, to reach some 4 per cent of the working-age population. Most of the increase has been concentrated among older unskilled males. Not surprisingly, the economic inactivity rate among older male workers has increased by about 6 percentage points since 1984. The second major group are lone parents. More than one million households with children are headed by lone parents, which is equivalent to about 20 per cent of the total number of family households. Partly due to limited availability of affordable child care opportunities and low earnings potential, few lone parents work. The employment rate for lone parents is just over 40 per cent, down from 48 per cent in 1978 and one of the lowest rates in the OECD. The third group are the spouses of those classified as unemployed. They currently number half a million. Many of them are living in poverty, obviously due to low incomes, but also often trapped in this situation due to perverse or weak incentives implied by the tax and benefit systems (see below). Moreover, long periods of separation from the labour market reduce the chances of successful entry into the labour force, due to skill atrophy and adverse employer perceptions, thereby creating a growing class of inactive working age individuals.

Household indicators of joblessness are useful in detecting the extent of social distress. Such measures reveal a major division between so called ''job rich'' and ''job poor'' households. Currently almost one-fifth of working-age households (including lone parents) are jobless, almost a threefold increase from two decades ago. Although the proportion has dropped slightly in recent years, as the recovery has matured, the rate is still one of the highest in the OECD. This is despite a higher than average overall employment rate, and relatively low unemployment, suggesting a disproportionate concentration of those out of work falls on job-poor households. Not surprisingly, 80 per cent of workless households are dependent on benefits and for many of these benefit recipients, job search is not a requirement.

In summary, the UK labour market is characterised by falling unemployment that is now probably below the structural rate which has also fallen and is among the lowest in the OECD.[29] Several key structural trends are also evident. Long-term unemployment, especially among older workers, and youth unemployment rates remain high, and the number of non-active working age

Figure 16. **STRUCTURE OF THE LABOUR FORCE AND NON-ACTIVE**

Per cent of population 16-64 years



Source: Office for National Statistics, *Labour Force Survey*, Historical supplement 1997 and OECD Secretariat.

individuals with a disability or long-term sickness have increased sharply. Effective labour supply also seems weak among individuals whose potential earnings are low, for those who are single parents[30] and those whose partners receive social security benefits which would fall if one of the partners took a paid job.

Inequality and poverty

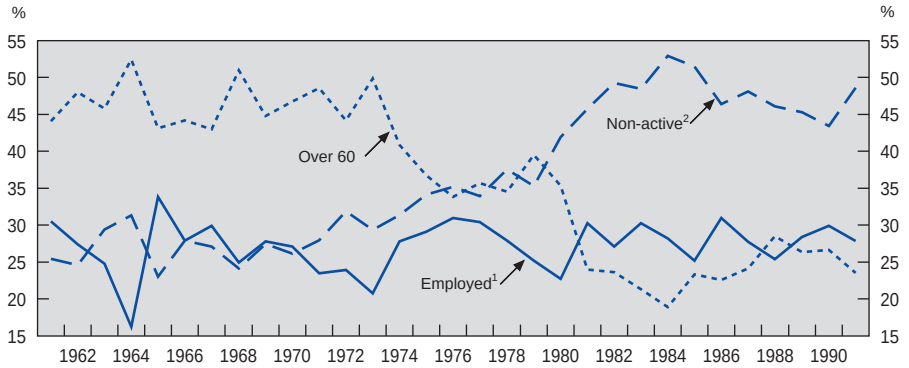
Compared with other OECD countries, the level of income inequality in the United Kingdom is currently considerably above average, with Nordic countries being among the most equal and the United States the least equal. But comparisons are difficult due to the lack of figures based on consistent definitions, sources and periods. More readily available, are comparative data on trends and rates of change. A survey of the empirical literature by Gottschalk and Smeeding (1997) and OECD work (Burniaux *et al*., 1998) showed that increased inequality has been apparent in most OECD countries. But the pace of change has been much faster and started earlier in the United Kingdom. In the United Kingdom, the distribution of resources[31] – regardless of whether the measured variable is household income, expenditures or wage earnings – has widened sharply over the past couple of decades. In recent years, a small reversal appears to have occurred in line with favourable labour market developments.

Another way of looking at income distribution is to examine household income shares. In 1995, the share of the 10th decile of the income distribution was about 8 times that of the first decile, compared with 4.5 times in 1979. The wider dispersion over the 1980s, is largely due to considerably faster growth in real incomes of the richest 10 per cent, relative to growth of the lowest decile; the latter actually fell by 14 per cent after housing costs, while the former rose by 50 per cent, and for the whole population increased by 35 per cent between 1979 and 1991. As a result, the proportion of the population with low incomes relative to the average has risen.

The composition of the low income group has changed considerably (Figure 17). Pensioners were traditionally a majority of the low income population, but now the unemployed, lone parents, the sick and disabled and ‘‘working poor’’ account for some 70 per cent of low income households (Goodman and Webb, 1994). Similarly, the proportion of low income households with children has increased significantly. They accounted for more than half of the poorest

Figure 17. **COMPOSITION OF THE POOREST HOUSEHOLD INCOME DECILE**

Per cent



1. Includes households with both partners working full-time, single people working full-time, couples where one partner works full-time and the other is not in paid employment and the self employed.
2. includes those unemployed and seeking work and a residual category covering groups such as lone parents not seeking work, the long-term sick and disabled aged under 60 and students.

Source: Goodman and Webb (1994).

decile in 1995, compared with less than a third 30 years ago. These trends are also reflected in an EU study which showed that about one third of all children in the United Kingdom live in poor households, more than in any other EU country (Eurostat, 1997). More than half of these households are headed by lone parents. Families have become the dominant group of poor people in the United Kingdom, and about half of those in the poorest decile are without work.

In line with growing income inequality, the incidence and concentration of poverty has increased dramatically in the United Kingdom. The size of the increase depends critically on whether poverty is measured in absolute terms, or relative to a threshold. The definition of a threshold and poverty levels is arbitrary, with no consensus on the preferred definition. Estimates of the size of poverty therefore vary widely. An alternative approach is to focus on indirect indicators of poverty. Table 13 shows the number of households receiving Supplementary Income Support. To the extent that dependence on income support can be equated with poverty, the number of households in poverty doubled in the sixteen years since 1979, to 5.5 million.[32] These claimants and the children for

Table 13. **Households on supplementary income support**

Million

	1979	1991	1996
Aged 60+	1.7	1.6	1.8
Sick/disabled	0.2	0.4	0.8
Lone parents	0.3	0.9	1.1
Unemployed	0.6	1.3	1.5
Other	–	0.3	0.4
Total	2.8	4.5	5.6

Source: UK Department of Social Security, *Social Security Statistics*, various years.

whom they are responsible represent some 10 million people, equivalent to almost one-fifth of the population.[33] A striking feature of the composition and increase in recipients is the size of the non-pensioner population. The unemployed and non-employed now constitute some 70 per cent of households receiving a supplementary benefit, compared with 40 per cent in 1979.

There is no simple explanation for rising income inequality and poverty since the late 1970s. Rather, a multitude of factors appear to have contributed. Studies by Jenkins (1996) and Burniaux *et al*. (1998) analysed the role of different forces. They found that increases in unemployment and non-employment rates, new forms of work, such as self and part-time employment as well as a wider income distribution within economic status groups explained a large part of the increase in inequality. Similar results are found in Australia and the United States, where trends in income distribution are comparable (Gottschalk and Smeeding, 1997). The role of wider earnings inequality within groups is also a dominant factor in countries where the trend towards greater overall dispersion is less pronounced. Demographic trends and changes in tax and welfare systems are considered relatively less important factors behind inequality trends (Jenkins, 1996).

The changing industrial structure is also relevant. Increasing demand for more skilled workers, necessary for an advanced services based economy, and limited increases in their supply, has led to a rapid increase in earnings at the top end of the scale, compared with the median. Similarly, the decline of traditional industries induced a reduction both in the demand for less skilled labour and in

their relative earnings growth.[34] There is a close association between educational attainment and relative earnings. Indeed, earnings dispersion in the United Kingdom by educational attainment is one of the widest among OECD countries, together with the United States, Ireland, Finland and Portugal (Table 14). University-level educated people on average earn more than double those with less than upper secondary education. Moreover, earnings tend to rise more quickly with age among those with qualifications, while wage progression is broadly flat for those without a qualification.[35] The returns to experience also increased during the 1980s though not as much as the returns to education. The result of these trends has been a dramatic decline in the relative position of young school graduates relative to workers with more experience or education.

What is apparent from these trends in income distribution and poverty is their connection with levels and duration of unemployment and non-employment. Labour market policies which succeed in reducing unemployment and non-

Table 14. **Relative earnings by qualification attainment**[1]

Upper secondary education = 100

	Below upper secondary education	Non-university tertiary education	University-level education
United Kingdom	**75**	**132**	**179**
Australia	89	111	142
Canada	87	110	156
Czech Republic	66	–	158
Denmark	83	104	133
Finland	93	126	187
France	80	128	175
Germany	78	111	163
Ireland[2]	85	123	183
Italy	77	–	134
Netherlands	77	124	162
New Zealand	82	106	165
Norway	82	123	149
Portugal	68	–	183
Sweden	89	109	151
Switzerland	67	145	157
United States	68	119	174
Country mean	79	119	162

1. 1995. Persons aged 25-64.
2 1993 data.
Source: OECD Secretariat.

employment rates and their concentration among a relatively small group of the population could help reduce the incidence of poverty and probably narrow the dispersion of income. With no apparent chance of higher spending on social benefits, the government's anti-poverty strategy relies almost exclusively on raising employability and re-orienting social outlays in ways which target those most in need and at the same time on sharpening the incentive to work. The remainder of this chapter focuses on the extent, nature and causes of labour market detachment, and then evaluates the government's initiatives to increase employment opportunities and reduce barriers to active participation in the labour market.

Employability policies

Current features of the labour market suggest that little contribution to improved labour market performance can be expected from a further cyclical fall in unemployment. Rather, continued significant improvement in the UK labour market will need to focus on initiatives that harness the potential of those who are non-active, but willing to work, and thereby raise the employment rate.

Policies focusing on the non-active and unemployed can be roughly dichotomised into ''stick'' and ''carrot'' policies. ''Stick'' policies focus on increasing the opportunity cost of not working by, for example lowering benefits, whereas ''carrot'' policies emphasise increasing the rewards from working. The UK approach combines both with the Welfare to Work programme (see Box 3), reforms of the social security and taxation systems as well as education and training. Underlying this strategy is the notion that current social welfare and taxation policies blunt the incentive to work, and cause unemployment and poverty traps,[36] especially among groups closer to the margins of the labour market – lone parents, low-qualified youth, long-term sick and disabled. Once key groups are targeted, the emphasis naturally shifts from passive labour market policies towards more active measures.

Active labour market policies

Active labour market policies (ALMP) are once again becoming a relatively more important part of UK labour market policies. They were first introduced in the late 1970s to assist the young and long-term unemployed. In the mid-1980s,

Box 3. **The Welfare to Work Programme**

The New Deal, or Welfare to Work initiative, is the first major element in the government's employability strategy. It aims especially at reducing the level and persistence of youth and long-term unemployment, and also targets groups disproportionately detached from the labour force. A total of £5.2 billion over the parliamentary term will be invested in the programme, one element being through wage subsidy payments to create incentives for employers to hire and by improving potential productivity through training and education. This represents a shift in focus from the previous government's more narrowly targeted assistance to job search initiatives. The programme for the young unemployed will commence on a nationwide basis from April 1998 and will add about 0.1 per cent of GDP to ALMP spending. The programme begins with a period of intensive personal advice, guidance and short training courses to try move the young person into employment. If this is not successful the programme provides four options. These are:

- a work subsidy of £60 per week, approximately equivalent to 20 per cent of average weekly earnings, to employers hiring people under 25 who have been unemployed for six months or more. The subsidy is £75 a week to employers recruiting anyone aged over 25 years who has been unemployed for two years or more. The subsidy is payable for six months;
- full time training and education for those with low qualifications;[1]
- employment with the voluntary sector;
- a job on an Environmental Task Force.

For the young unemployed, there will be no option of continuing on full benefit without choosing one of the opportunities available. If they refuse a New Deal place, benefit sanctions will apply. An important aspect of Welfare to Work is that each option includes access to education and training. Indeed, for each work option, at least one day per week will be spent in education and training, culminating in an accredited qualification. £750 per person have been allocated towards training costs.

Initial Welfare to Work plans targeted 250 000 places for young people (less than 26 years old). Since then the actual size of the target group has fallen to 120 000, but the New Deal will also cover the 15 000 to 20 000 young people who flow into long-term unemployment every month. Particularly disadvantaged groups, such as ex-offenders have priority. The wider Welfare to Work programme also covers groups outside those claiming unemployment-related benefits, including the older long-term unemployed, the disabled and lone parents. The recent Budget further extended the help available to these groups and, for the first time, provided resources for employment programmes for partners of the claimant unemployed. However, the package only provides limited additional resources for these new groups and no sanction is envisaged for those who refuse

(continued on next page)

(continued)

help. This is likely to mean that the budgetary cost of addressing low employability among these groups is relatively higher, since more enticing incentives will be needed to attract participants.

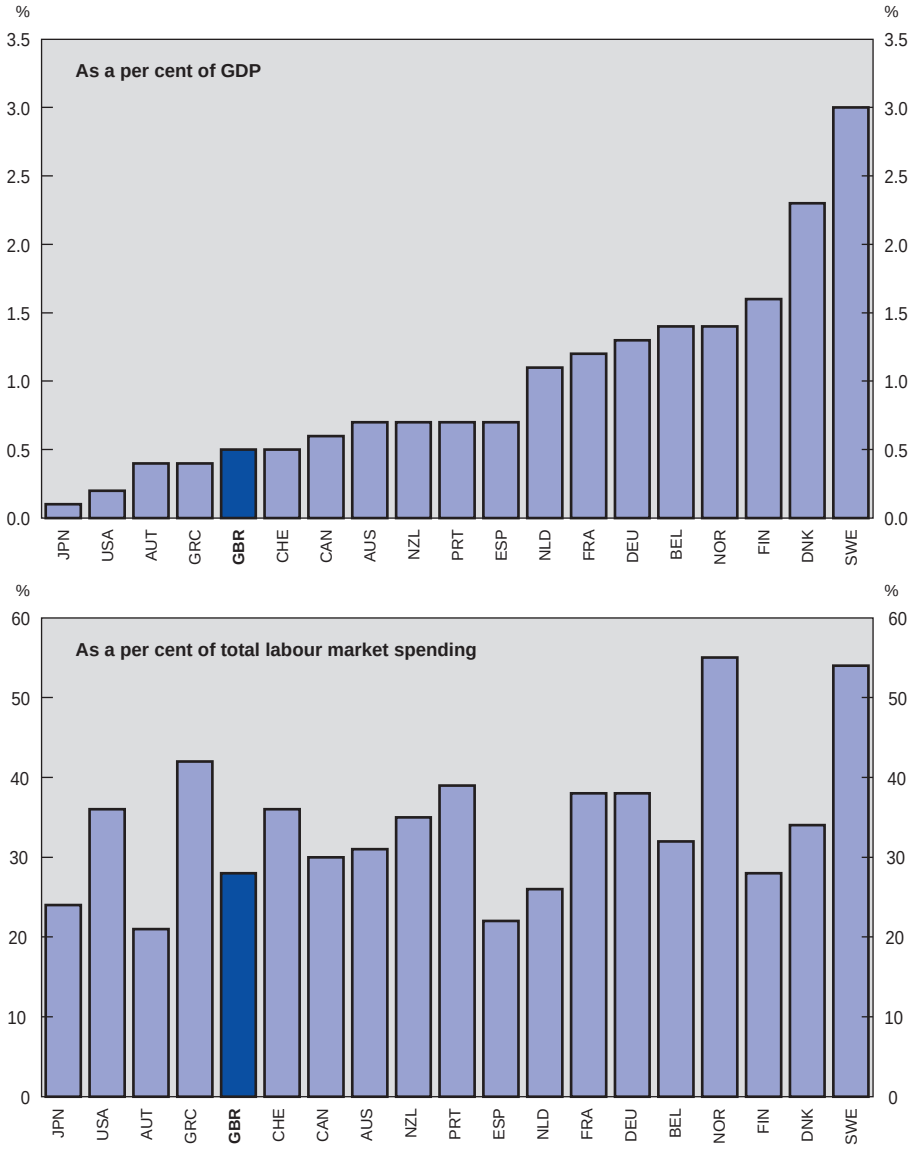
1. This option will be available to those with a National Vocational Qualification (NVQ) below level III, or its equivalent, which corresponds to a school leaver aged 16.

spending averaged about ¾ of a percentage point of GDP and represented about one quarter of total spending on active and passive labour market measures. In both respects, this is less than in nearly all other OECD countries (Figure 18).

Although spending as a share of GDP is small, the coverage of ALMP programmes has been relatively large, reaching about 2½ per cent of the labour force per year. This reflects the fact that most spending in the recent past was directed at providing better information and ensuring that participants are actively and effectively searching employment. Evaluation processes have also avoided ineffective programmes continuing indefinitely and limited dead-weight losses.

The effectiveness of wage subsidies in terms of aggregate employment depends in particular on two key factors; dead-weight losses and substitution effects. Dead-weight losses arise when people take jobs with a subsidy who would have taken them without it, and substitution effects occur when employers release people who do not get a subsidy to replace them with people who do. Obviously it is too early to assess the effectiveness of Welfare to Work in terms of dead-weight and substitution effects. Nonetheless, some indication is possible based on experience with wage subsidy schemes in other OECD countries and earlier programmes in the United Kingdom.[37] Most evaluations show that subsidies to employment have large dead-weight and displacement effects and thus small net employment gains. For example, evaluations based on employment subsidy programmes in Australia, Belgium and the Netherlands suggest combined dead-weight and substitution effects as high as 90 per cent. In the United Kingdom, employment subsidies delivered through the Jobstart scheme were a major element of ALMP during the second half of the 1980s. Evaluations based on this experience, where subsidies were broadly equivalent to the levels

Figure 18. **SPENDING ON ALMP IN OECD ECONOMIES**
1995



Source: OECD Secretariat.

implemented by Welfare to Work, found dead-weight costs in excess of 60 per cent and some evidence of substitution effects.

On the other hand, using aggregate employment as the benchmark for policy evaluation may mask other benefits. Evaluations of the effect of subsidy schemes on the targeted group have usually been more positive. Although dead-weight losses are a waste of resources, substitution effects may still leave the economy and society in a better state. As people spend a longer period without work, their skills erode, they become demotivated and employers tend to shun them. To the extent that employment subsidies distribute the incidence of unemployment more evenly and unemployment spells are shorter, higher chances of employability are achieved. This should strengthen competition for jobs, restrain wage inflation and help sustain higher employment. If, on the other hand, employers replace workers whose subsidy has expired with new subsidised recruits, the gains from higher turnover could disappear.

The government is confident that the dead-weight and substitution effects of the Welfare to Work Programme will not exceed 50 per cent, due to a strict implementation process. Specifically, a ''gateway'' process will rigorously screen potential candidates to identify their suitability for employment subsidies. Those most job-ready will be helped to find unsubsidised work and others given advice on the most appropriate option to follow. In addition, implementation of the scheme will be delivered by local partnerships, in most cases led by the Employment Service but with some areas run directly by the private sector. The Employment Service maintains continuos relationships with local employers and those unemployed for extended periods.[38] This local knowledge may provide more flexibility and a tighter seam between employer needs and eventual placements. Participants in the programme will also receive more intensive help and monitoring of progress than was previously possible, with each person assigned a caseworker to provide advice and help to assess training needs and skill aptitudes.

The ability of these procedures to limit losses partly depends on the main group being helped. ALMP often work best when applied to severely disadvantaged groups, with low rates of unemployment turnover. Youth unemployment is high in terms of rates, but durations are short implying relatively rapid rates of turnover among the unemployed. Around 75 per cent of youths unemployed for six months, leave unemployment within a further year. This suggests that

Table 15. **Employment and training initiatives for unemployed people**

Eligibility (by length of unemployment)	Name of provision	Key features	1997-98 Opportunities[1]	1997-98 Cost (£ thousand)
13 weeks	Travel to interview schedule	Aims to increase an individual's chance of finding a job by paying the expenses of interviews outside daily travelling applications.	38 500	1 594
	Jobsearch plus	A three day seminar which provides a review of job goals and advice on jobsearch and applications.	79 300	4 692
	Employment on trial	Allows job seekers to try a job without fear of being sanctioned if they subsequently leave it.	n.a.	n.a.
6 months	Job interview guarantee	Matches suitably qualified and motivated priority group jobseekers against vacancies in exchange for employers guarantee to interview.	300 000	24 500
	Jobclub	Provides help with job search and practical help in applying for jobs.	161 501	30 233
	Restart interviews	Take place every 6 months for the duration the jobseeker is unemployed. Supported by other interventions *e.g.* 1-2-1, Jobfinder where more in-depth counselling is provided.	2 038 000	439 000
	Workskill pilots	Running in a few areas. They allow relaxation of JSA rules so that claimants can undertake work-related education/training courses for up to one year.	12 000	205 624
	Work trials	An incentive for employers which allows claimants to have a trial period in a job vacancy for up to 3 weeks while getting JSA.	30 000	3 500
	Training for work including Prevocational training	Helps people get jobs, including self-employment, through a mix of guidance, training, approved qualifications and/or structured work experience. Prevocational training addresses basic employability skills.	180 000	439 000
12 months	1-2-1 (mandatory at certain stages of unemployment)	Up to six regular interviews which provide concentrated help with jobsearch and career guidance.	179 250	11 300
	Jobplan (mandatory)	A five day full-time programme of individual assessment, confidence building, advice and guidance.	93 825	9 432
	Jobseekers' grant	Discretionary grant to help meet the cost of returning to work. This is being piloted under the National Development Programme which supports small scale experimental projects with Employment Service local offices. It focuses on reducing labour market barriers.	2 894	264 000
	Workwise (mandatory)	A four week programme for people aged 18-24 mixing assessment, guidance and training in jobsearch skills and the opportunity to put these skills into practice.	22 040	4 447

Table 15. **Employment and training initiatives for unemployed people** *(cont.)*

Eligibility (by length of unemployment)	Name of provision	Key features	1997-98	
			Opportunities[1]	Cost (£ thousand)
24 months	Jobfinders' grant	A grant of £200 to help overcome barriers between benefits and paid employment.	20 000	4 000
	Jobmatch	An allowance to help people back into jobs through part-time work (targeted at 18-24 year-olds).	4 000	4 800
	Jobfinder (mandatory at 24 months and subsequent anniversaries of unemployment)	Up to seven in-depth interviews with the emphasis on establishing realistic job goals and getting the jobseeker directly into work rather than other provision.	250 000	19 000
	Restart course (mandatory)	A two week programme which aims to build motivation and self-confidence, and addresses severe jobsearch problems. It aims to increase/maintain attachment to the labour market.	46 834	4 557
	Project work pilots (including Workstart subsidy) (mandatory)	Jobseekers enter the pilot when eligibility is checked and a Restart interview letter is produced. They receive 13 weeks' intensive jobsearch help from the Employment Service, consisting of a main Restart interview and 5 caseload interviews. They also have special eligibility for programmes, *i.e.* still unemployed after 13 weeks, they are referred to a further 13 week work experience and jobsearch provided by an external provider. Workstart is an incentive to employers to recruit jobseekers who they may normally be reluctant to employ.	72 080	84 739

1. Potential number of beneficiaries.
Source: HM Treasury.

dead-weight costs could be high. On the other hand, emphasis on providing training and education, practical experience, job search assistance and in particular employment subsidies should help those targeted find gainful employment.

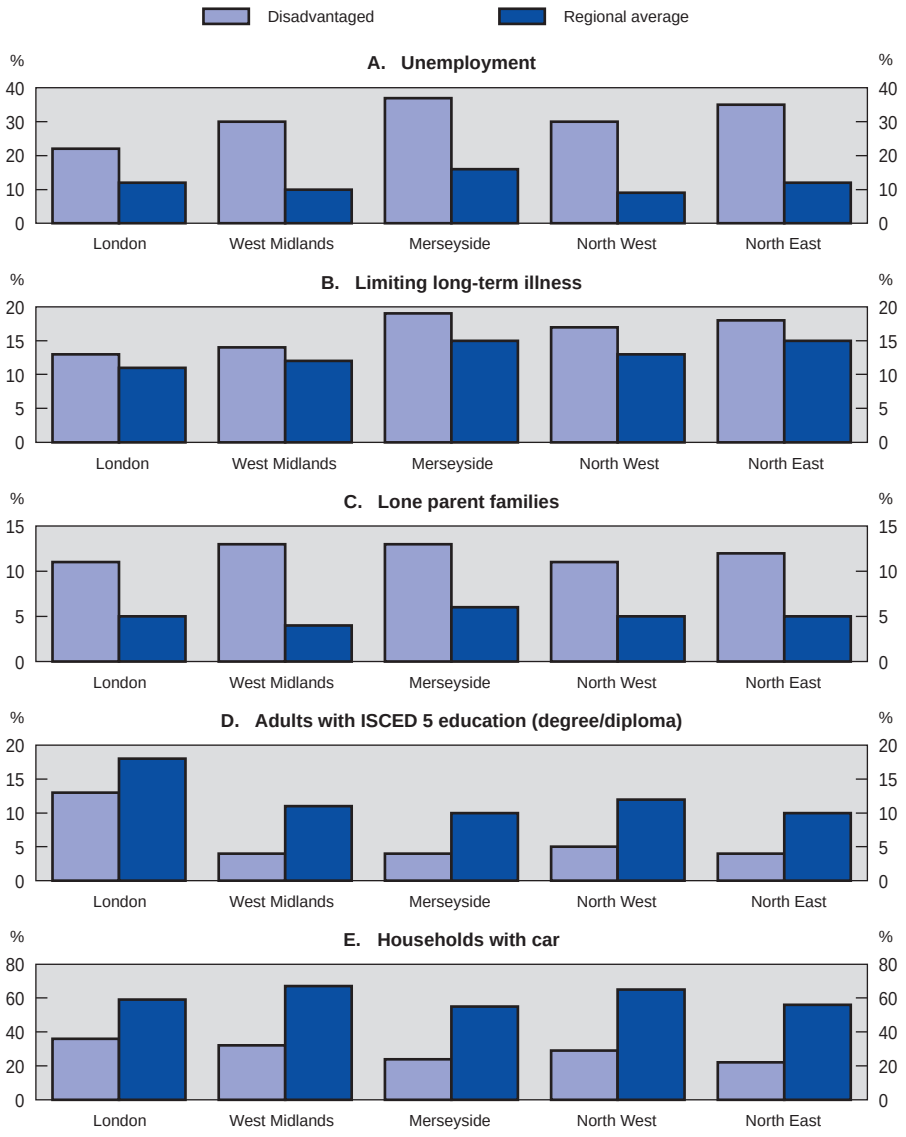
Initiatives that improve the efficiency of matching job searchers and job hirers are not being downsized. Indeed, the approach of the UK authorities maintains strong emphasis on information and advice. Many existing schemes are being redesigned or delivered in new ways. For example, Programme Centres were introduced in April 1997 as a more flexible way of delivering Employment Service programmes to job seekers. In-depth interviews with the Employment Service are becoming mandatory for certain groups, so that needs can be better established and help delivered more effectively. Numerous other information, advice and training schemes are available to different groups, with access usually dependent on the duration of unemployment. There are also schemes which help cover the transport costs incurred to attend job interviews and others that provide help meeting the transactions costs of looking for work.[39] Initiatives that improve job search efficiency are relatively cheap to implement and evaluations demonstrate that they can be effective in reducing the persistence of unemployment. Table 15 provides details on their coverage, cost and goals.

In summary, experience suggests that ALMP do not offer a miracle cure for tackling the problem of long-term unemployment or non-employment. But they can, especially when combined with education and training, promote employability by limiting the extent that people are detached from the labour market. Given Welfare to Work's emphasis on youth unemployment and wage subsidies it is important that the gateway process and education option are carefully designed and flexibly implemented in order to limit potentially large dead-weight and substitution costs. Chances of success are boosted due to its introduction during a period of buoyant labour market conditions, but some doubts remain as to how effective the programme will be under less clement economic conditions. It is also important that other labour market policies and transfer systems be enhanced to provide opportunities for other groups in need of assistance.

Deprived communities

Despite a reduction in the dispersion of unemployment across regions, some communities face very high unemployment and non-activity. In the United

Figure 19. **PROFILE OF DISADVANTAGED AREAS**[1]



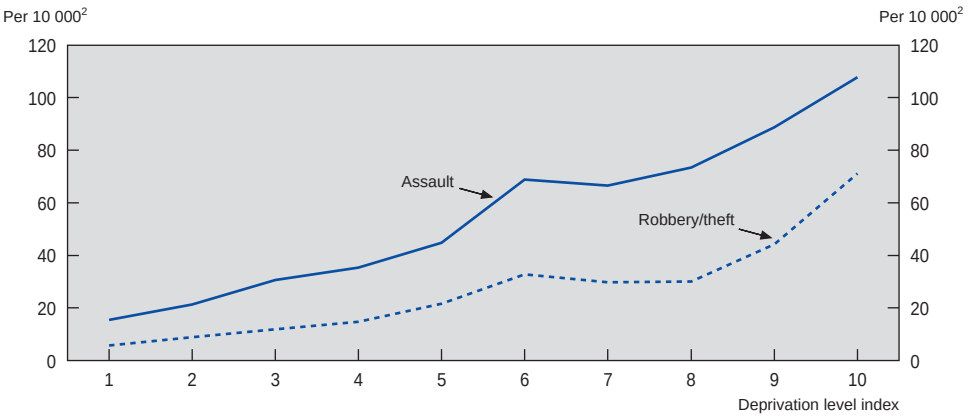
1. Disadvantaged areas are defined as the 5 per cent of electoral districts according to the Index of Local Conditions, a multi-variable index classifying all areas of the country according to a range of socio-economic criteria.

Source: OECD Group on Urban Affairs.

Kingdom, 430 electoral districts out of a total of 8 600 are classified as very deprived.[40] Although very deprived areas only account for 4½ per cent of the total population, they represent 12 per cent of the unemployed, with almost three times the number of lone parents compared with the average district. Such areas, typically in neighbourhoods within urban conurbations and where local authority housing is predominant, are usually associated with sub-standard educational attainment, poor housing conditions and low mobility (Figure 19). Such communities face higher crime rates and drug abuse, which impinge on the quality of life, and stigmatisation reduces local employment opportunities. The incidence of assault and theft in the most deprived parts of the Merseyside region, for instance, is respectively more than five and ten times higher than the rate for the least deprived neighbourhoods (Figure 20).

The interaction of non-activity, negative labour market role models and wider social problems risks creating a permanent state of deprivation and low employability that is difficult to escape from. Furthermore, an increasing proportion of the young are growing up in these areas, with experiences shaped by an

Figure 20. **CRIME RATES IN MERSEYSIDE BY DEPRIVATION LEVEL**[1]



1. Deprivation based on an index which combines data on unemployment, overcrowding, housing, amenities and citizens at risk. Scale ranges from 1 to 10 with 10 being the most deprived.
2. For assault rate based on 10 000 persons and for robbery/theft per 10 000 residential properties.

Source: Hirschfield *et al.* (1996).

environment of low employment, welfare dependency, crime and lower quality educational facilities. Given these conditions, both families and local communities are struggling to adequately provide for and equip young adults with the necessary skills for today's labour market. In this context, there is a large risk that these children will continue the cycle of poverty and social exclusion.

To address this vicious circle of low employment, poverty and crime requires more than adjustment of work incentives and stable macroeconomic conditions. It also requires carefully tailored programmes that adapt to and reflect the specific circumstances of people living in areas of deep socio-economic deprivation, and delivered through an integrated system. Such a policy framework is more difficult to design and costly to implement than national schemes, reflecting the characteristics of the caseload. For instance, the ''gateway'' period in the New Deal programme is likely to limit the number of people with recourse to the wage subsidy. But, in deprived areas, the proportion of participants needing active placement is likely to be much larger, and probably with relatively fewer places available in private enterprises. Demand for training, counselling and job search advice is also likely to be greater.

The approach of the government continues and builds on the strategy followed by the previous administration. Schemes, such as City Challenge, the Estate Renewal Fund and Housing Action Trusts, target areas of multiple deprivation. Since unemployment is one of the catalysts of deprivation, such policies have a strong focus on raising employability and complement efforts to promote regeneration and economic development. In the 1998 Budget the government announced the creation of the New Deal for Communities, to address these issues and to develop the partnership approach required in the most disadvantaged areas. The government intends this programme to complement the help available through the New Deal for young people, by recognising that in the most disadvantaged communities problems of poor employment prospects interact with wider social and economic problems, such as crime, poor housing, and poor neighbourhood management.[41]

Adapting to change: investing in human capital[42]

There is a close link in OECD countries between educational attainment and attachment to the labour force. Unemployment rates generally decrease and employment rates increase as the educational attainment of workers improves

(Table 16). In the United Kingdom, the unemployment rate among individuals with non-university tertiary or university level qualifications is currently less than 4 per cent, and less than a third of that for persons with below upper secondary schooling attainment. The employment rate for the most highly educated persons is some 34 percentage points higher than the level for the least well educated. Moreover, employment rates among qualified individuals have been broadly constant over the last decade, but have decreased for those without a qualification, and especially for males. The difference in employment is even greater among the young who cannot easily compensate for lack of formal education with work experience and skills learnt on the job.

Although employment rates have fallen among those without qualifications, the proportion of the population with no qualification has also fallen. This mostly reflects the rapid increase in new labour market entrants recently graduating from university or achieving a higher education diploma and the disappearance of older generations at the other end. Over the last 10 years, the number of 16-18 year olds staying on in education and training has risen from under three fifths of the population cohort to over three-quarters. And approximately one third of those leaving school now go on to further education. But it will take many years before the average qualification achievement in the United Kingdom reaches a level similar to that in most other OECD countries.

Moreover, a significant number of young people still leave school without basic literacy and numeracy skills. The degree of proficiency in these basic skills is a key influence on an individual's employment and earnings potential. Results from the International Adult Literacy Survey (OECD, 1997*d*) indicate that in the United Kingdom persons with lower levels of literary proficiency (levels 1 and 2 on a scale of 1 to 5) had an unemployment rate of 17.5 per cent in 1994-95, compared with under 8 per cent for those with literacy levels greater than two. Furthermore, labour force participation rates are some 20 percentage points lower among those persons with low literacy and numeracy skills.

While the proportion of young people entering higher education, and post-16 year old staying-on rates have increased, the per student level of public funding for higher education has fallen to a level below the OECD average. This has raised concerns about educational standards, and the means of funding an expansion in training and education expenditure. To meet the needs for an increasingly skill-oriented workforce without exerting pressure on government

Table 16. **Employment and unemployment rates by educational attainment**[1]

1995

	Employment/population ratios					Unemployment rates				
	Below upper secondary education	Upper secondary education	Non-university tertiary education	University-level education	All levels of education	Below upper secondary education	Upper secondary education	Non-university tertiary education	University-level education	All levels of education
United Kingdom	**54**	**76**	**82**	**88**	**73**	**12.2**	**7.4**	**4.1**	**3.5**	**7.4**
Australia	61	76	79	86	71	8.5	6.2	5.1	3.3	6.6
Austria	56	77	85	89	71	5.7	2.9	1.4	2.1	3.5
Belgium	47	72	82	86	63	13.4	7.5	3.5	3.6	8.5
Canada	53	72	78	85	71	13.0	8.6	7.5	4.6	8.3
Czech Republic	56	82	–	92	79	7.7	2.1	–	0.7	2.7
Denmark	61	80	87	89	74	14.6	8.3	5.3	4.3	10.0
Finland	54	71	77	86	67	21.6	16.1	9.7	6.2	15.8
France	52	75	84	81	69	14.0	8.9	5.9	7.0	9.7
Germany	49	71	83	85	69	13.3	7.9	5.2	4.7	8.1
Greece	56	62	75	81	62	6.3	9.0	10.1	7.1	7.4
Ireland	49	67	81	85	60	16.4	7.6	5.0	3.4	10.7
Italy	49	70	–	81	57	9.1	7.9	–	7.3	8.5
Korea	71	71	–	80	73	1.0	1.6	–	2.0	1.4
Luxembourg	57	76	–	88	64	3.8	2.1	–	0.6	3.0
Netherlands	52	74	–	83	67	7.9	4.8	–	4.1	5.6
New Zealand	63	82	78	87	74	6.7	3.3	3.6	2.6	4.5
Norway	61	80	85	92	79	6.5	4.0	3.4	1.7	3.9
Poland	50	70	80	85	66	13.9	11.4	6.9	2.8	10.7
Portugal	67	77	86	91	70	6.2	6.4	3.1	3.3	5.8
Spain	46	65	73	75	53	20.6	18.5	16.6	13.8	19.0
Sweden	78	84	88	90	83	10.1	8.7	4.8	4.2	7.8
Switzerland	67	80	91	89	80	5.8	2.8	1.5	2.6	3.0
Turkey	64	63	–	74	65	4.8	6.9	–	3.3	5.0
United States	54	75	83	87	76	10.0	5.0	3.6	2.5	4.7
Country mean	57	74	82	85	70	10.1	7.0	5.6	4.0	7.3

1. For 25-64 year-olds.

Source: OECD Secretariat.

finances, a major proposed initiative of the government is the introduction of university fees. The approach is similar to that pioneered in Australia.[43] Students will have the choice of paying up-front, or deferring payment until they start working and earnings pass a threshold. The Australian experience has demonstrated that it is possible to obtain a contribution from students towards the cost of their courses without discouraging the participation of students from low income backgrounds.

The observed relationships between earnings, labour market experience and level of education imply that further expansion of training and education could help ease adjustment costs, improve employability, limit the dispersion of earnings and lower the structural level of unemployment. Furthermore, raising the skill base of the workforce should enhance long-run productive capacity through its effects on the stock of human capital. The most cost efficient way of pursuing these goals is through ensuring education policies are successful in raising school enrolment and graduation rates. The extent to which distributional goals are met also depends on the composition of those pursuing further education and addressing the specific needs of core groups, such as long-term unemployed, older workers and lone parents.

It is no longer possible to assume that investment in education and training is a once-in-a-life-time experience, since the presumption that a skill is valid for life no longer holds. Rapidly changing technologies and their quick diffusion make some skills obsolete while demand for others rises. The ability to adapt quickly to structural shifts in the demand for labour helps maintain a high degree of employability and enables the economy to capture the full benefits of technological change in terms of higher output and improved living standards. To meet these challenges, the government is seeking to ensure availability of – and access to – lifelong learning opportunities.

The approach of the UK authorities is multifaceted and emphasises the role of education and training as a life-long process. The main existing initiative – Investors in People Standard – aims to encourage increased employer investment in training and skills. The standard is an agreed level of competence which employers can use as a benchmark to evaluate the skill levels of their workforce. This should help provide a better basis for evaluating and measuring the quality of skills, and possibly provide a tool for assessing needs. But it is not clear that it will stimulate additional investment. The government also intends to establish a

University for Industry which will deliver lifelong learning opportunities and serve as a clearing house on other learning opportunities as a means of improving the adaptability of the workforce.

The emphasis of these schemes and others is to ensure that individuals have access to comprehensive and reliable information on learning opportunities to enable them to make informed choices and take responsibility for their own training. But they do not necessarily reach those with the weakest skills. Persons already with higher educational attainment are more likely to participate in adult education and training than those with a low attainment. About three-quarters of people with university education participated in adult education and training in 1993-94, compared with less than a quarter of those with only primary education or less (Table 17). The uneven distribution of opportunities in favour of more qualified persons is a characteristic of all countries in the table and might further explain the deterioration in earnings and employment equality. It underscores the importance of extending the initial level of education attainment and perhaps more active counselling of adult education opportunities targeted at those with a low initial level of educational attainment.

Table 17. **Participation in adult education programmes**

1994/95, per cent of population[1]

	Primary education or less	Lower secondary education	Upper secondary education	Non-university tertiary education	University education
United Kingdom	**23.4**	**34.2**	**53.2**	**60.7**	**73.7**
Australia	8.4[2]	28.8	41.9	50.0	60.8
Belgium (Flanders)	4.6[2]	13.3	22.0	37.8	45.6
Canada	15.4	25.6	33.9	51.8	59.5
Ireland	8.6	17.6	29.4	44.1	51.0
Netherlands	17.2	29.0	44.5	–	51.4
New Zealand[3]	6.8[2]	37.8	52.0	60.4	71.5
Poland	2.7	9.9	20.6	32.5	34.3
Sweden	27.0	46.7	52.8	66.6	70.4
Switzerland (French)	9.5[2]	15.0[2]	35.7	51.0	51.0
Switzerland (German)	6.7[2]	22.9[2]	48.0	59.1	63.4
United States	10.3	21.0	30.7	54.9	64.2

1. Aged between 16 and 65. Full-time students aged 16-25 and people who obtained less than 6 hours of training are excluded.
2. Unreliable estimate.
3. The tertiary non-university category does not apply in the Netherlands.

Source: OECD (1997*d*).

Nonetheless, the scope for education and training to sustainably boost employment has its limits. A proportion, albeit a shrinking one, of the population will continue to enter the workforce with few qualifications and older workers with limited formal education, although often with many years of practical experience, will remain features of labour supply. It is important, therefore to ensure that the demand for unskilled labour is not curtailed by impediments to flexibility and barriers to employment. The introduction of a minimum wage (see below) set at a level too high to make it worthwhile to employ some of the low skilled willing to work would constitute a threat in this regard.

Lowering barriers to employment

When asked directly, unemployed people generally say that financial work incentive barriers are the biggest obstacle to work, but not the only factor (Table 18). Reducing the transitional costs and uncertainty of accepting employment and personal motivation, or a perception of insufficient skills are also considered barriers to employment.[44]

Transitional barriers

The transition from non-activity to employment, even when the financial benefit is unambiguous, is sometimes a difficult barrier to traverse. The prospect of employment after a long period out of work involves some up-front costs and the loss of guaranteed, albeit low benefit income, with uncertain future earnings. It may also imply relinquishing rights to other benefits such as housing and free medical cover. The transition may also affect the timing of income flows leading to temporary cash flow problems that discourage initiatives to accept employment and move off benefit.

The problem of transitional barriers is being approached in the United Kingdom mainly through efforts to minimise potential cash flow constraints. A commitment has been made to process all new claims for Family Credit within five days.[45] Rent and Council taxes will also be paid to those previously out of work during the first four weeks for at least six months of employment. In addition, administrative arrangements are being streamlined to ensure that people are told during the four week period what in-work benefits they are entitled to claim. Back-to-work bonuses also help finance up-front costs connected with employment and encourage recipients to find jobs more quickly.[46] Information

Table 18. **Barriers to work**

What prevents people leaving benefit?	Per cent of unemployed mentioning
Work incentives	
Worries about wages being too low	35
Amount of council tax benefit	32
Losing housing benefit/mortgage help	31
Losing ''grand-fathered'' benefits	27
Paying extra costs (*e.g.* work clothes/travel)	21
Cost of childcare	18
Paying back loans/debts	16
Problems making the transition	
Worries about jobs being temporary	26
Managing until pay day	23
Worries about re-claiming benefit after a short period in work	23
Finding someone to mind the children	14
Hassle of sorting out benefits	11
Waiting for Family Credit	5
Waiting for other benefits	4
	4
Personal issues	
Not fit enough	19
Job not right	17
Not wanting someone else to look after the children	12
Employer discrimination	11
Nervous about working	9
Having enough time to care for an elderly or disabled person	6
Something else (including no jobs available)	5
None of these	19

Source: Shaw *et al.* (1996).

campaigns have also had a marked effect on awareness and take-up of in-work benefits.

Employers may also be uncertain about the suitability of job-seekers with long spells of unemployment. Since it is costly to investigate the job readiness of numerous applicants, employers may screen candidates based on previous employment status, making it more difficult for the long-term unemployed to secure a job. The Work Trials scheme attempts to overcome the stigma and risk of hiring the long-term unemployed by guaranteeing the salary for the first three weeks and imposing no sanctions on the employer if a candidate fails to perform satisfactorily. Furthermore, the government is committed to ensure that those who take a position and subsequently lose it do not lose their previous out-of-

work benefit entitlements.[47] Such a guarantee, if credible, should help reduce the risk of accepting employment with uncertain tenure; to what degree, however, will depend on the nature of the commitment, for instance, the length of the guarantee, eligibility restrictions and the extent to which previous entitlements are restored. These important details of the government's commitment have not yet been decided.

Non-wage costs, such as social insurance contributions, increase the cost of employing labour and can therefore reduce demand for hiring, especially at the lower end of the earnings scale. The size of the disincentive does not appear to be very large in the United Kingdom. This reflects the relatively small size of add-on costs and the progressive scale of social insurance contributions. It also reflects that, in the absence of a minimum wage, the incidence of social insurance contributions is likely to fall predominantly on employees. Nonetheless, currently the structure of National Insurance Contributions (NICs) is one of the last remaining causes of marginal effective tax rates above 100 per cent. In line with Martin Taylor's recommendation in his report on work incentives, the structure of NICs will be moved more into line with income tax and the ''entry fee'' will be abolished for employees and employers.[48] Additional steps in the employers' contribution scale will also be abolished in such a way that implies a more progressive contribution schedule. The lower earnings limit for employees will remain unchanged, although the government intends to align it with the personal allowance once it has reformed rules for contributory benefits to ensure that no one loses the right to accrue benefit entitlement. These changes aim to improve work incentives and lighten the burden on the low paid, and should ease poverty traps.

Making work pay

- Reform of the tax and benefit system

The unemployment insurance system in the United Kingdom, as in most countries, was established some fifty years ago when unemployment was low, durations were short and one ''breadwinner'' households were the norm. The system was able to provide satisfactory income relief for short-term loss of earnings. Today, however, the number of people who are not in work for long periods has risen and many jobs attract low salaries. Current benefit systems have not fully adjusted to these changes and may have altered the structure of incen-

tives facing some groups to seek paid work – the unemployment trap – and in other cases resulted in poverty traps – benefit withdrawal and higher tax payments discouraging those on low income from additional effort.

Spending on unemployment benefits, however, is no longer the most important source of assistance to those out of work in the United Kingdom. In 1993, unemployment benefits accounted for only about 5 per cent of total social outlays. In contrast, outlays on non-labour market benefits, such as housing and disability benefits have increased dramatically over the past two decades (Figure 21). Currently, there are approximately as many people claiming long-term incapacity benefit as there are unemployment claimants. Moreover, the number of disability claimants is on a strong upward trend. Reflecting the rise in invalidity claimants and their average duration, social spending outlays on disability allowances as a share of GDP have increased by a factor of two since the early 1980s and account for some 8 per cent of the social welfare budget. Rises have occurred in other OECD countries, but none have experienced as spectacular increases as in the United Kingdom, although in some countries the level of spending is considerably higher, notably in the Netherlands, Finland and Norway.

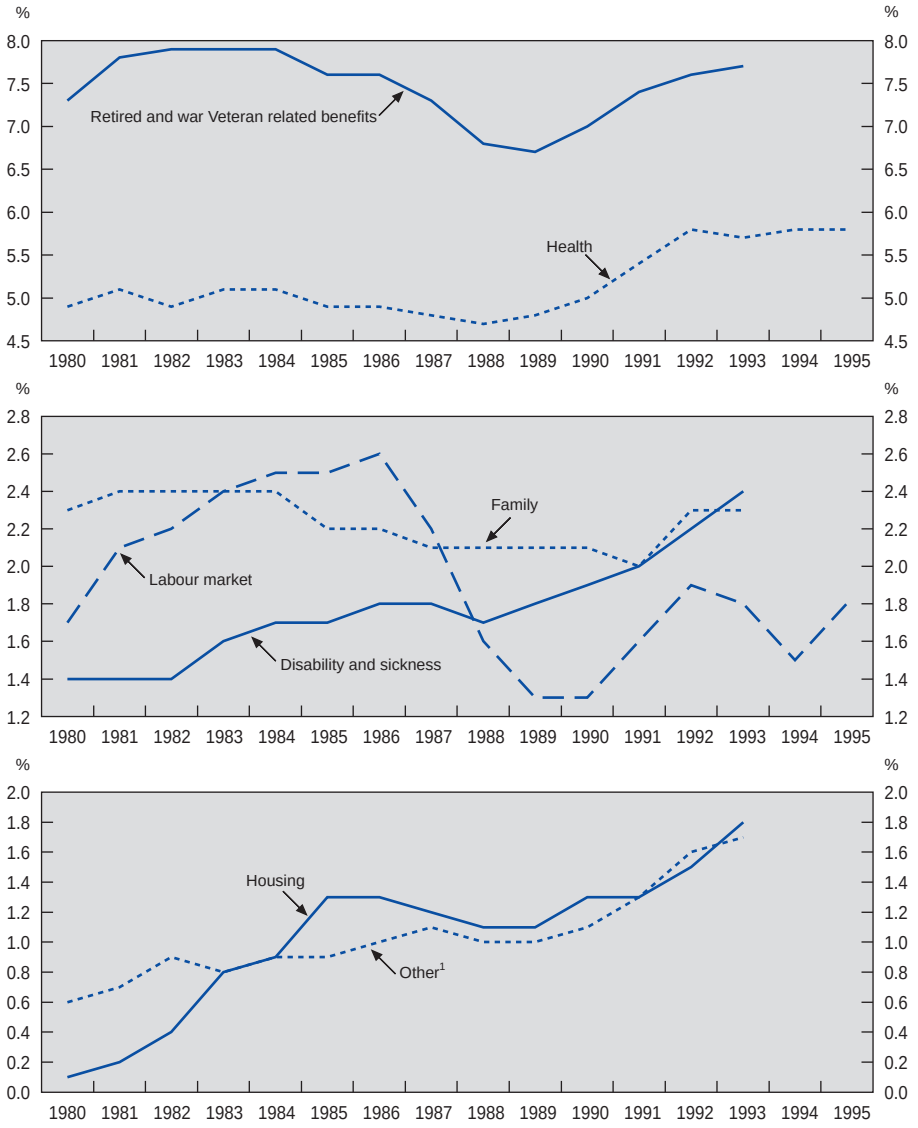
As the number of people reliant on the welfare system for long periods has risen, it has become more important to ensure that benefits to those out of work are not undermining their incentive to seek and find work. The government is currently reviewing the goals and scope of existing transfer and tax policies with the objective of sharpening work incentives and helping people to adapt to changing economic circumstances. As part of this process the Government launched in May 1997 a Task Force (the Taylor review) to examine, *inter alia*, the implications of labour market changes on the welfare system and *vice versa*, and how the welfare system could be streamlined to enhance employability. The Task Force published its report in March and set out proposals for reform in three main areas: National Insurance Contributions, a working families tax credit and partners of the unemployed.

- Incentives to Work

Replacement ratios measure the relationship between incomes in and out of work and hence provide a rough proxy for the incentive to work. Such calculations have many practical and methodological limitations which complicate cross-country comparisons, and caution against strong inferences based on

Figure 21. **SOCIAL OUTLAYS BY FUNCTION**

Per cent of GDP



1. Includes social expenditures for those who fall outside the scope of other programmes covering a particular contingency or if this other benefit is insufficient to meet their needs. Also includes expenditure related to immigrants and refugees.

Source: OECD, Social expenditure database.

replacement ratios in isolation (Martin, 1996). Estimates are sensitive to assumptions on the age, family status, previous earnings, duration of unemployment and previous employment history of the individual. Nor are all changes in entitlements reflected in the ratio: for example, increasing the period of employment required to qualify for unemployment insurance, or tighter administrative controls on job search requirements. Furthermore replacement rates make no allowance for in-work expenses. Clothing, commuting and child care costs, especially for some groups, such as lone parents, reduce the financial reward from work.[49] Despite these problems, replacement ratios remain a useful summary measure for assessing work incentives.[50]

Gross replacement ratios for unemployment benefits in the United Kingdom, based on assumed family circumstances, averaged about 18 per cent in 1995. For youth and single unemployed, replacement rates were below 20 per cent, while married couples and those raising a family receive benefits equivalent to about one-third of earnings. At the ''tail'' of the distribution, just over half a million people had a replacement rate of over 70 per cent, more than one million fewer than a decade earlier. Compared with other OECD countries the UK average level is lower than in any other European economy and slightly above the level in Japan and the United States. Moreover, it has fallen slightly over the past couple of decades, compared with upward trends in nearly all other countries.

In terms of assessing behavioural responses facing the working population a more relevant concept is the net replacement ratio. It adjusts gross replacement rates to allow for taxation and other out of work benefits. OECD estimates based on averaging across different family characteristics, durations of unemployment and average expected earnings show large disincentive effects, especially among some groups. The average net replacement rate, at just over 50 per cent, is almost three times higher than the average gross rate. It is also much closer to the European simple average and well above the rate in the United States and Japan (Table 19). High net replacement rates allow individuals to search longer for suitable employment opportunities and dampen the financial incentive to work, implying longer average unemployment spells and possibly higher wage pressure, thereby raising the overall unemployment rate. The magnitude of these effects is hard to quantify and also depends on other factors, including workforce skills and household characteristics.[51]

Table 19. **Gross and net unemployment replacement rates**[1]

1994/95, per cent

	Gross[2]	Net[3]
Australia	27	31
Belgium	42	59
Canada	27	43
Denmark	71	81
Finland	43	59
France	38	55
Germany	26	54
Ireland	26	37
Italy	20	19
Japan	10	45
Netherlands	46	69
New Zealand	30	39
Norway	39	62
Spain	32	49
Sweden	27	67
Switzerland	30	62
United Kingdom	**18**	**51**
United States	12	16

1. Data shown are averages over replacement rates at two earnings levels, duration of unemployment and family status.
2. Average benefit entitlement before tax as a percentage of previous earnings before tax.
3. Average benefit entitlement on a net-of-tax and housing benefit basis as a percentage of net-of-tax earnings. Rent is assumed to be fixed.

Source: OECD Database on Taxation Benefit Entitlements.

Gross, and even net replacement rates, still only give a partial picture of the incentives and disincentives to enter employment. Some individuals may depend on alternatives to unemployment allowances not linked to job search. Replacement rates calculated on the basis of non-labour market benefits are typically higher (Table 20).[52] Since more people of working age in the United Kingdom currently receive benefits that do not require job search than those supported by unemployment transfers it is important to better understand the characteristics of, and incentives facing this group.

The major out-of-work benefits are invalidity and sickness benefits. The number of recipients of working age has increased by an annual average rate of 5 per cent since 1980, to reach approximately 6 per cent of the working age population. Most of the increase has been concentrated on prime age males, which partly explains the reduction in their participation rate.[53] Many of these

Table 20. **Replacement rates based on social assistance**[1]

1994/95

	Single	Couple with no children	Couple with 2 children	Single with 2 children
Australia	38	50	71	69
Belgium	39	46	59	43
Canada	27	47	54	59
Denmark	65	68	95	90
Finland	61	72	100	70
France	49	57	65	57
Germany	51	59	59	50
Ireland	34	49	70	60
Italy	0	0	11	8
Japan	35	49	72	62
Netherlands	62	74	80	72
New Zealand	41	57	64	55
Norway	46	62	83	64
Spain	27	33	46	44
Sweden	62	83	100	70
Switzerland	49	61	66	57
United Kingdom	**52**	**63**	**76**	**65**
United States	7	12	49	42

1. Calculated on the annualised benefit entitlement in the 60th month of unemployment, assuming that social assistance asset test, etc., are satisfied. Replacement rates reflect a strict application of legal provisions rather than common practice if these differ.

Source: OECD (1997*e*).

claimants were previously unemployed for long periods, which may in turn have led to illnesses rendering them incapable of work.[54] But it appears highly unlikely that the health of the UK working age population has consistently deteriorated to the extent implied by the number of claimants. Rather, it is likely that such benefits, for some, are a substitute for unemployment transfers. They do not require proof of job search, are indefinite in duration and their average level is more generous than unemployment benefit. Given the right opportunities and incentives, it is expected that some of those on out-of-work benefits would choose to work.

In an effort to arrest the upward trend in the number of long-term sickness and disability benefit claimants, in April 1995, the government replaced the Invalidity Benefit with an Incapacity Benefit which required a more stringent medical examination. When introduced it was expected that some existing claimants would be classified fit for work and ultimately increase the size of the

workforce. But so far, the impact has been negligible and the number of claimants has continued to escalate.[55] Although tightening eligibility may have an impact on the number of new claimants, it is unlikely that the existing caseload will fall rapidly without more stringent measures. Tighter and regular tests on the ability to work, with sanctions for those found fit for work but not searching for employment would probably help reduce the caseload. But such policies are politically difficult to implement and costly to administer.

Another big component of social outlays, mostly affecting those out of work, are housing benefits. These have grown ten fold as a share of GDP over the past 15 years, to reach almost 2 per cent of GDP, equivalent to 8 per cent of total social spending. Some 75 per cent, or just over 2 million housing benefit recipients under the age of 60 receive some form of income support. Among lone parents the proportion is 85 per cent. In contrast, only 13 per cent of working age recipients had any income from employment, despite the fact that housing benefit is available (means tested) to low income earners.

The structure of housing benefit is such that recipients may face a strong disincentive to work. If market rents rise, the housing benefit also rises, but if income rises, entitlement to housing benefit falls. When combined with the withdrawal of council tax exemption and Family Credit for those entitled, and the progressivity of the income tax and National Insurance scale, the marginal effective tax rate (METR) can rise to around 90 per cent. However, reforms to housing benefits have created a deeper rental market, and low mobility linked to the reliance on and location of the public housing stock has been reduced. These changes may have contributed to a more mobile labour force as reflected in narrower regional differences in unemployment, but overall it is difficult to identify whether the net effect of housing policies has been positive or negative in terms of labour market performance.

There are several policy options available which could help reduce the work disincentive stemming from the structure of housing benefits, but without damaging mobility of the workforce. For example, METRs could be cut at the low end of the wage distribution by lowering the housing benefit taper rate, currently set at 65 per cent, and/or increasing the earning disregard before housing benefit declines. But the budgetary cost of such changes is high, and current spending plans provide little margin for manoeuvre. Furthermore, the incidence of high METRs would shift further up the earnings distribution and impinge on a larger

part of the population. An alternative approach is to restructure existing government support to housing. There still remains a significant subsidy to home owners in the form of mortgage relief. The July 1997 Budget reduced the size of this subsidy, with a 5 per cent reduction in the rate of mortgage interest rate relief (MIRA) to 10 per cent, but the annual cost to the budget is still some £1.5 billion. Savings from abolishing MIRA could be used to provide targeted housing assistance without additional aggregate spending, or re-oriented towards income support in general.

- Does targeting welfare spending sharpen work incentives?

The policy response to rapidly rising social spending has focused principally on greater targeting (largely through increased reliance on means-tested benefits, assessed on the basis of family incomes) on lowering benefits relative to earnings, and partially shifting provision responsibility onto the private sector.[56] Achieving a better targeting of benefits to those in need while at the same time enhancing the supply of jobs and the incentives to accept them potentially offers a way to meet both equity and efficiency goals, while containing transfer outlays and, therefore, the taxes needed to pay for them. A key difficulty, however, is that targeting can introduce high effective marginal tax rates (METRs) as increases in pre-tax earnings are absorbed by extra tax payments and benefits are clawed back. High METRs at the low end of the earnings scale discourage people from increasing contact with the labour market, since little improvement in their disposable incomes is achieved by working harder, creating poverty traps and welfare dependency.

It is difficult to estimate the size of this problem. Reforms since 1988 have sharply reduced the number of the most egregious cases – METRs of over 100 per cent – but official statistics suggest that some 645 000 individuals face METRs in excess of 70 per cent. And some 105 000 people confront METRs of over 90 per cent that apply approximately on earnings ranging between 46 and 65 per cent of those of an average production worker (Table 21). Nonetheless, almost 90 per cent of the employed population face METRs below 40 per cent, which is relatively favourable compared with other OECD countries and considering the large number of people on means-tested benefits.

The work incentive for one member of the household is often influenced by the labour market status of other family members. This is particularly so when benefits are means tested and tests are based on the income of the household, as is

Table 21. **Incidence of marginal effective tax rates**[1]

Thousands

	1985[2]	1994-95[3, 4]	1995-96[3, 5]	1996-97[3, 6]
100 per cent +	70	0 (0)	10 (20)	5 (5)
90 per cent +	130	90 (120)	100 (135)	105 (145)
80 per cent +	290	355 (370)	420 (435)	360 (405)
70 per cent +	290	600 (640)	615 (700)	645 (710)
60 per cent +	450	620 (660)	630 (720)	655 (725)
50 per cent +	680	625 (665)	630 (725)	660 (725)

1. 1985 figures are calculated to benefit units in receipt of income-related benefits where at least one partner works 24 hours a week or more. Later figures are calculated for benefit units in receipt of income-related benefits where at least one partner works 16 hours or more.
2. Based on 1982, 1983 and 1984 Family Expenditure Survey.
3. Housing benefit management statistics and family credit statistical sample have been used to provide more accurate figures for years 1994-95 and onwards. Unadjusted figures are provided in brackets to allow comparison with 1985.
4. Based on 1990, 1991 and 1992 Family Expenditure Survey.
5. Based on 1991, 1992 and 1993 Family Expenditure Survey.
6. Based on 1994-95 Family Resources Survey.

Source: UK Social Security Department Report, 1997.

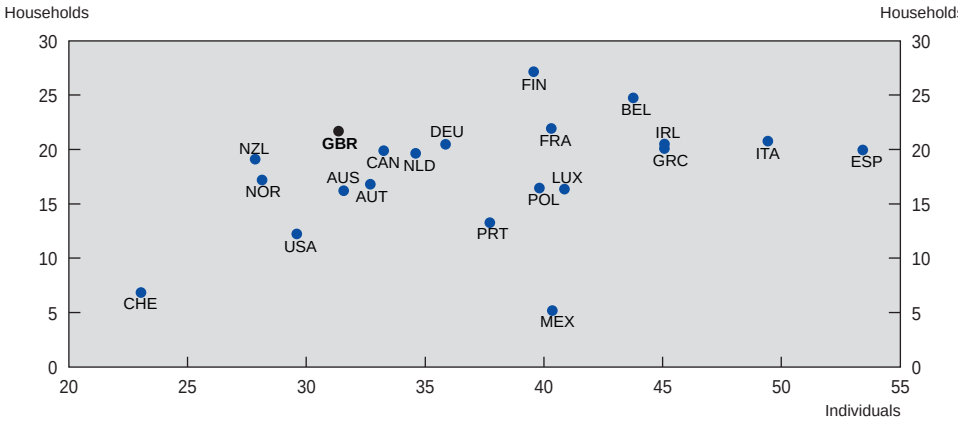
the case in the United Kingdom. The combination of taxation and withdrawal of benefits makes part-time work especially unattractive to those households where two adults are both out of work, since income support is reduced one for one with every extra pound earned. In the United Kingdom only 33 per cent of women married to men who are unemployed or out of work are employed, compared with 74 per cent for women married to employed men.[57] The impact may be to weaken employment opportunities and dampen the chances of successful reintegration of those out of work into a working life, since part-time work is often the first step back into the workforce.[58] Part-time work is also a preferred choice for many individuals, with some 6.5 million people, or one-quarter of total employment, working part-time. In effect, the structure of the tax and benefit systems contributes to the polarising of families into so-called ''job-rich'' and ''job-poor'' households. In the former, at least one member of the household works, and the other faces high incentives to work, whereas in the latter the incentive to work is low for both spouses. To exit from a ''job-poor'' household requires both members of a couple finding employment almost simultaneously.[59] In the United Kingdom, the rate of ''job-poor'' working-age households (non-employed), at 22 per cent in 1996, is higher than in all other OECD countries except Finland

and Belgium. Germany, France, Ireland, Italy and Spain have similar rates, but also a higher level of non-employment among individuals (Figure 22).

Lone parents, of whom some 90 per cent are women, are among the most disadvantaged by high METRs. More than 65 per cent of lone parents with earnings face METRs over 60 per cent, compared with some 6 per cent for the whole population. Lack of affordable access and availability of child care is an added barrier to work. It is especially a constraint among single parent families with few qualifications where the financial gain from work, once child care expenses are taken into account, is minimal, and sometimes even negative. For example, a lone parent with earnings equivalent to two-thirds of an average production worker (APW) would, based on reasonable child care cost assumptions, be worse off financially when working.

To redress such employment barriers facing lone parents, the previous government introduced a child care disregard when determining Family Credit entitlement. The take-up of the disregard has been much lower than originally expected, and is of little help to the poorest families as their earnings may not be

Figure 22. **NON-EMPLOYMENT RATES FOR INDIVIDUALS AND HOUSEHOLDS**[1]
1996[2]



1. Working-age households are defined as households where there is at least one adult member of working-age except for Australia, Mexico, New Zealand and the Netherlands, where they are defined as households with a head of working-age.
2. Denmark : 1990 ; Norway : 1995 ; Poland : 1995 for individuals.

Source: OECD, *Labour Force Statistics.*

sufficient to gain the full benefit from the disregard; only those earning over £139 a week gain the maximum support. The new government's Working Family Tax Credit (see below) will include a child care tax credit which will provide additional support for child care. It will give a maximum amount of child care support of £70 a week for a family with one child and £105 for a family with two or more children. Any lone parent working 16 hours a week or more, and paying for child care, will be eligible for the child care tax credit. But as with all benefits subject to means testing, the incentive to increase work effort beyond a limited number of hours is reduced as entitlement is clawed back. Consequently for many, earnings may remain insufficient to escape from poverty. However, the Working Family Tax Credit does give a family with a member working full-time a guaranteed income of at least £180 per week.

The New Deal, existing in-work benefits and the National Childcare strategy[60] currently being developed should all contribute towards lifting in-work earnings. Coupled with the reduction in lone parent benefits for new claimants, the gap between in-work and out-of-work incomes should increase and encourage a larger number of lone parents to actively search for employment. The Working Family Tax Credit and child care tax credit also increase the returns from working. These reforms, therefore, promise to lift the employment rate, which is one of the surest exit routes from welfare dependency, and provides a positive role model for children. Nonetheless, significant progress towards the goal of raising the employment rate of lone parents will require greater resources, especially if the approach is restricted to voluntary participation.

Several policy options are available to reduce the disincentive effects of high METRs, but they all imply difficult trade-offs. One policy option which lowers the incidence of high METRs at relatively low income levels is to increase the amount which can be received before means tested benefits are reduced; no limit is equivalent to a universal system. An alternative is to lower the taper rate at which benefits are reduced. In both cases, the budgetary cost of the programmes is raised and the problem of high marginal work disincentives is shifted further up the income distribution. Moreover, the very poorest are unlikely to gain from such reforms, since they predominantly have no job. The Working Family Tax Credit, whose introduction will not be budget neutral, has a higher income threshold than Family Credit and a lower taper rate.

The approach the government has proposed is a reduction in the bottom income tax rate to 10 per cent – when fiscally prudent – and the fine tuning of means-tested benefits. A lower income tax rate applied to the current income band, would cost approximately £11 billion and would benefit all tax payers. The impact on the incidence, size and distribution of METRs will depend on the actual changes made to means-tested benefits. These are yet to be determined. However, the introduction of a lower income tax rate is unlikely to make a large difference since means tested benefits are calculated on income net of tax, and national insurance contributions. Hence most of the gain from lower taxes for the low paid would be lost in reduced benefits. The Institute for Fiscal Studies (IFS), calculates the change would benefit most those in the top 3 household income quintiles. The lowest quintile would only receive 3 per cent of the cash gain (*The Green Budget*, IFS, 1998). A more finely targeted approach to raise work incentives of the unemployed, the non-active working age population and the low paid would be easier to achieve if the focus concentrates on changes to the benefit system.

- In-work benefits

In-work benefits are employment-conditional transfers or tax credits that supplement the incomes of individuals or families with low earnings. The aim of these benefits is to widen the gap between net in and out-of-work incomes, so as to sharpen the incentive to seek paid work. They are often focused on groups who would otherwise have high replacement rates; usually family households. This strategy has formed a key part of government policy in recent years and is receiving increased emphasis in the wider context of social welfare reform.[61]

In-work benefits can reduce the extent of the unemployment trap by increasing incomes for those in work without reducing out-of-work incomes and at a lower budgetary cost than general tax cuts, since they are targeted. The approach is therefore an alternative means of reducing the effective replacement rate without resorting to major cuts in benefits which could exacerbate poverty. But like other programmes, they involve difficult trade-offs between fiscal costs, incentives and the degree of targeting. In order to contain costs the benefit must be withdrawn as earnings rise, thereby reducing the incentive to increase hours worked or invest in training. Phasing out also means higher METRs reach further up the earnings scale, reducing work incentives for those already in work.

In-work benefits are not new in the United Kingdom. The first in-work benefit was the Family Income Supplement, introduced in 1973. It was replaced by a similar, but more generous Family Credit scheme in 1988. Family Credit supplements gross weekly earnings by about £50 and has gradually reached more families through easier minimum work requirements, more generous offsets for child care expenses, and higher income levels before benefits begin to taper.[62] The plan was extended in 1995, on a trial basis, to childless couples and single adults under a programme known as ''Earnings Top-up''. Lone parents are the main beneficiaries of Family Credit, accounting for almost 50 per cent of claimants.

The impact of in-work benefits on labour supply depends on the group of people affected. For lone parents, effective labour supply is often constrained through child care responsibilities and limited places available in care centres. The risk, therefore, of budgetary outlays financing decisions to work part time instead of full time are small.[63] Moreover, the choice between part-time work and no work is sharper. On the other hand, Family Credit may lower work incentives among two earner couples who just exceed the eligibility conditions. In this situation (concerning about 250 000 households), one person of the couple losing their job would entitle them to Family Credit and only slightly lower household incomes.

Conflicting work incentives implied by Family Credit, and indeed all in-work benefits, could even decrease effective labour supply. This situation arises if the reduction in work effort by full-time workers is greater than the increase in hours worked by part timers, and previously non-employed people. Most empirical work, however, finds that in-work benefits have a positive effect on the decision to take up employment and increases the overall number of hours worked. Moreover, in most cases hours worked would be more widely distributed. This is an additional benefit since keeping some contact with the labour market generally makes it easier to shift back into full-time work.

For the United States, Scholz (1996) estimates that the disincentives from in-work benefits facing current workers offset about one-third of the positive effect – which are particularly strong among lone parents – on aggregate hours worked. This, of course, does not mean the same results will apply in other countries. The results are likely to be sensitive to specific labour market conditions and tax and benefit arrangements. As a general rule, however, one could expect that in-work

benefits will work best when the earnings distribution is wide and when out-of work benefits are low relative to average earnings (OECD 1997*e*). The UK situation is broadly typified by these characteristics, suggesting that sharpening work incentives through expanded use of in-work benefits could strengthen effective labour supply without drastically increasing budget outlays, provided out-of-work benefits are not raised proportionately; *a fortiori* if the latter were less generous. But reducing out-of-work benefits would, for those who remain or become unemployed, exacerbate financial hardship.

In-work benefits may have other impacts that could frustrate employability goals. Since in-work benefits are designed to encourage people to take low-paid work, but with higher than market based remuneration, take-home pay differentials are narrowed. This could result in a lower incentive to invest in education and training, since the rewards from such investment are lower. Another potential adverse effect of particular concern to the government is the possibility that in-work benefits lead to lower wages and hence increase the budgetary cost of such programmes.[64] Lower wages may result if incentives are sufficiently powerful to encourage a large increase in labour supply. Others consider that employers would take advantage of the schemes by reducing wages below the market value. These concerns are often cited as reasons in favour of combining in-work benefits with a minimum wage, even though there is little evidence of such outcomes (see below).

As part of the review of the tax/benefit system, consideration was given to delivering in-work benefits in alternative ways. In the March 1998 Budget, the government announced that it will replace Family Credit with a Working Families Tax Credit (WFTC) which will administer payments through the tax system. The government expects that this will avoid the stigma of applying for a benefit, and provide a direct link with the pay packet, thereby showing more clearly the rewards of work over welfare. The WFTC will provide an additional £1.5 billion a year more than Family Credit, due to WFTC's higher net income threshold before benefits are withdrawn and a lower taper rate, which will significantly reduce the number of families with marginal effective tax rates over 90 per cent. These features should ease unemployment and poverty traps. The government calculates that the new system will benefit around 1.5 million working families, which is some 400 000 more than would have received Family Credit.

It is not clear what the added advantage of delivering in-work benefits through the tax system would be concerning work incentives. Indeed, the design of the schemes is broadly identical, even though compliance costs for business of the new scheme are higher. Moreover, like all tax expenditures, the costs are less transparent, they are usually subject to weaker budgetary scrutiny, and evaluations of their cost effectiveness are more difficult to do.

Introduction of a minimum wage

The Government is committed to introducing a national minimum wage to remove the worst excesses of low pay and ensure greater decency and fairness in the workplace. In the government's view, the minimum wage should not be seen in isolation. It is part of a range of policies which aims to improve employability, help people back into work and promote a more fair and inclusive society. The government sees the minimum wage as complementary to its reforms to the tax and benefits systems. Both share a common aim: making working pay. In keeping with the government's approach, a Low Pay Commission was established in July 1997 as an independent body to consult unions, employers and other interested parties on the potential implications of a minimum wage and to make recommendations on the level and other design features that the minimum wage should take. The Commission is expected to make its recommendation in May 1998 and legislation should enable the establishment, for the first time in the United Kingdom,[65] of a statutory minimum wage (SMW).

Coverage

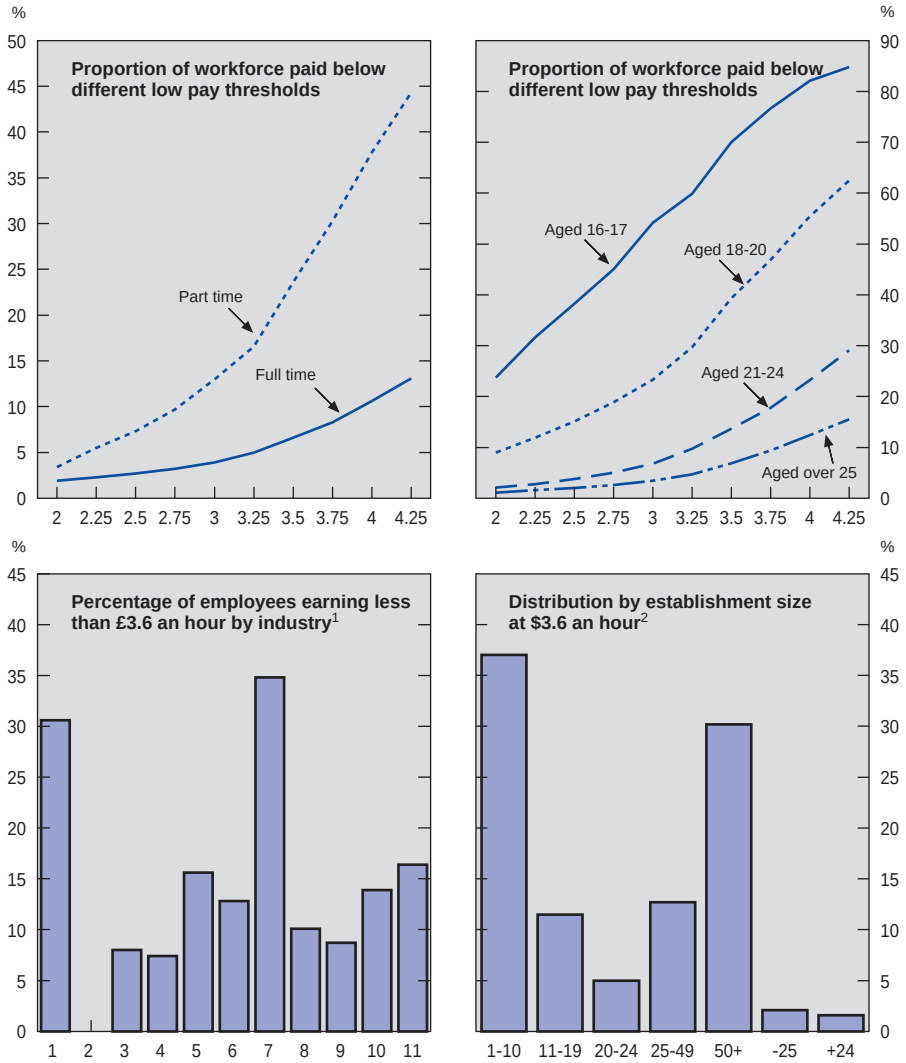
The proportion of employees that would be covered by a minimum wage depends at what level it is introduced and the labour market structure. Table 22 shows national and regional coverage rates (at 1997 employment levels) at different hourly rates. At levels below £3.50, less than 10 per cent of employees are concerned, but between £3.50 and £4.50 the proportion quickly rises to around 30 per cent, equivalent to about 7.5 million people. Regional variations in coverage rates are smaller, but still significant. Apart from the London and South East areas, coverage rates lie between 15 and 20 per cent for a SMW set at £4 for all employees. The rate is much higher for part-time employees, ranging between 18 per cent in London and 48 per cent in the North East.

Table 22. **National and regional coverage of minimum wage rates**[1]

	Percentage earning less than			
	£2.50	£3.00	£3.50	£4.00
North East				
Full-time	0.8	2.2	6.0	11.2
Part-time	4.5	8.9	28.0	48.2
All	1.6	3.7	10.9	19.5
North West				
Full-time	0.7	1.7	4.6	9.3
Part-time	3.7	6.8	21.7	38.7
All	1.4	2.8	8.3	15.6
Merseyside				
Full-time	0.6	2.0	5.1	8.7
Part-time	3.2	6.8	20.8	41.1
All	1.2	3.1	8.7	16.1
Yorkshire and the Humber				
Full-time	0.6	1.7	5.2	10.8
Part-time	3.9	7.8	21.7	41.2
All	1.4	3.2	9.3	18.2
East Midlands				
Full-time	0.8	2.0	5.3	11.0
Part-time	4.6	8.4	21.6	40.4
All	1.6	3.4	8.8	17.3
West Midlands				
Full-time	0.8	1.7	4.2	9.1
Part-time	4.0	7.4	23.0	41.4
All	1.4	2.9	8.1	15.8
Eastern				
Full-time	0.9	1.6	3.7	7.9
Part-time	5.1	8.6	20.5	35.7
All	1.8	3.2	7.6	14.3
London				
Full-time	0.5	0.8	1.7	3.3
Part-time	3.6	5.4	11.3	18.7
All	1.0	1.5	3.2	5.8
South East				
Full-time	0.7	1.2	3.1	6.6
Part-time	4.9	6.9	17.4	31.4
All	1.6	2.5	6.3	12.2
South West				
Full-time	0.9	1.8	4.8	10.3
Part-time	4.4	8.2	24.0	41.5
All	1.7	3.2	9.2	17.6
Wales				
Full-time	1.1	2.0	5.4	11.3
Part-time	5.1	8.1	25.3	43.5
All	1.9	3.3	9.5	18.0
Scotland				
Full-time	1.0	1.9	5.0	10.1
Part-time	5.5	8.6	22.7	40.4
All	1.9	3.2	8.6	16.2

1. Survey is of those whose pay is not affected by absence. Hourly earnings exclude overtime, adult rates in April 1996.
Source: *Labour Market Trends*, September 1997.

Figure 23. **MINIMUM WAGE COVERAGE BY WORKFORCE CHARACTERISTICS**



1. 1: Agriculture, forestry and fishing, 2: Energy and water supply, 3: Minerals, ores, metals and chemicals, 4: Metal, goods (engineering and vehicules), 5: Other manufacturing industries, 6: Construction, 7: Distribution, hotels and catering, 8: Transport and communications, 9: Banking, financial and business services, 10: Other services, 11: All.
2. Size based on number of employees. -25: Do not know but under 25 and +24 : Do not know but over 24.

Source: Dickens *et al.* (1997) and Office for National Statistics, *Labour Force Survey,* Winter 1996.

Those most affected by a minimum wage are concentrated among specific age, sex, industry, ethnic origin and work-status characteristics. Women, part-time workers and some ethnic groups are disproportionately represented (Figure 23). An assumed minimum wage rate of £3.50 an hour would reach 15 per cent of the female workforce, but only 8 per cent of the male workforce and 25 per cent of part-time workers (mainly women) compared with about 7 per cent of full-time employees. Similarly, service industries, notably tourism and the wholesale and retail trade would be more affected by a minimum wage than manufacturing industries, especially among establishments with few employees. However, some manufacturing industries, such as textiles and clothing also have a high proportion of low-paid employees, concentrated in specific regions and exposed to international competition. The age dimension is also significant. Some 70 per cent of 16 to 17 year olds, and almost 40 per cent of 18 to 20 year olds would fall within the domain of a minimum wage set at £3.50, compared with about 7 per cent for those older than 25 (Dickens *et al.*, 1997). These broad coverage indicators highlight the particular vulnerability of youth, and certain groups of the workforce such as part-timers to a high minimum wage.

Employment effects

The empirical literature suggests that the impact of a minimum wage on employment is difficult to identify, but probably small in countries with a low minimum wage. More conclusive evidence for negative employment effects is found for younger workers and the unskilled. The latter group, as discussed above, currently form a disproportionate share of the non-active working age population. Furthermore, a minimum wage may increase the effective supply of labour with possible employment distributional effects if new entrants displace employed workers with relatively lower qualifications. These effects are even harder to quantify. Box 4 provides a review of empirical research in the United States, France and the United Kingdom on the employment effects of a SMW.

A key issue therefore, is what constitutes an appropriate minimum wage level. This will obviously depend on a range of factors affecting the distribution of skills and earnings capacities across the labour force. A common approach has been to advocate a level equivalent to half median earnings as a benchmark. But, even on this principle, a wide range of outcomes, spanning between £3 and £4.60 an hour is possible, covering between 3 and 30 per cent of employees. The higher

Box 4. **Minimum wage employment effects: empirical evidence for the United States, France and the United Kingdom**[1]

There is a considerable literature on the effects of statutory minimum wages (SMWs) on the labour market, especially with reference to the United States and France. Both countries have SMWs, but their levels differ markedly: in the United States, the hourly federal minimum wage is about one-third of the average hourly wage in manufacturing, while in France it exceeds 50 per cent of the average hourly wage. But once adjusted for price level differences, direct taxes and social security charges, the gap in net hourly minimum wage rates is considerably smaller.

Until the beginning of the 1980s, a rather consensual view emerged from empirical studies on the United States: the SMW had a negative (albeit modest) impact on employment, while the effects on youth employment were somewhat more important (Brown, Gilroy and Cohen, 1982 offer a comprehensive survey of the US literature). Studies based on time-series suggested that the elasticity of employment with respect to minimum wages was between –0.2 and –0.1 (between –0.3 and –0.1 in the case of youth employment). These studies also estimated a small impact on youth unemployment (with an elasticity of 0.075; Brown, 1988).

At the beginning of the 1990s, the federal minimum wage was raised by a significant amount after having been kept constant throughout the 1980s. This offered the opportunity to study the employment effects of these increases (Card, 1992; Card *et al*., 1994). These studies were unable to detect any significant impact of the SMW increase on employment. More recently, Card and Krueger (1994) exploited the 1992 rise in the New Jersey SMW (to $5.05) on employment in fast-food restaurants, using as a control group similar restaurants in Pennsylvania, which maintained the federal minimum of $4.25. They found that restaurants affected by the minimum wage in New Jersey increased employment when compared to those in Eastern Pennsylvania.

These results are controversial and other economists have questioned the methodology used. Neumark and Wascher (1992 and 1995) studied the effects of SMWs on the employment and education enrolment of teenagers using panel data and reported a small negative effect of the SMW on youth employment: a rise in the SMW leads to small job losses for teenagers as a whole, with significant enrolment and employment shifts among teenagers, with the more qualified displacing the less qualified young workers who tend to become non-enrolled and non-employed. The two latter papers have stimulated a dense debate among the respective authors and other scholars: in particular, both approaches have been criticised on theoretical as well as empirical grounds.

The literature on the French *salaire minimum interprofessionnel de croissance* (SMIC) mainly focuses on the effects on young workers. Among the most recent studies, Bazen and Martin (1991) found a significant negative impact of the SMIC on youth employment with an elasticity ranging from –0.23 to –0.1. Skourias (1992) used different approaches to analyse the effects of the SMIC on youth employment, unemployment and

(continued on next page)

(continued)

participation. The employment effects of the SMIC were somewhat below those of Martin and Bazen, albeit significant. In a more recent study, Skourias (1993) obtained elasticities of youth employment with respect to the SMIC in the range between –0.12 and –0.15. On the basis of these results, the author estimates that the rise in the SMIC over the period 1970-90 led to the loss of between 93 000 and 375 000 jobs for young workers. Following a similar approach, Benhayoun (1993) confirms the results for male youth employment, but not for total youth employment.

Two recent studies have estimated the role of minimum wages, as well as a number of other policy and institutional factors on structural unemployment. Jackman and Leroy (1996) found that increases in the SMIC had led to higher wage pressure and a rise in the equilibrium unemployment rate. Using a dynamic structural model of unemployment, the OECD (*Economic Survey of France*, 1997) finds a significant positive impact of the SMIC (relative to the average wage) on unemployment. Following these results, a 10 per cent rise in the SMIC (relative to the average wage) would lead to an increase in the structural unemployment rate of about 0.9 percentage points. On the other hand (Dolado *et al*., 1996) do not find strong evidence of an adverse effect on employment from the SMIC.

Abowd *et al*. (1997) examined both the United States and France. They found significant and large negative employment effects. They use longitudinal data to compute flows into and out of employment for the United States and France. In France, a 1 per cent increase in the minimum wage reduced the probability of employment by 2½ per cent among male youths currently earning the minimum wage. And in the United States the chance of a non-employed person finding employment dropped by 2¼ per cent.

The limited empirical work undertaken in the United Kingdom has examined the impact of Wage Councils. Machin and Manning (1994) constructed a measure of ''toughness'' of the minimum wage in the industry affected.[2] They concluded that there was no evidence of adverse employment effects from minimum wages set by Wage Councils. Using a similar technique, Dickens *et al*., (1994) estimated the impact of the Agricultural Wages Board on employment in the agricultural sector. They found that a 10 per cent increase in the minimum wage increased male employment in the sector by up to 2.5 per cent, although the effect was not statistically significant. A number of studies have also examined the effects of the abolition of the Wage Councils in 1993. Dickens *et al*. (1995) found no evidence that the abolition of the Wage Councils led to an increase in employment. It is not certain how reliable these UK studies are for predicting the impact of a national minimum wage, applied to a much larger proportion of the workforce. However, this evidence lends some credence to the view that monopsony style effects may be relevant to the low pay sector.

1. This box is largely based on material contained in OECD (1997*f*).
2. This is measured by the ratio of the minimum wage to the average wage of workers covered by the Councils.

level is based on male earnings in the manufacturing sector (currently 20 per cent of total employment) using the Workforce in Employment data source and includes overtime payments and bonuses.[66] The lower level is based on data from the Labour Force Survey for all workers and excludes overtime.

Another approach to judge the appropriate minimum wage level is to compare with other OECD countries that set a minimum wage. On this basis, France is widely viewed as having a relatively high rate – at 39 francs an hour – and the United States – at $5.15 an hour – a low level.[67] But in order to make valid comparisons and to assess the economic impact, what matters more from the employers perspective is the total cost of labour inclusive of taxes and social security contributions – the gross wage. And from the employee's perspective, well-being depends on the purchasing power afforded by the wage after deductions of social security charges and direct taxes – the net wage.

Table 23 compares the gross and net minimum wage rates in the United States and France with several of the proposed rates for the United Kingdom. Once converted into a common currency[68] and after deducting social security charges and direct taxes, the difference between the net minimum wage in France and the United States is much lower. This largely reflects that the lower minimum is offset by the smaller level of social security charges and by lower prices in the United States. On this basis, a net minimum wage in the United Kingdom equivalent to that in France would imply an hourly statutory rate of about £4. Another factor which can make a considerable difference to take home pay are family benefits. The delivery and entitlements of such benefits varies across countries, making precise comparisons very difficult. The lower panel of Table 23 provides a rough estimate of the net minimum wage rate allowing for family benefits. The difference between the net SMW falls further, with the US level approximately equivalent to 90 per cent of the French level.

Although net minimum wage levels are broadly similar, the gross levels, which correspond more closely to labour cost, and therefore influence the demand for labour, are very different. The US level is equivalent to about two-thirds of the French rate, with the difference mostly reflecting considerably higher social security charges in France. A UK gross minimum wage comparable with the French level would correspond to approximately £4.75, but only £3.15 in terms of the US level.[69]

Table 23. **Gross and net minimum wage rates**[1]

	Minimum rate Local currency	Gross[2] $	Net[3] $	Net as per cent of French	Total wedge[4]
A. Net mean excluding social charges					
United States	5.15	5.43	4.75	98	13.1
France	39.40	8.18	4.84	100	39.7
Assumed UK rates					
Case 1	3.00	5.17	4.14	85	12.7
Case 2	3.50	6.03	4.82	100	12.7
Case 3	4.00	6.89	5.51	114	12.7
Case 4	4.50	7.75	6.20	128	12.7
B. Net mean excluding social charges and direct taxes					
United States	5.15	5.43	3.93	85	29.1
France	39.40	8.18	4.64	100	43.1
Assumed UK rates					
Case 1	3.00	5.17	3.47	75	27.6
Case 2	3.50	6.03	4.05	87	27.6
Case 3	4.00	6.89	4.62	100	27.6
Case 4	4.50	7.75	5.20	112	27.6
C. Net mean excluding social charges and direct taxes with family benefits[5]					
United States	5.15	5.43	4.83	90	11.7
France	39.40	8.40	5.34	100	34.5
Assumed UK rates					
Case 1	3.00	5.21	4.01	75	16.3
Case 2	3.50	6.08	4.68	88	16.3
Case 3	4.00	6.94	5.35	100	16.3
Case 4	4.50	7.81	6.02	113	16.3

1. Based on earnings equivalent to 66 per cent of an average production worker.
2. The gross wage is converted into US dollars using average 1997 market exchange rates. These are FF 5.83 and £0.61 per US dollar.
3. The net wage is converted into US dollars using average 1996 purchasing power parity rates. These are FF 6.56 and £0.68 per US dollar.
4. The wedge is the gap between the gross and net wage expressed as a per cent of the gross wage in the local currency.
5. Family with 2 children.

Source: OECD Secretariat.

Such comparisons are inevitably broad-brush, due to numerous other differences across countries that may impinge on the purchasing power of employee earnings. For instance, university education in France is mostly financed through tax revenues, whereas in the United States a larger contribution is from the student or student's family. Furthermore, comparisons are made on the basis of a typical production worker with earnings equivalent to two-thirds of the country's

average production worker. How representative these common assumptions are for the overall population is likely to vary.

As discussed in Box 4, empirical evidence suggests that a high minimum wage would impact adversely and more strongly on youth employment opportunities. Differentiation of the minimum wage based on age or qualification would limit these adverse youth employment effects. The government has asked the Low Pay Commission to make recommendations on lower rates or exemptions for those aged 16-25. Most OECD countries with a statutory or negotiated minimum wage differentiate by age, and some distinguish on qualification/skill, although this often corresponds to age. Differentiation takes account of the fact that young workers may be less productive while they are acquiring job skills. The extent of the reduction varies widely between countries, with the average youth minimum wage equivalent to about 65 per cent of the adult rate. Care is needed, however, not to set age-specific minimum wage rates too far from productivity differences, as an incentive for labour market churning would be created and might result in displacement of older workers. Given the sharp age hourly earnings profile in the United Kingdom, multiple wage minima would be necessary to limit labour churning, but setting and adjusting wage minima so as to closely match marginal productivity is, in practice, very complex.

The OECD *Jobs Study* recommended devolving minimum wage determination to the regional level to limit the risk of having a large number of workers being unable to price themselves into work in certain areas. This is more likely when the purchasing power of a given level of the minimum wage differs significantly across regions. In this case, differentiated rates would help establish a more equitable structure of real minimum rates across the country. However, regional rates have been ruled out by the UK government for a number of reasons. The government believes that a single rate will become established more quickly in the public perception. Regional rates also pose a number of serious practical difficulties, for example, in defining where the boundaries should be and coping with employees who work in more than one region. Furthermore, low pay is found in all regions.

Is it an anti-poverty measure?

A minimum wage is sometimes advocated as an anti-poverty measure and as an instrument to raise the living standards of the lowest paid to some basic level.

The impact on poverty is likely to be small, since the majority of low wage workers do not come from families in poverty. Some 70 per cent of households in the lowest income decile and quintile are out of work rather than in low-paid work. These households would not be directly affected by a minimum wage. On the other hand, the earned income of low paid workers who remain employed would increase. At £3 an hour, about 3 per cent of households in the bottom decile would gain and some 8 per cent at a £4.50 hourly rate. The full impact on income distribution also depends on the interaction with the tax and benefit system and employment effects. Since many low-paid workers also claim in-work benefits, part of the gains arising from the wage increase will be offset by reduced in-work benefits.[70] And poverty effects may even be perverse, if the minimum wage is set at a level that reduces employment.

Taken together, these features suggest that, in isolation, the minimum wage is unlikely to provide a satisfactory solution to social concerns about poverty. Distributional objectives are likely to be better achieved through more direct and transparent initiatives such as social spending and tax policy. These can be designed to better target those in need, with fewer distortionary effects than the minimum wage and without loss of fiscal transparency. To this end, the reforms of tax and in-work benefit systems discussed above would provide a more effective platform for addressing social goals. But whether they would be adequate obviously depends on the degree of ambition with which policies aim to address poverty. Major changes in the incidence of poverty are likely to require increased levels of spending, higher tax expenditures or a combination of the two. While no substitute for tax and benefit reform exists, a sensibly set minimum wage may provide a useful complement to such reforms.

Other considerations

If inappropriately set, the minimum wage may have other unwanted effects. There is tentative evidence for the United States that a rise in the minimum wage leads to more school drop outs and reduces the incentive for further training among older workers. Product market competition may also decline if new firms in low paid sectors are constrained from initially offering lower salaries than existing firms, where productivity is typically higher. Such outcomes would represent an entry barrier to new firms. To the extent that pressure to restore wage differentials is maintained, macroeconomic performance could also deterio-

rate. If firms cannot pass on higher costs through higher prices, a loss of competitiveness could result in reduced profits and output, with obvious implications for labour market conditions. On the other hand, the minimum wage may help reduce staff turnover, which is particularly high in low paying sectors. It may also, in some instances, provide a boost to productivity through improved employee commitment.

The minimum wage has frequently been discussed in the context of in-work benefits. Some argue, including the government, that a minimum wage is needed to prevent in-work benefits acting as a subsidy to low-pay employers. This would be the case if employers paid an employee with in-work benefits a lower wage than an employee without the benefit or if the existence of in-work benefits reduces the reservation wage of likely recipients. The extent to which such behaviour is likely depends on the degree of monopsony power exerted by the employer and the elasticity of labour supply. If labour supply is very elastic, the incidence of an in-work benefit may shift to employers. Empirical studies find it difficult to accurately estimate significant aggregate labour supply elasticities. A common finding, however, is that approximate estimates for females are larger than those for males. In the United Kingdom the limited empirical evidence on the existence and size of monopsonistic power suggests that such behaviour may exist, but is unlikely to be large.[71] Monopsony power may prevail if information about job vacancies is imperfect and job search and mobility are costly. While low paying sectors (*e.g.* retail trade, leisure industries) are often characterised by intense competition, they also suffer from very high rates of labour turnover. Higher wages may make it easier to recruit and retain workers, thereby lowering the costs associated with high staff turnover, and providing some offset to the additional costs of the minimum wage.

It is more difficult to evaluate the impact on labour exploitation. This is partly because it is hard to define the term precisely and consequently no useful measure exists. Nonetheless, it is likely that blatant examples of pay levels below labour productivity would be curtailed. Inevitably, some cases of exploitation will continue to exist. This will partly depend on the degree of compliance, which underscores the importance of effective enforcement mechanisms.[72]

In summary, there are many dimensions to the minimum wage issue which are far from clear cut, including how minimum wages interact with means-tested in-work benefits and the impact on total employment. While the evidence for

young people is not conclusive on balance it suggests that across-the-board legal minimum wages do adversely affect the employment prospects of young people, if set too high. There is a risk that a poorly implemented statutory minimum wage would frustrate efforts to translate employability into employment and not serve as an effective anti-poverty measure. These considerations suggest a cautious approach. If a minimum wage is introduced, it would be important to set the initial rate at a prudent level, with adjustments made once an evaluation of the various impacts can be more fully assessed. Given the pronounced age/income profile, differentiation between youth and adult minima should be considered.

Assessment

Policies which support employability are the centrepiece of the new government's structural reform agenda. The objectives of higher levels of, and rewards from employment also form the basis for redressing trends of widening income distribution and rising poverty. In many respects the approach largely builds on policy initiatives followed by the previous government. For instance, education and training, particularly upgrading the skills among those with the weakest attainment levels is a major element of the strategy. And other elements, including increased emphasis on ALMP (Welfare to Work) and reforming the tax and benefit systems to sharpen the incentive to work, were adopted. The major difference with the current approach is a more holistic framework and the introduction of a minimum wage.

Based on earlier experience, achieving the stated goals through these sorts of initiatives without adding to overall budgetary outlays is an extremely difficult task. The crux of the problem lies with the intrinsic trade-off between equity and efficiency. Redistribution policies from higher to lower income people reduce incentives for both groups to supply labour to the market; no option can avoid the trade-offs between equity and efficiency. What can be changed is a reorientation in the balance between competing objectives. In this context, the government's programme places emphasis on reducing unemployment traps by increasing in-work support (*e.g.* Family Credit), thereby making work more financially attractive than unemployment. But since benefits are means tested this will lead to a larger number of people facing withdrawal of benefits as their incomes rise, lowering the work incentive and in extreme cases worsening the poverty trap.

Policies to lessen the impact of poverty traps, such as lower taper rates, are costly and also shift high effective tax rates to those further up the earnings distribution. Thus, given current social spending outlays and overall budgetary constraints, employability initiatives are unlikely to significantly reduce poverty and inequality.

On the other hand, the emphasis on raising skill levels and actively helping those groups detached from the labour market, and typically with low earnings potential – long-term unemployed, lone parents and the long-term sick – could help raise employment levels of these groups as well as the earnings from work. The inducement to take full advantage of available opportunities would be higher if net unemployment replacement ratios were lower or participation was obligatory. So far only unemployed youth have to choose one of the New Deal options or face sanctions, and it is still too early to evaluate the impact of planned tax and benefit reform on net replacement rates. The general approach, however, should help lift employment levels, all the more so if extended to other disadvantaged groups and provided the minimum wage is not set too high.

V. Corporate governance

Corporate governance deals with the issues which arise from the separation of ownership and control in modern joint stock companies. This separation can lead to a divergence of interests between managers and shareholders and ultimately result in a misallocation of resources and underperformance of the corporate sector. It is difficult to link governance to the performance of the economy at large. But it is likely that there are channels, such as the way managerial incentives are set or the mechanisms that ensure the timely restructuring of companies, that affect the allocation of resources. The United Kingdom's corporate governance system is often thought to be close to the American ''outside'' system of corporate governance and contrasted with the Japanese and German ''insider'' corporate governance systems. Insider systems are characterised by long-term, stable relationships between companies and at least some of their major shareholders, which often include banks. These relationships may be purely financial or based on past or current commercial relationships. The interests of large shareholders are often supported by board representation, either directly or through alliances with other shareholders, often resulting in extensive shareholder and board-level corporate networks. These provide a close-knit corporate governance structure, which focuses on long-term performance and reduces agency costs. But this may also serve to limit the rights and influence of shareholders outside the core shareholder group. In the ''outside'' system, in contrast, corporate ownership tends to be diffuse and turnover of share ownership high. Outside systems also appear to be more open and equitable in the distribution of information. The accountability of the board to shareholders as a body is also more clearly recognised. While such generalisations provide a benchmark, they can also be misleading and the dichotomisation of the insider and outsider model is becoming increasingly obsolete. National models adapt to the globalisation of equity markets. Shareholder value and protection have gained in

prominence and corporate governance systems have become a crucial element in the attractiveness of a particular country as the destination for global savings. In addition, common reporting standards are increasingly important, and leading institutional investors are starting to adopt a consistent approach to the evaluation of corporate governance issues and risks.

Key features of the United Kingdom's system of corporate governance include the primacy of shareholder interests; the equality of shareholders' information and voting rights; the importance of financial disclosure and transparency; and the accountability of boards to shareholders. Whilst these are, for example, also evident in the United States, significant differences include: the almost total absence of shareholder lawsuits in the United Kingdom; the heavy reliance on self-regulation and the role of the Stock Exchange in providing the regulatory framework for corporate governance standards and disclosures; and the dominance of equity investment by a relatively small number of institutional investors.

The United Kingdom's Companies Act addresses many corporate governance issues, but only in very general terms. However, the governance framework has evolved considerably during the 1990s due to the recommendations of the Cadbury and Greenbury Committees, which were underpinned by the disclosure requirements of the Stock Exchange Listing Rules. This is the focus of this chapter.[73] In 1992, a Committee[74] chaired by Sir Adrian Cadbury published a report which has provided a robust framework for the evolution of corporate governance. The Committee was formed to investigate the financial aspects of corporate governance, and followed a number of high profile corporate scandals and collapses. These were typically characterised by a combination of fraud, inadequate financial controls, poor quality financial reporting, the concentration of boardroom power in the hands of one person in the dual role of Chairman and Chief Executive Officer (CEO), weak and ineffective boards, and substantial investor losses. The Cadbury Committee and those following it did not aim at prescribing corporate behaviour, but to ensure sufficient disclosure so that investors can assess a company's performance and respond in an informed way.

A big share market...

The important role of the equity market is highlighted by the large number of quoted companies and the size of stock market valuation relative to GDP. In

Table 24. **Listed companies and market capitalisation**

1994

	Quoted companies Number	Market capitalisation Per cent of GDP	Turnover Per cent of market value
United Kingdom	**2 070**	**114**	**38**
Switzerland	215	109	81
United States [1]	2 353	75	52
Netherlands	320	67	66
Australia	1 144	67	34
Canada [2]	1 185	59	42
Japan	2 205	50	32
Korea	699	50	174
Belgium	155	36	14
France	459	34	45
Spain	372	25	44
Germany	417	24	128
Italy	219	18	72

1. NYSE, AMEX and NASDAQ.
2. Toronto and Vancouver.

Source: Annual Security Statistics (1995) and OECD Secretariat.

both respects, the United Kingdom more closely resembles Japan and the United States than most continental European countries, such as France and Germany, where the stock market is much smaller (Table 24). Share ownership in the United Kingdom is characterised by the domination of domestic institutional investors, a high degree of concentration in the ownership of listed companies by institutional investors, the virtual absence of corporate cross-holdings, and the declining role of individuals in direct share ownership. The concentration of ownership by institutional investors is significantly greater than found elsewhere and has a major influence on the way corporate governance is exercised in the United Kingdom.

... with a significant increase in institutional investment...

The United Kingdom is among the OECD countries where institutional investors (but not banks) play a large role in the financial system and they hold the highest proportion of assets in equities – more than double the OECD average (Table 25). However, the gap between the United Kingdom and the other countries' financial structure is closing, which suggests that whilst institutions in

Table 25. **Institutional investor's financial assets**

1995

	US$ billion	Per cent of GDP	Per cent held in equities
United Kingdom	**1 788.7**	**162.3**	**69**
Australia	264.4	75.9	50
Canada	492.2	87.9	24
France	1 158.8	75.3	22
Germany	1 132.2	46.1	12
Italy	222.9	20.6	17
Japan	3 953.5	77.4	18
Korea	263.1	57.7	13
Netherlands	626.5	158.4	23
Sweden	265.0	114.8	35
Switzerland [1]	239.2	150.5	50
United States	11 870.9	170.8	36
OECD total	23 387.6	n.a.	28

1. 1994 data.
Source: OECD (1997), *Institutional Investors Statistical Yearbook.*

the United Kingdom appear to be approaching a ceiling in their asset allocation towards equities, institutions in other OECD markets are gradually increasing their exposure to equities. The status of equities as the asset class of choice of institutional investors is long established and has increased considerably since 1980 (Annex I, Table A1), with the aggregate share of equity in the portfolio allocation of insurance and investment companies and pension funds rising from 47 per cent to 65 per cent in 1995. Of the £393 billion held in equities by these investor classes, 7.2 per cent was held in non-domestic companies in 1980, a proportion which increased to 17.2 per cent by 1995. There are, however, significant differences in the asset allocation strategies employed by institutional investors, with non-life insurance companies consistently showing the lowest investment levels in equities.

Not only do institutional investors play a larger overall role in the ownership of listed companies, ownership is also highly concentrated. For example, the top 25 institutional investors controlled 42 per cent of the value of shares held by institutional investors, considerably more than elsewhere. In addition, the proportion of shares of the top 25 companies controlled by the 25 largest institutional investors is significantly higher in the United Kingdom than in other markets (Annex I, Table A2). This is largely due to the fact that restrictions on portfolios

are lighter in the United Kingdom than elsewhere. Although exact rankings vary over time, the top ten institutions in 1996 accounted for approximately 25 per cent of stock market value; the top 20 for one-third, and the top 50 institutions for half of stock market value.[75] The high degree of concentration has important implications for the relationship between these investors and the companies in which they hold stakes.

Across the stock market, the largest institutional investors are consistently companies' largest shareholders. Even if their investment strategy is to selectively invest individual portfolios, the size of funds under management results in the same institutional investors holding substantial stakes in many companies. Most major companies have, therefore, broadly similar ownership profiles and in aggregate institutional investors' holdings in these are not strongly differentiated. This is consistent with the finding that the shareholdings of the largest institutional investors are characterised by their stability. An analysis of the top ten shareholders in twenty of the United Kingdom's largest listed companies shows that in a two-year period, there was very little net change in the aggregate size of these shareholdings. This has a significant influence on the structure and management of communications and relationships between companies and shareholders. The high degree of concentration has been a key influence on the way corporate governance is exercised and this has evolved because a number of major institutional investors have created dedicated corporate governance teams. The responsibilities of these include co-ordinating their corporate governance policy frameworks with other institutional investors, internal liaison with portfolio managers, and directly communicating with companies.

... accompanied by a considerable decline in personal equity holdings

In 1963, households directly owned more than half of the value of the shares listed on the London Stock Exchange (Table 26). The decline over the following 30 years reduced this proportion to around 20 per cent. Factors contributing to this trend have included:

- Successive governments provided a more favourable tax environment for collective investment schemes than for direct holdings. Although the details of the tax treatment have evolved, the financial service industry

Table 26. **Share register analysis**

Per cent

	1963	1969	1975	1981	1989	1994
Pension funds	6.4	9.0	16.8	26.7	30.6	27.8
Insurance companies	10.0	12.2	15.9	20.5	18.6	21.9
Unit trusts	1.3	2.9	4.1	3.6	5.9	6.8
Investment trusts	11.3}	10.1}	10.5}	6.8}	1.6	2.0
Other financial institutions					1.1	1.3
Total UK institutional investors	29.0	34.2	47.3	57.6	57.8	59.8
Overseas investors	7.0	6.6	5.6	3.6	12.8	16.3
Total institutional investors	**36.0**	**40.8**	**52.9**	**61.2**	**70.6**	**76.1**
Individuals	**54.0**	**47.4**	**37.5**	**28.2**	**20.6**	**20.3**
Others	10.0	11.8	9.6	10.6	8.8	3.6
Total	100.0	100.0	100.0	100.0	100.0	100.0

Source: Office for National Statistics.

has been adept at attracting retail savings into investment schemes based on their advantageous tax status, including certain insurance funds, Personal Equity Plans (PEPs) and portable personal pensions.

– The number of individual private shareholders is estimated to have increased from around 3 to 15 million since the early 1980s largely due to the vast privatisation programme, and more recently, the demutualisation of several large building societies (mutually-owned credit institutions). Most people who invest directly in the stock market hold shares in a small number of companies (three or less). Moreover, the shareholder profile of privatised companies has become close to the market average as a high proportion of the shares acquired by individuals at the time of privatisation were subsequently purchased by institutional investors in the secondary market.
– There has been significant growth in unit trusts, which provide much wider diversification, access to professional management and lower execution cost than direct equity ownership.
– Private pension provision has grown rapidly, primarily through the corporate sector, and personal pension schemes are now also widely used by the self-employed.
– Equity funding requirements of companies have also risen rapidly. Companies have issued shares to institutional investors in the primary market,

which has contributed to the volume of equity-based collective investments managed by institutional investors.

Corporate monitoring

Under UK company law, the primary rights of shareholders include: the right to receive the Annual Report and Accounts; attend shareholder meetings or appoint a representative to do so; vote on resolutions; submit resolutions and call shareholder meetings in certain circumstances; receive dividends; and to freely transfer ownership of their shares. Based on several indicators and in a comparison across 49 countries, La Porta *et al*. (1996) conclude that shareholder protection in the United Kingdom is among the most stringent in international comparison. In addition, insider trading – an indicator not included in this study – is severely punished, even though in the United Kingdom the number of successful prosecutions, even in cases where insider trading has probably taken place, remains fairly low.

Annual General Meetings

Under Company Law all companies must have an Annual General Meeting (AGM). However, most resolutions on which shareholders vote by a simple majority are not binding on the board. Binding resolutions typically require a ''super-majority'' of 75 per cent of votes to be cast in favour. Far from providing a focus for board accountability for shareholders, most companies find that their AGMs are rarely attended by institutional investors or their representatives because the accountability of companies to their major shareholders is through private one-on-one meetings (see below). Instead those present are predominantly private investors with small shareholdings and who are therefore entirely unrepresentative of shareholders as a body.[76] Discussions at shareholder meetings, therefore tend to focus on topical issues such as directors' pay and environmental concerns, rather than overall company performance and strategy, and the routine absence of major shareholders means that this is unlikely to change. Despite the small proportion of equity capital represented at shareholder meetings, many companies put considerable effort into information provided at AGMs.

The role of the AGM and other shareholder meetings in corporate governance and investor communications has long been debated in the United Kingdom

and in 1995 was the subject of the Report of the Myners Group on ''Developing a Winning Partnership''. The report included a series of recommendations (see Annex I), which it was hoped would lead to improvements in both the quality, consistency and transparency of company/shareholder relationships. Whilst these recommendations were generally supported and have provided a broad best practice framework for investors and shareholders, the recommendations have no regulatory standing and failed to resolve the problem that AGMs seldom provide a focus for board accountability to shareholders. In its report the Myners Committee commented that ''virtually all participants in our consultation exercise viewed the AGM as presently constituted as an expensive waste of time and money''. This is consistent with research into the sources of information rated as useful by institutional investors and analysts, in which AGMs and other shareholder meetings are notably absent.

Shareholder resolutions

Annual Reports and Accounts must be published at least 21 days before the AGM, and shareholders are routinely asked by boards to adopt the Report and Accounts. Shareholders will normally also be required to vote on: the payment of the dividend proposed by the board; the election or re-election of directors to the board; the appointment or reappointment of the auditors; changes to the company's articles and statutes; changes to the authorised share capital or authority to buy-back shares; and employee share schemes and board incentive arrangements. An analysis of 4 750 resolutions put to shareholders in 1996 is shown in Table 27.

The authority to vote generally rests with the legal owner of companies' shares, and with respect to funds this power is normally held by the organisation responsible for the day-to-day management of the fund. This arrangement is designed to simplify fund management responsibilities and rights attaching to the legal title and beneficial ownership of shares. In some cases fund managers may be required to refer to fund beneficiaries or trustees, for example when proposing to vote against the recommendations of a company's board.

Institutional investors use their corporate governance policies and codes to guide their voting actions, but cast their votes by proxy as they do not personally attend shareholder meetings. Proxy votes are lodged with the company registrars and normally appoint the meeting chairman to vote the shares as directed.

Table 27. **Analysis of shareholder meeting resolutions**

1996

Type of resolution	Per cent
Appointment of directors	30.71
Auditors	10.76
Adoption of report and accounts	10.52
Disapplication of pre-emption rights	10.00
Ordinary dividends	8.74
Share issues	7.83
Options and long term incentive plans	4.53
Share buy-backs	3.98
SAYE Schemes	1.92
Articles of association	1.35
Profit sharing schemes	0.69
Acquisition	0.25
Memorandum of association	0.19
Disposal	0.04
Unclassified	8.46
Total (4 750)	100.00

Source: Manifest Voting Agency (1997).

Although these votes are routinely counted before shareholder meetings, almost all shareholder resolutions are passed by a ''show of hands'' by those shareholders and their representatives present at the meeting. The show of hands is based on the principle of one shareholder-one vote, and not on voting power being proportional to the number of votes held. In many shareholder meetings the proxy poll votes lodged by institutional investors and others remain uncast and there is no formal record of these uncast votes, despite these typically representing many times more shares than those held by shareholders and their representatives attending the meeting. The Hampel report recommended that companies should count all proxy votes and announce the proxy count on each resolution after it has been dealt with on a show of hands.

Research suggests that although there has been an improvement in recent years, only half the votes of institutional investors were cast in 1997. However, it also appears that it is companies' largest institutional shareholders that are the most diligent in voting their shares. The Hampel Committee criticised institutional investors because they cast their proxy votes with insufficient reference to companies' specific circumstances and vote against boards when a more careful

analysis of these circumstances would lead to a different decision. Whilst this may be a legitimate cause for concern, an analysis by PIRC of voting at 1997 shareholder meetings shows that not a single board resolution was rejected and that the average vote against board resolutions was only 1.0 per cent, up from 0.68 per cent in 1996.

Informal sources of control

It is unusual for institutional shareholders to be directly represented on company boards and they do not pressure for representation on boards. In addition, for the most part they seldom liaise with each other or with the company over the appointment of non-executive directors. There may, however, be greater communication over issues of internal succession, particularly of senior executives to the board. Although they may make their views known, they will not seek to directly influence specific appointments as these are seen as the responsibility of the nomination committee and board. Institutions do not, therefore, routinely have direct access to company boards, board decision making processes or information provided to the boards of companies in which they are shareholders. The influence of institutional investors on non-executive (outside) board appointments is much lower than in many other EU countries (Table 28).

While not represented on the boards and not active in shareholder meetings, institutional investors may participate in one-to-one meetings at any time, but

Table 28. **Sources of influence on the appointment of non-executive directors**

Number of responses[1]

	CEO/ Chairman	Nominating committee	Full board	Institutional investors
Germany[2]	42	38	50	58
Northern Europe[2]	60	37	73	57
United Kingdom	**73**	**52**	**65**	**4**
Southern Europe	43	9	34	11
France and Belgium[2]	56	33	78	44

1. Survey results based on 408 responses to a questionnaire mailed to the 5 000 largest European companies.
2. Supervisory boards only.

Source: Korn/Ferry (1997), *European Boards of Directors Study*.

these are most often organised in the period immediately following the preliminary announcement of companies' financial results. The number of meetings held depends on the size of the company, and whether there are any particular issues to discuss relating to, for example, corporate performance, strategy, succession planning or boardroom structure.[77] Meetings therefore tend to focus on longer-term issues affecting business performance. However, governance matters are normally only raised if the institutional investor has particular concerns. In this case, they are likely to first discuss their concerns in private meetings before attempting to co-ordinate their views and, if subsequently necessary, put public pressure on boards through contact with the media. The preference of institutional investors to conduct their relations with companies ''behind closed doors'' is also highlighted by their aversion to formally putting their proposals to other shareholders in the form of shareholder resolutions. This restricts the possibilities for shareholders to vote as a body. The Department of Trade and Industry has discussed legal changes that would make it easier for shareholders to submit their own resolutions, and to be represented at meetings (DTI, 1996).

Investors only take strong action, such as attempting to remove the board, in extreme cases of corporate distress or under-performance. While these situations are rare, Franks *et al.* (1995) find a strong relation between board turnover in poorly performing companies and the concentration of share ownership.[78] Strong pressure is most likely to be applied after a period of sustained under-performance (typically after three years or more) and in the absence of reforming actions by the board.[79]

Major benefits of the arm's-length relationship are the greater flexibility in trading shareholdings, and that no particular responsibility is placed on a specifically appointed non-executive director rather than on the board as a whole. Moreover, reputational and internal costs of intervention may be high and the time required of key executives and portfolio managers are important factors in the assessment on whether an institutional investor should sell shares in an under-performing company, remain a passive investor, or commit internal resources and become an ''active investor''. Internal opportunity costs are likely to be higher than any cash outlay (for example in legal costs) and how much time is spent on a company and how closely the institutional investor works with competitor institutions is carefully judged.

As competition in large segments of the market is intense, institutional investors have limited interest in working closely with each other on a regular basis. In response, two representative organisations, the National Association of Pension Funds (NAPF) and Association of British Insurers (ABI) have created corporate governance frameworks for use by their members. These have provided minimum standards in some areas, including share option scheme performance targets and the definition of directors' responsibilities.

Since the publication of the Cadbury Code, a number of institutional investors have published their own corporate governance policies to guide their actions and provide evidence to clients that they have a structured approach to corporate governance issues. Most of these are modelled on the codes and guidelines published by the ABI, NAPF, Cadbury and Greenbury Committees. The institutional investor policies and codes that have been published are primarily concerned with: board membership, particularly the number of non-executive directors; whether or not the board roles of Chairman and CEO should be combined; the incentive arrangements designed to align the financial interests of executive directors and other employees with those of shareholders; the length of executive directors' contracts and their employment termination rights; the issuing of new shares; and the exercising of voting rights. The policies are varied in length, internal consistency and their degree of prescriptiveness. They tend to emphasise the need for flexibility and the importance of applying their policies in ways appropriate to each company's particular circumstances, but many company directors apparently do not believe that institutional investors are sufficiently flexible in pursuing these objectives. Such inflexibility, is described by the Hampel Committee (which published its Report in January 1998) as ''box ticking''.

Board structure

The exercise of corporate governance is often associated with the structure and function of boards of companies. In the United Kingdom, as elsewhere, discussion has focused on the role of non-executive directors and the separation of the role of the Chairman and the Chief Executive Officer (CEO). Both are important, because the board should provide leadership and control at the same time. The boards of UK companies are characterised by being almost equally

composed of executive and non-executive directors.[80] The proportion of non-executives has increased considerably since the publication of the Cadbury Code in 1992, which placed great emphasis on the importance of the role played by non-executives in contributing to the effectiveness of boards. The Cadbury Committee was particularly concerned with the concentration of boardroom power when the Chairman is also the CEO, although it did not propose that combining

Table 29. **Board size and composition**

	A. Board size by turnover		
	Whole board	NEDs[1]	Per cent of NEDs[1]
Company size (turnover)			
> £2 billion	11.9	6.3	53
£501 million-£2 billion	9.0	4.5	50
£201-£500 million	7.7	3.5	45
£101-£200 million	7.5	3.6	48
£26-£100 million	6.5	3.2	49
< £25 million	5.5	2.7	49
Average	7.4	3.6	49
	B. Companies with joint Chairmen/CEO		
	Per cent		
Company ranking			
1-250		17	
251-500		18	
501-1 250		24	
1 251-1 550		28	
	C. Average board size in international comparison		
	Board type		Average board size
Germany	Management		4.6
	Supervisory		13.3
Northern Europe	Management		6.6
	Supervisory		8.9
United Kingdom	**Unitary board**		**10.1**
Southern Europe	Unitary board		9.0
France/Belgium	Unitary/management board		12.1
	Supervisory board		9.0

1. Non-executive directors.

Source: ProNed/Egon Zehnder (1997), *Chairmen and non-Executive Directors: Fees, Facts and Attitudes – 1996*; Committee on the Financial Aspects of Corporate Governance (1995) and Korn/Ferry (1997), *European Boards of Directors Study*.

the roles should be prohibited. The combination of the roles had been a feature of several of the corporate collapses. Franks *et al.* (1995) do indeed find a higher board turnover in poorly performing enterprises with a high proportion of non-executive directors, and separation of Chairman and CEO functions. The proportion of boards with combined Chairman and CEO roles has declined since 1992, particularly in larger companies. But more than 20 per cent of boards retain combined roles, particularly in smaller companies where there may be stronger reasons related to the history and ownership of the company (Table 29).

Non-executive directors play a key role in exercising control and the Cadbury Committee established a requirement for a minimum of three non-executive directors on the board. The law recognises no distinction in the legal responsibilities or liabilities of executive and non-executive directors, yet it is clear that within the structure of the unitary board[81] there are differences between the roles which must be balanced and managed by the Chairman. The calibre of non-executive directors is clearly critical as they bring an independent judgement to bear on issues of strategy, performance, resources, key appointments, and standards of conduct. Whether this is achieved depends substantially on the process through which non-executive directors are selected and their ability to be independent. Cadbury made two key recommendations about the appointment of non-executive directors: that there should be a formal selection process and that the appointment should be a matter for the whole board. These proposals were intended to reduce the scope for patronage, which could compromise the independence and effectiveness of both individual non-executive directors and the board as a whole.

Board committees

The Cadbury Committee also sought to develop the monitoring role of non-executive directors through requiring companies to establish audit committees composed of at least three non-executive directors and which excludes executive directors. Although some, particularly larger, companies had audit committees prior to the publication of the Cadbury Report, this key recommendation of the Committee established both a clear structure and framework of responsibilities for audit committees. These were rapidly adopted by listed companies and became almost universal by 1996. The apparent inability of smaller companies to

meet this standard is the major reason why a minority of companies fail to meet the standards set by the Cadbury Committee.

Almost all companies now have audit committees and the majority also have remuneration and strategy committees. The latter have been adopted, even though their creation was neither required nor recommended by the Cadbury Committee. The proportion of companies with audit, remuneration and nomination committees has increased substantially since 1992. Although there was also an increase in the number of boards with special strategy sub-committees between 1992 and 1994, there was no significant increase between 1994 and 1996 (Table 30). The propensity to have strategy committees also does not appear to be associated with company size. In 1996 there did, however, appear to be a size effect for remuneration committees, which the Greenbury Committee proposed in 1995 (see below). This is likely to have been at least partly caused by smaller companies taking longer to respond to the Greenbury Committee and the incorporation of the key recommendations of the Greenbury Committee being incorporated in the Listing Rules of the Stock Exchange. The proportion of companies of all sizes with remuneration committees is now likely to be much higher.

Table 30. **Board committee activity**

Companies reporting non-executive involvement in board committees, per cent

	1992	1994	1996
A. Committees			
Audit	55	89	95
Remuneration	77	89	90
Nomination	n.a.	36	46
Strategy	60	71	72

	Audit	Remuneration	Nomination	Strategy
B. Company size (turnover)				
> £2 billion	96	96	87	74
£501 million-£2 billion	98	92	73	80
£201-£500 million	98	95	60	72
£101-£200 million	100	93	44	69
£26-£100 million	95	91	34	72
< £25 million	87	79	23	69
Average	95	90	46	72

Source: ProNed/Egon Zehnder (1997), *Chairmen and non-Executive Directors: Fees, Facts and Attitudes – 1996.*

Boardroom pay

An obvious way for shareholders to motivate managers to raise profitability is to link pay and performance of the firm. CEO compensation is high in the United Kingdom, even though considerably lower than in the United States (Abowd and Bognano, 1995).[82] Although the issue of board remuneration was addressed by the Cadbury Committee it was not central to its remit. It recommended that there should be a minimum level of disclosure of the value of each element of the remuneration and benefits of the Chairman and highest paid director; service contracts should be for a maximum of three years; boards should establish remuneration committees consisting either wholly or mainly of non-executive directors; and that this should be chaired by a non-executive director.

Two years later, in 1994, the issue of boardroom pay became the subject of intense media and political interest. Public dissatisfaction about the remuneration of ''fat cat'' directors had been fuelled by growing disquiet amongst utility company customers about the growth in the value of share options granted to executive directors of privatised companies. With the support of the government, the CBI sponsored the formation of a special Study Group to look into the issue. The Group's Chairman was Sir Richard Greenbury. In 1995, the Committee made a number of recommendations, largely concerning issues relating to directors' remuneration. Key requirements were that: boards should establish Remuneration Committees composed only of non-executive directors; the Committees would be directly accountable to shareholders; a comprehensive report should be included in companies' Annual Report and Accounts setting out both remuneration policy and the individual pay elements (including basic pay, annual bonuses, long term incentive schemes, share options, benefits and change in the value of pension rights) for each director; and that shareholder approval would be necessary for the granting of option, share-based and other forms of long-term incentive schemes.

The Greenbury Committee also suggested that option schemes may be less appropriate than other forms of long-term incentive, because managers do not share in downside risks, and should be more closely geared to company share prices and shareholder returns. Other issues addressed included the length of directors' contracts; termination arrangements; and disclosure requirements with respect to changes in the value of directors' pension rights. The Greenbury

Committee has had a marked impact on the level of disclosure about the processes by which executive remuneration is set by boards and the amount of information directly available to shareholders in the Annual Report and Accounts.

Mergers and acquisitions

Managerial incentives are not only influenced through compensation contracts based on stock performance, but also the threat of take-overs. Takeovers act as a discipline on firms allowing control to be transferred from an inefficient to an efficient management, thereby correcting certain classes of managerial failures which would be difficult to rectify otherwise. On the other hand, take-overs can undermine relations between investors, managers and employees. In a market with frequent take-overs, long-term commitments may be more difficult to sustain and this could lead to ''short-termism''. Long-term investment, like research and training efforts, which create firm-specific assets and have a low resale value, could be undermined. Executive control change is not the sole motive for take-overs. Economies of scale considerations or diversification, for instance, can also be important. In addition, ownership change has increasingly come through management buy-outs, management buy-ins and spin-offs.

In the United Kingdom, takeovers, including hostile takeovers, play a considerably larger role than in continental Europe. Since the late 1980s, for instance, merger and acquisition transactions numbered some 200 per year in the United Kingdom as compared with close to 50 in Germany and 100 in France. This partly reflects the level and form of impediments to corporate restructurings, which differ considerably across the three countries. In the United Kingdom, for instance, cross and stable shareholdings by either banks or other companies are virtually absent. In addition, the City Takeover Code, with its strong protection of minority shareholders, is one of the most elaborate sets of rules governing the takeover process, and the size and liquidity of the market also play a role. Research on hostile take-overs in the United Kingdom by Franks and Mayer (1996) shows that they are accompanied by high board turnover and significant levels of restructuring, but that there is little evidence that they are motivated by poor company performance prior to bids. A study by Higins and Elliot (1993) examined share prices of 726 successful UK takeovers between 1974 and 1990.

After controlling for firm size they found that the target shareholders' returns were some 17 per cent above the market average and acquirers were some 4 per cent below. This pattern held irrespective of whether the takeover was hostile or friendly.

Current issues

Reforms in the United Kingdom have been driven by the specific needs of its arm's-length system of corporate control, focusing on financial disclosure and transparency, and board room accountability. The system has been strengthened by the recommendations of the Cadbury and Greenbury Committees, and has been effectively underpinned by the disclosure requirements of the Stock Exchange Listing Rules. This framework has been created in the context of the Companies Act, which addresses most corporate governance issues in only very general terms. Currently, a key issue is how to balance flexibility and accountability. The Hampel Committee's recommendations[83] (see Annex I) for reform reject a too prescriptive framework setting. Instead, the Committee emphasises the potential benefits of allowing boards to develop their own standards, disciplines and models of corporate governance.

The Hampel Committee has consolidated the work of all three governance Committees in a set of principles and code provisions embracing both its own work and that of the Cadbury and Greenbury Committees. Overall, the Hampel Committee largely endorsed the recommendations of the earlier Committees, and suggested some incremental changes. In March 1998, the London Stock Exchange published a draft combined code for consultation together with related proposed listing rule amendments. The reporting rules will be extended by the new requirement for a narrative account of how the principles of the Code are applied. The Super Code also contains recommendations addressed to institutional shareholders, although these will not be underpinned by the Listing Rules which apply only to companies. The government has announced a major review of company law. This will provide the opportunity to consider legislation in certain areas of corporate governance not covered by the new Code, or where experience shows that some legal underpinning is needed. Finally, a new EC Directive on Takeovers could influence governance in the United Kingdom. The

United Kingdom is opposed to the draft Directive, as it would make the currently non-statutory takeover process in the UK susceptible to litigation.

The Department for Trade and Industry (DTI, 1996) has taken up the issue of the low influence of shareholders at AGMs. It addressed issues concerning shareholders' rights to table resolutions, as the overwhelming number of resolutions is proposed by directors and not by shareholders; rights concerning questions at the AGM, which are not dealt with by law and their handling is solely matter of company practice; and rights to appoint corporate representatives or proxies to speak at AGMs, to make representation at AGMs easier for institutions and private shareholders holding through nominees.

While there is consensus in the literature that monitoring is achieved in different ways in different corporate governance systems, there is much less consensus concerning comparative overall performance and there are no conclusive results concerning the relative overall efficiency of arm's-length and control-oriented systems. The changes in the United Kingdom since the early 1990s have raised corporate governance standards to a high level, confidence of investors being reflected in the size and liquidity of the share market. However, the deeper issue remains whether a blend of the two approaches –harnessing the major strength of both – would not be advisable. While caution has to be exercised in comparing balance sheet data across countries and cyclical differences can play a role, the current system appears to have delivered in terms of generating shareholder value. A comparison of major companies' intrinsic performance from the point of view of shareholders shows that, on average between 1993 and 1995, United Kingdom companies' rate of return was highest at 18.5 per cent, followed closely by the United States (18.0 per cent), with Germany (10.5 per cent), France (8.5 per cent) and Japan (4.8 per cent) trailing far behind.

Also dividend pay-out ratios are very high in the United Kingdom. High pay-outs have been cited as evidence of short-termism as internal sources for investment are reduced. In addition, quoted firms invest a significantly smaller amount of their total sources of finance in physical investment than do unquoted firms and quoted firms engage in much more acquisition activity than unquoted firms. Unquoted firms rely thus more on internal growth while quoted firms more on external growth (Mayer and Alexander, 1995). While pay-out ratios are high, firms in the United Kingdom do also raise more external finance, which should assist in realising a better resource allocation. In the July 1997 Budget, payments

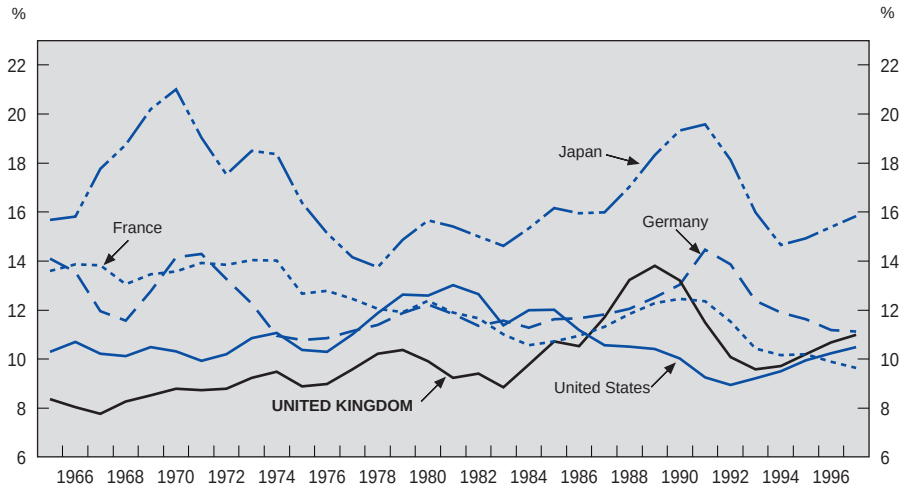
of tax credits were abolished to remove a distortion that encouraged companies to pay out dividends rather than reinvest profits. Moreover, the March 1998 Budget included a reform to capital gain taxation which taxes long-term gains less heavily than short-term gains.

Overall business investment as a per cent of GDP was consistently among the lowest in the OECD until the mid-1980s (Figure 24). This could be a reflection of relatively low trend growth as much as a source of slow growth of potential output. However, it has shown some trend increase since then and is currently close to that in the United States, Germany and France. Also business sector financed spending on research and development as a per cent of GDP has been below the ratios observed for the United States, Japan, Germany and France.

Overall, stronger medium-term growth has set in from the mid-1980s, which suggests that liberalisation of goods and labour markets since the early 1980s may be more important than the changes to the corporate governance system since the early 1990s. It is difficult, however, to draw strong conclusions, as it is

Figure 24. **INVESTMENT PERFORMANCE**

Business sector investment ratios[1]



1. In nominal terms.
Source: OECD Secretariat.

impossible to untangle the numerous factors which impinge on investment decisions and overall growth. The arm's-length system implies a lower degree of commitment and trust of companies and stakeholders than the control-oriented corporate governance model. This is probably more important in activities which involve investment by a larger number of stakeholders. On the other hand, the arm's-length model does appear to deliver better in enforcing a prompt response to changes in the competitive environment as it is much easier to replace commitments, vested interests and pressure groups. As research on this topic is still in its infancy it is undoubtedly premature to draw strong policy conclusions.

Notes

1. The fall is partly related to the statistical treatment of the demutualisation proceeds. Like other changes in wealth, windfall gains are booked as financial transactions and do not affect disposable income. Higher spending out of windfall gains, therefore, depresses the saving ratio.
2. The PFI was established in the early 1990s. The initiative shifts the role of the public sector from being a provider of services to becoming a procurer, thereby reaping efficiency gains.
3. Chapter IV focuses on the government's initiatives to promote higher and better remunerated employment, with a particular emphasis on those groups currently outside the labour market.
4. Recruitment difficulties in the information technology sector are especially strong, probably reflecting a shift in demand for these skills, as firms respond to the ''millennium bug'' and modify their information systems for the introduction of the euro in most continental European Member States.
5. When measuring short-run variability by the standard deviation and coefficient of variation (based on quarterly year-over-year changes) the United Kingdom had either the highest or second highest degree of variability among the G7 countries for GDP growth, the inflation rate, net lending as a per cent of GDP, the real short-term interest rate and the real effective exchange rate between 1980 and 1997.
6. King (1997) reviews the United Kingdom's experience with inflation targeting.
7. There is evidence for the United Kingdom and other countries that lower inflation could lead to some output gains. For a summary of research findings see Bakshi *et al.* (1997).
8. The Harmonised Indices of Consumer Prices (HICP), compiled by Eurostat, has been consistently about 0.8-1.0 percentage point lower than the RPIX index, whereas in most other European countries the difference between the national and HICP index is much smaller.
9. The effective exchange rate measure includes 22 OECD countries, plus 11 non-member countries, of which 8 are Asian economies.
10. The Bank of England's *Inflation Reports* have identified five factors which could potentially explain sterling's strength: expected monetary and fiscal policy developments in the United Kingdom and elsewhere; higher productivity in tradeable goods and services industries; increased demand for UK output of goods and services; and portfolio changes. The analysis suggests that only around one eighth of the appreciation of sterling since August 1996 can be accounted for by movements in interest rate differentials. This leaves a large part unexplained as there is little evidence that the other potential factors had an effect. However, portfolio diversification in the run up to monetary union could play some role.

11. The budget presents revenue, expenditure and deficit numbers on a national accounts basis for the whole public sector – general government plus public corporations, while the OECD's data cover only the general government sector.
12. More detail on this budget is provided in the previous survey.
13. Over longer periods of comparison, where the impact of the economic cycle is less important, Belgium, Ireland and Portugal made early progress and of similar magnitude reducing their fiscal deficits.
14. While the cyclically-adjusted deficit in 1997 was considerably lower in many OECD countries, it was close to that in Germany, France and Italy.
15. The projections do not include windfall tax receipts and the associated spending.
16. The new legislation will replace the Restrictive Trade Practices legislation of 1976 and 1977, the Resale Prices Act of 1976 and certain provisions of the 1980 Competition Act.
17. The OFT, nonetheless, has the authority to investigate the rules of excluded sectors. The Financial Services Act covers aspects of competition in financial markets.
18. See Thornton (1998) for a survey of the performance of privatised enterprises in the United Kingdom.
19. In the water industry the formula is RPI – X + K, where K is positive and allows for the pass through of the substantial cost of capital investments needed to improve the infrastructure, which for many years was inadequate, to meet rising demand and minimum water quality standards.
20. It is not known to what extent original purchasers of shares in privatised utilities still held an equity stake when the ''windfall'' tax was announced. Data from share registers shows that institutional investors initially held less than one third of equity, following privatisation of many enterprises, but by 1994 the proportion was over 75 per cent. In some privatisations, institutional investors were limited to a proportion of available equity. Many individual investors sold their shares within a few days or weeks after privatisation (Thornton, 1998).
21. An earlier review by the Public Accounts Committee was conducted in 1996.
22. Reforms to the UK health service were assessed in the 1994 *OECD Survey of the United Kingdom*.
23. OECD (1997*c*) provides details on the reforms.
24. The Bank of England, the Building Societies Commission, the Friendly Societies Commission, the Registry of Friendly Societies, HM Treasury, the Personal Investment Authority, the Investment Management Regulatory Organisation, the Securities and Futures Authority and the FSA itself.
25. For more details on corporate tax biases see Gordon and Tchilinguirian (1998), forthcoming.
26. See IMF (1996) for details on the regression relationship between income dispersion and labour market policies. The results, which are tentative due to technical limitations, suggest that labour market policies and taxation are important in accounting for income inequality in OECD countries. But the underlying determinants of economic growth are more important for explaining cross-country differences in income distribution.
27. HM Treasury (1997*g*).

28. There were five major Acts of Parliament, the Employment Acts of 1980, 1982, 1988 and 1990, and the Trade Union Act of 1984. These laws altered industrial relations, including limitations on strikes, secondary picketing, introduced more democratic governance structures for unions and decentralised wage determination. Hiring and firing rules were liberalised and Wage Councils, bar one, were abolished. Increases in unemployment benefits were lower than average earnings growth, duration of assistance lowered and eligibility criteria tightened. For further details see the 1996 UK *Survey* chapter on *Implementing the OECD's Jobs Strategy*.

29. Estimates of the structural rate of unemployment span a wide range. OECD calculations are in the middle of the range and suggest a structural rate of about 7 per cent of the labour force (Melliss and Webb, 1997).

30. Currently benefits to support lone parents amount to £10 billion per annum, more than is spent on the unemployed.

31. Ideally, it is the distribution of welfare which is relevant, but this is not directly observable. In its place, proxies are used, such as incomes, sometimes with adjustments to account for taxes, housing costs, household size and composition. For more details on data issues and methodology, see Atkinson, Rainwater and Smeeding (1995).

32. The EU study on the distribution of household income and poverty indicates a very similar level of household poverty in the United Kingdom.

33. IFS estimates suggest that an additional 3 million families have incomes below Supplementary Income Support levels, but are not entitled to claim or fail to claim. See Johnson and Webb (1991).

34. OECD (1996*b*), Chapter 3, analyses in depth trends in earnings inequality and the underlying forces.

35. For more details, see OECD (1997*a*), Chapter 2.

36. The unemployment trap exists when the financial incentive to seek paid work is too weak compared with the incentive to stay unemployed. The poverty trap occurs when benefit withdrawal and higher tax payments discourage those on low incomes from additional effort.

37. For a survey of the available evidence, see Fay (1996).

38. Long-term unemployed are interviewed every six months by the Employment Service. These interviews help candidates more effectively target employment opportunities, limit fraudulent claims and provide information enabling the service to better match vacancies with candidates.

39. For instance, Job Clubs provide a location where those unemployed for more than six months can get guidance, training or assistance towards stationary, postage, telephones and access to computer equipment.

40. Deprivation is measured based on an index which combines data on unemployment, overcrowding, housing, amenities and citizens at risk. Very deprived areas are the 5 per cent of electoral districts (each represents about 5 000 persons) with the lowest index level. For more details see UK Department of Environment (1995).

41. OECD (1996*c*) looked at several case studies on how local flexibility of policy design can sometimes help to deliver welfare programmes more effectively.

42. The linkages between investment in human capital and labour market outcomes have been the subject of previous OECD Surveys. The 1995 *OECD Survey of the United Kingdom* examined education and training policies, and the last Survey focused on implementing the OECD's jobs strategy in the UK context, of which a major recommendation was improving labour force skills.

43. For further details on the Australian model see the 1997 *OECD Survey of Australia*.

44. Rigidities, prevalent in many other European countries, such as costly hiring and firing restrictions, restrictions on hours worked or wage setting are virtually non-existent in the United Kingdom. These barriers were mostly eliminated through successive Employment Acts in the 1980s. Signing the European Social Chapter is not expected to impose serious restrictions on the UK labour market.

45. Currently, 60 per cent of Family Credit claims take a fortnight to be processed.

46. People unemployed for at least 2 years will be able to get a £200 cash grant when starting a low-paid job. Tax-free lump-sum payments equivalent to up to £1 000 are available to those previously unemployed for more than six months when they start working at least 16 hours a week for people who have been receiving Job Seekers Allowance or Income Support.

47. Planned cuts to the level of Job Seekers Allowance, lone parent, housing and Council tax benefits for new claimants, but not existing ones, could deter some existing beneficiaries from accepting temporary work or jobs with highly uncertain tenure.

48. The Taylor review was established in May 1997 by the Chancellor to consider how the tax and benefit system could be streamlined and modernised to raise employment opportunities and work incentives.

49. A growing number of new jobs for low-skilled workers are located in the outskirts of urban conglomerations which are distant from traditional working class residential areas. Thus, it is possible that in-work expenses and job search costs have risen.

50. Non-financial incentives can also be important. These may include better social status, improved self esteem and personal health.

51. See OECD (1994*a*) for a detailed analysis on the links between replacement rates and unemployment duration.

52. See Blondal and Pearson (1995) and OECD (1997*e*).

53. This phenomenon has also been apparent in a number of other countries, although the expansion in the United Kingdom has been considerably larger than elsewhere.

54. Psychological and sociological studies find a connection between unemployment and deteriorating psychological health and motivation.

55. Part of the rise may also reflect improved diagnostic techniques, greater awareness of certain illnesses and more comfortable disclosure on the part of the survey respondent, rather than worsening health standards.

56. The most important examples are old age pension provision, mortgage payment insurance in the event of unemployment and child maintenance payments payable by the absent parent.

57. Moreover, if one of the partners secures a job following an unemployment spell, the chances of the other partner finding or maintaining employment are greater.

58. A study by Gregg and Wadsworth (1996) found that half of all jobs filled by previously unemployed persons were part-time in 1992.

59. Similar educational profiles and a more limited job search domain are other factors which result in similar job status within households.

60. The National Childcare Strategy, when implemented, aims to considerably increase affordable childcare provision, especially for lone parents.

61. In-work benefits are currently employed in seven OECD countries. Schemes vary in their generosity, benefit delivery and target groups. For details, see OECD (1996*b*).

62. When Family Credit was first introduced, take-up was initially slow, with some 50 per cent of those eligible claiming the benefit. The take-up rate is now about 80 per cent.

63. The level of Family Credit is £10 higher for those working more than thirty hours per week, which also lowers the incentive to reduce hours worked. This benefits approximately 350 000 people.

64. Moral hazard problems may also add to the cost of Family Credit. Since applicants are assessed on the basis of earnings over the previous six weeks, but with entitlements paid for the following six months regardless of changes in circumstances it may be in the interest of some to deliberately manipulate their earnings to ensure eligibility.

65. In the past, some sectors were covered by Wage Boards established in 1909 and transformed into Wage Councils after the second World War. These Councils set work conditions, including minimum wage levels for different skills and in different industries. Their number reached a peak in the early 1960s. The Wages Act of 1986 removed workers under the age of 21 from their jurisdiction and in 1993 the Councils – still covering about 10 per cent of the workforce –were abolished with one exception. The exception is the Agriculture Wages Board which sets a minimum wage of close to £4 per hour for approximately 200 000 workers.

66. Workforce in Employment data typically show a higher earnings level as they cover a larger proportion of big companies and exclude self employment. Labour Force Survey data, on the other hand, are based on a sample of employees and hence capture many very small firms which on average pay lower wages.

67. The minimum wage in France covers about 10 per cent of private sector employees. The United States minimum wage covered 2.1 million employees in 1997, equivalent to 1.6 per cent of total civilian employment.

68. Purchasing power parities are used to compute the net wage rate, since the purchasing power of hourly earnings is the relevant concept. Market exchange rates are used to compare the gross minimum wage rate.

69. Comparisons based on average 1997 market exchange rates.

70. Estimates by Sutherland (1995) suggest that for workers with dependent children, a high proportion of the gain from a minimum wage would be clawed back in the form of reduced benefits from the Family Tax Credit, higher income tax and national insurance contributions.

71. Machin, Manning and Woodland (1993) found some evidence that firms pay workers less than their marginal product. More recently, Callender *et al*. (1994) found little support for monopsonistic power in the context of the Family Credit programme. Boal and

Ransom (1997) examined the empirical significance of monopsony power by estimating the labour supply schedules facing individual firms. The results indicate virtually perfectly elastic supply schedules, implying effects on wages are extremely small. In company towns, however, more substantial effects are reported, with elasticities at about 0.15.

72. Before Wage Councils were abolished, 100 000 establishments, over a period of 12 years, were charged with underpaying, yet only 82 were successfully prosecuted and the penalties were small (Fernie and Metcalf, 1996).

73. Mayer (1996) and Berglöf (1997) provide overviews on corporate governance issues and reforms in an international setting.

74. The Committee was jointly sponsored by the Stock Exchange, the Bank of England, the Confederation of British Industry and institutional investor organisations.

75. The institutional investors are ranked by: the estimated proportion of the UK stock market under management; the proportion of holdings in the top 300 companies which exceed 5 per cent; the proportion of holdings in which the institutional investor is more than two times overweight; a measure of portfolio concentration (Gini coefficient); and the proportion of the top 300 companies in which the institutional investor is ranked as one of the top five institutional shareholders. Only five fund managers (Standard Life, BZW, Legal & General, Hermes and ESN) have much lower levels of portfolio concentration than other institutions. These are either index fund managers or have similar investment strategies to those followed by index fund managers.

76. The Cadbury Committee noted that, ''... shareholders have delegated many of their responsibilities as owners to the directors who act as their stewards. It is for the shareholders to call the directors to book if they appear to be failing in their stewardship and they should use their power''. The Committee identified the companies' Report and Accounts and Annual General Meetings as key mechanisms in board accountability to shareholders, but also recognised that ''the way institutional shareholders use their power to influence the standards of corporate governance is of fundamental importance''.

77. Such meetings will most often be attended by the CEO and Finance Director and sometimes also the Chairman, particularly if this is an executive post. Most institutional investors are concerned that they should not be provided with price sensitive information at these meetings, which could bar them from trading the company's shares until the information is made public. It has been argued that these sensitivities significantly inhibit the quality of discussion between companies and their major shareholders and that this leads to excessive caution in the exchange of information between them.

78. The study also shows that large individual corporate shareholders exercise control more actively than institutional investors, while managerial entrenchment is highest where companies have recently come to the stock market and director shareholdings are particularly high.

79. Recently listed companies appear to be subject to institutional pressure earlier if prospectus forecasts are not met.

80. As the CEO is an executive director, he is usually selected by the nomination committee which consists only of non-executive directors (see below). If the Chairman has a full time/executive position he is selected in the same way. If he is non-executive, the Chairman is selected by the whole board. Shareholders are required to ratify board appointments at the

next AGM. Shareholders are never offered competing candidates – they only have the role to endorse previously taken decisions by the board or nomination committee.

81. Unitary boards are prevalent in most OECD countries, except in Germany and Northern Europe. In Germany, there is clear split in the role of supervision (supervisory board) and management (management board), with employees being present on the supervisory board.

82. As in most European countries, a considerable part of overall compensation consists of fringe benefits, while stocks play a higher role in the United Kingdom than elsewhere in Europe, but much less so than in the United States.

83. The Committee reviewed 140 written submissions and held over 200 meetings.

Glossary of acronyms

ABI	Association of British Insurers
AGM	Annual General Meeting
ALMP	Active Labour Market Policies
AMEX	American Stock Exchange
APW	Average Production Worker
BOE	Bank of England
CBI	Confederation of British Industry
CEO	Chief Executive Officer
CPI	Consumer Price Index
DTI	Department of Trade and Industry
EMU	Economic and Monetary Union
ERM	Exchange Rate Mechanism
EU	European Union
FSA	Financial Services Authority
FY	Fiscal Year (April to March)
IFS	Institute for Fiscal Studies
GP	General Practitioner
HA	Health Authorities
HICP	Harmonised Indices of Consumer Prices
IMF	International Monetary Fund
ISA	Individual Saving Account
JSA	Job Seekers Allowance
LFS	Labour Force Survey
MCI	Monetary Conditions Index
METR	Marginal Effective Tax Rate
MIRA	Mortgage Interest Relief Allowance
MPC	Monetary Policy Committee
MTFS	Medium Term Financial Strategy
NAO	National Audit Office
NAPF	National Association of Pension Funds
NASDAQ	National Association of Security Dealers Automated Quotations
NHS	National Health Service
NIC	National Insurance Contribution
NVQ	National Vocational Qualification
NYSE	New York Stock Exchange
OFI	Other Financial Institutions

OFT	Office of Fair Trading
ONS	Office for National Statistics
PEP	Personal Equity Plans
PFI	Private Finance Initiative
PIRC	Pensions and Investment Research Consultants
PPP	Purchasing Power Parity
PSBR	Public Sector Borrowing Requirement
R&D	Research and Development
RPI	Retail Price Index
RPIX	Retail Price Index excluding mortgage interest payments
SAYE	Save-as-you-earn
SMIC	*Salaire minimum interprofessionnel de croissance*
SMW	Statutory Minimum Wage
TESSA	Tax-Exempt Special Savings Account
WFTC	Working Families Tax Credit

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Annex I

Summary of the major recommendations of various committees and institutions concerning corporate governance

1. Cadbury Code

Board of directors

- The board should meet regularly, retain full and effective control over the company and monitor the executive management.
- There should be a clearly accepted division of responsibilities at the head of the company, which will ensure a balance of power, such that no one individual has unfettered powers of decision. Where the chairman is also chief executive, it is essential that there should be a strong and independent element on the board, with a recognised senior member.
- The board should include non-executive directors of sufficient calibre and number for their views to carry sufficient weight in the board's decision.
- The board should have a formal schedule of matters specifically reserved to it for decision to ensure that the direction and control of the company is firmly in its hands.[1]
- There should be an agreed procedure for directors in the furtherance of their duties to take independent professional advice if necessary, at the company's expense.[1]
- All directors should have access to the advice and services of the company secretary, who is responsible to the board for ensuring that board procedures are followed and that applicable rules and regulations are complied with. Any question about the removal of the company secretary should be a matter for the board as a whole.

Non-executive directors

- Non-executive directors should bring an independent judgement to bear on issues of strategy, performance, resources, including key appointments, and standards of conduct.
- The majority should be independent of management and free from any business or other relationship which could materially interfere with the exercise of their

independent judgement, apart from their fees and shareholding. Their fees should reflect the time which they commit to the company.
- Non-executive directors should be appointed for specified terms and reappointment should not be automatic.[1]
- Non-executive directors should be selected through a formal process and both this process and their appointment should be a matter for the board as a whole.[1]

Executive directors

- Directors' service contracts should not exceed three years without shareholders' approval.[1]
- There should be full and clear disclosure of directors' total emoluments and those of the chairman and highest-paid director, including pension contributions and stock options. Separate figures should be given for salary and performance-related elements and the basis on which performance is measured should be explained.[1]
- Executive directors' pay should be subject to the recommendations of a remuneration committee made up wholly or mainly of non-executive directors.[1]

Reporting and controls

- It is the board's duty to present a balanced and understandable assessment of the company's position.
- The board should ensure that an objective and professional relationship is maintained with the auditors.
- The board should establish an audit committee of at least three non-executive directors with written terms of reference which deal clearly with its authority and duties.[1]
- The directors should explain their responsibility for preparing the accounts next to a statement by the auditors about their reporting responsibilities.[1]
- The directors should report on the effectiveness of the company's system of internal control.[1]
- The directors should report that the business is a going concern, with supporting assumptions or qualifications as necessary.[1]

2. Myners Group recommendations

The model institutional investor:

- Is open in discussions with company management about corporate strategy and objectives, including a candid assessment of management's performance.
- Articulates its investment objectives to corporate management so that there is mutual understanding of expectations.

- Plays an active role in corporate governance including, for example, voting at AGMs.
- Improves training for individual fund managers to promote better industry knowledge and commercial awareness.
- Sets an agenda for meetings and ensures adequate preparation by its representatives.

The management of the model company:

- Makes an annual strategic presentation to institutional investors and stockbrokers analysts. This includes a clear statement of management's vision for the company, corporate objectives and financing policies, and details of capital and revenue investment plans.
- Improves meetings with shareholders by focusing on long-term issues.
- Recognises the importance of the annual report and accounts as a means of communication and the need to keep abreast of best practice in disclosure.
- Communicates regularly throughout the year, including quarterly trading updates.
- Makes the effort to make AGMs an interesting and rewarding experience for participants. This includes encouraging shareholders to submit questions in advance, referring minority interest questions for later response and arranging presentations by operational management.
- Provides a comprehensive training programme for managers involved in investor relations.
- Has a clearly defined and articulated policy for management remuneration.

The model trustee board of a pension fund:

- Establishes long-term goals which are framed in terms of risk and reward and reflect the liabilities of the fund.
- Sets objectives which are sufficiently long term to encourage the manager to back his judgement on companies.
- Ensures that individual trustees have sufficient expertise to set appropriate objectives and to monitor performance through improved training in investment matters.

3. Summary of the recommendations of the Hampel Committee's report

Board responsibilities

- Executive and non-executive directors should continue to have the same duties under the law.

– Management has an obligation to provide the board with appropriate and timely information and the chairman has a particular responsibility to ensure that all directors are properly briefed. This is essential if the board is to be effective.

Board structure

– The majority of non-executive directors should be independent, and boards should disclose in the annual report which of the non-executive directors are considered to be independent. This applies for companies of all sizes.
– There is overwhelming support in the United Kingdom for the unitary board and virtually none for the two-tier board.

Table A1. **UK institutional investors**

£ billion, per cent of assets

	1980		1985		1990		1995	
Life insurance								
Total asset	53 634		131 358		234 398		486 481	
Domestic equities	16 599	30.9	47 355	36.1	93 369	39.8	225 463	46.3
Foreign equities	2 058	3.8	12 378	9.3	20 067	8.6	61 294	12.6
Non-life insurance								
Total asset	11 640		22 942		40 361		64 204	
Domestic equities	2 743	23.6	5 896	25.7	9 837	24.4	16 832	26.2
Foreign equities	658	5.7	2 210	9.6	3 233	8.0	4 554	7.1
Open-ended investment companies								
Total asset	6 114		21 372		45 639		110 709	
Domestic equities	3 402	55.6	6 234	29.2	26 248	57.5	60 433	54.6
Foreign equities	1 086	17.8	444	2.1	13 886	30.4	37 526	33.9
Closed-ended investment companies								
Total asset	8 755		18 125		20 659		45 255	
Domestic equities	4 697	53.6	7 733	42.7	10 300	49.9	19 544	43.2
Foreign equities	3 054	34.9	7 437	41.0	7 448	36.1	20 132	44.5
Pension funds								
Total asset	56 787		170 999		306 260		512 286	
Domestic equities	25 726	45.3	84 677	49.5	148 360	48.4	261 183	51.0
Foreign equities	3 880	6.8	22 998	13.4	48 995	16.0	86 177	16.8
Total assets	136 930		364 796		647 317		1 218 935	
Domestic equities	53 167	38.8	151 895	41.6	288 114	44.5	583 455	47.9
Foreign equities	10 736	7.8	45 367	12.4	93 629	14.5	209 683	17.2
Total equities	63 903	46.7	197 262	54.1	381 743	59.0	793 138	65.1

Source: OECD (1997), *Institutional Investors Statistical Yearbook.*

Table A2. **Institutional investors' share of stock markets**

Per cent, mid-1997

	A. Investors' share in international comparison			
	United States	**United Kingdom**	France	Germany
All institutions as per cent of market	47.4	76.5	39.8	39.0
Top 25 institutions as per cent of market	27.5	31.9	14.4	9.5
Top 25 institutions as per cent of institutions	58.0	41.7	24.1	24.4

	B. Top 20 fund managers				
	Average shareholding (market weighting)	Proportion of shareholdings over 5 per cent	Proportion of holdings over 2 times overweight	Concentration index (Gini coefficient)	Proportion of companies ranked in top five shareholders
MAM	4.5	31.3	15.5	0.6	54.5
Prudential	3.1	23.5	15.0	0.5	59.7
Schroder	2.9	21.3	18.6	0.7	42.2
Standard Life	2.3	0.8	3.5	0.5	32.1
PDFM	2.0	14.3	18.5	0.7	26.0
BZW	1.9	0.6	3.5	0.3	25.3
Legal and General	1.8	0.3	3.5	0.3	15.9
Hermes	1.5	0.3	1.3	0.2	10.8
Threadneedle	1.3	4.7	16.2	0.7	14.4
Gartmore	1.3	9.2	23.8	0.7	17.9
Fleming	1.1	4.8	20.9	0.7	18.2
M and G	1.1	12.8	30.5	0.8	19.2
Scottish Widows	1.1	1.5	16.3	0.7	9.8
Morgan Grenfell	1.0	3.3	18.7	0.6	10.8
Norwich Union	1.0	2.4	17.1	0.8	8.8
AMP	1.0	0.9	24.1	0.6	7.1
CIN	0.9	0.7	22.2	0.7	4.7
Sun Life IM	0.9	1.4	17.5	0.7	6.4
ESN	0.9	0.1	4.8	0.4	1.3
Co-operative Insurance	0.9	0.4	12.3	0.5	2.0
Total	32.7				

Source: The Conference Board (1997), *Institutional Investment Report*, International Patterns of Institutional Investment (November) and analysis based on Citywatch data (1996).

- We suggest that boards should consider introducing procedures for assessing their own collective performance and that of individual directors.
- We consider that, to be effective, non-executive directors need to make up at least one-third of the membership of the board.

- We believe that people from a wide range of backgrounds are able to make a real contribution as non-executive directors.
- Separation of the roles of chairman and chief executive officer is to be preferred, other things being equal, and companies should justify a decision to combine the roles.
- Whether or not the roles of chairman and chief executive officer are combined, a senior non-executive director should be identified in the annual report, to whom concerns can be conveyed.

Appointing directors

- Boards should appoint as executive directors only those executives whom they judge able to take a broad view of the company's overall interests.
- Companies should set up a nomination committee to make recommendations to the board on all new board appointments.
- All directors should submit themselves for re-election at least every three years, and companies should make any necessary changes in their Articles of Association as soon as possible.
- There should be no fixed rules for the length of service or age of non-executive directors: but there is a risk of their becoming less efficient and objective with length of service and advancing age, and boards should be vigilant against this.

Remuneration committees

- Boards should establish a remuneration committee, made up of independent non-executive directors, to develop policy on remuneration and devise remuneration packages for individual executive directors.
- Decisions on the remuneration packages of executive directors should be delegated to the remuneration committee; the board framework and cost of executive remuneration should be a matter for the board on the advice of the remuneration committee. The board should itself devise remuneration packages for non-executive directors.

Remuneration policy

- We urge caution in the use of inter-company comparisons and remuneration surveys in setting levels of directors' remuneration.
- We do not recommend further refinement in the Greenbury code provisions relating to performance related pay. Instead, we urge remuneration committees to use their judgement in devising schemes appropriate for the specific circumstances of the company. Total rewards from such schemes should not be excessive.

– We see no objection to paying a non-executive director's remuneration in the company's shares, but do not recommend this as universal practice.

Contracts and termination

– We consider that boards should set as their objective the reduction of directors' contract periods to one year or less, but recognise that this cannot be achieved immediately.
– We see some advantage in dealing with a director's early departure by agreeing in advance on the payments to which he or she would be entitled in such circumstances.

Disclosure

– The requirement on directors to include in the annual report a general statement on remuneration policy should be retained. We hope that these statements will be made more informative.
– Disclosure of individual remuneration packages should be retained, but we consider that this has become too complicated. We welcome recent simplification of the Companies Act rules; and we hope that the authorities concerned will explore the scope for further simplification.
– We consider that the requirement to disclose details of individual remuneration should continue to apply to overseas based directors of UK companies.
– We support the requirement to disclose the pension implications of pay increases which has been included in the Stock Exchange Listing Rules. We suggest that companies should make clear that transfer values cannot meaningfully be aggregated with annual remuneration.
– We agree that shareholder approval should be sought for new long term incentive plans; but we do not favour obliging companies to seek shareholder approval for the remuneration report.

Institutional shareholders

– We recommend pension fund trustees to encourage fund managers to take a long view in managing their investments.
– We encourage companies and institutional shareholders to adopt as widely as possible the recommendations in the report ''Developing a Winning Partnership''.

Guidelines and voting policies

– We recommend that institutions should make available to clients, on request, information on the proportion of resolutions on which votes were cast and non-discretionary proxies lodged.

- We believe that institutional investors have a responsibility to their clients to make considered use of their votes; and we strongly recommend institutional investors of all kinds, wherever practicable, to vote all their shares under their control. But we do not recommend that voting should be compulsory.
- We suggest that the ABI and NAPF should examine the problem caused by the existence of different and incompatible shareholder voting guidelines.

Voting procedures

- We hope that the DTI will soon be able to implement their proposals on the law relating to shareholder resolutions, proxies and corporate representatives.
- We consider that shareholders should be able to vote separately on each substantially separate issue; and that the practice of ''bundling'' unrelated proposals in a single resolution should cease.
- We recommend that companies should count all proxy votes and announce the proxy count on each resolution after it has been dealt with on a show of hands.
- The chairman should, if appropriate, provide the questioner with a written answer to a significant question which cannot be answered on the spot.

Audit committees

- Each company should establish an audit committee of at least three non-executive directors, at least two of them independent. We do not favour a general relaxation for smaller companies, but recommend shareholders to show flexibility in considering cases of difficulty on their merits.

Internal controls

- Directors should maintain and review controls relating to all relevant control objectives, and not merely financial controls.
- Companies which do not already have a separate internal audit function should regularly review the need for one.

Reporting by auditors

- We do not recommend any additional requirements on auditors to report on governance issues, nor the removal of any existing prescribed requirements.
- Auditors should also report on internal control privately to the directors, which allows for an effective dialogue to take place and for best practice to evolve in preference to prescription.

Relationship with auditors

- We suggest that the bodies concerned should consider reducing from 10 per cent the limit on the proportion of total income which an audit firm may earn from one audit client.
- We suggest that the audit committee should keep under review the overall financial relationship between the company and its auditors, to ensure a balance between the maintenance of objectivity and value for money.
- Auditors are inhibited from going beyond their present functions by concerns about the law on liability. Account should be taken of these concerns by those responsible for professional standards and in taking decisions on changes in the law.

Note

1. Auditors are required to review the company's statement of compliance with regard to these items.

Annex II

Calendar of main economic events

1996

June

Bank of England reduces base lending rate by 25 basis points to 5.75 per cent.

October

Bank of England increases base lending rate by 25 basis points to 6 per cent.

November

Budget for FY 1997/98 presented to Parliament:

- public sector borrowing requirement forecast to be £26.4 billion in FY 1996/97, £19.2 billion in FY 1997/98 and £12 billion in FY 1998/99;
- government spending under strict control: real growth of general government spending excluding privatisation proceeds of ½ per cent per annum. But increased spending on priority areas, including education, the National Health Service and combating crime;
- a small decline in taxation compared with a constant tax policy base. The basic rate of income tax and the rate on small businesses were lowered to 23 per cent. Excise duties on tobacco and fuel were raised by 5 per cent in real terms.

1997

May

Labour party wins the general election.

The government gave the Bank of England (Monetary Policy Committee) operational responsibility for setting short-term interest rates to achieve an inflation target set by the government at 2½ per cent. The target will be confirmed in each Budget statement. At the same time, responsibility for government debt and cash management was

transferred from the Bank of England to the Treasury. Later in May, the Bank of England increased the base lending rate by 25 basis points to 6.25 per cent.

The Chancellor of the Exchequer commissioned the National Audit Office to review the assumptions underlying the government's public finance forecasts.

Task Force headed by Martin Taylor established to examine the scope for streamlining and modernising the tax and benefit system to sharpen work incentives and meet the government's social objectives.

June

Bank of England increases base lending rate by 25 basis points to 6.5 per cent.

The National Audit Office review of public finance forecast assumptions supports the Treasury approach, but adopts the more cautious potential output growth rate of 2¼ per cent and assumes no change in unemployment over the budget projection period. The effect of the new assumptions is to raise the FY 1996/97 projected PSBR by £¼ billion and by £3¼ billion in FY 1998/99.

July

First Labour budget in 18 years presented to Parliament:

- Budget deficit projection of 1.6 per cent of GDP in FY 1997/98 and of 0.5 per cent in FY 1998/99;
- adheres to the previous government's tight nominal spending targets up to FY 1998/99, except for spending on Welfare to Work which is financed through a one-off tax levied on utilities deemed to have earned ''excess'' profits. Additional resources spent on schools and lone parents and part of the contingency reserve released for health and education spending;
- tax measures amount to £6 billion (close to 1 per cent of GDP), with the windfall tax accounting for nearly half of additional taxation. The basic rate of corporate income tax lowered from 33 to 31 per cent and that for small businesses from 23 to 21 per cent. The payment of tax credits to pension schemes and UK companies were abolished. VAT rate on domestic fuel lowered from 8 to 5 per cent. Mortgage interest tax relief reduced.

Comprehensive Spending Review set-up to re-order spending programmes in line with government priorities.

Bank of England increases base lending rate by 25 basis points to 6.75 per cent.

August

Bank of England increases base lending rate by 25 basis points to 7 per cent.

October

The Chancellor in a statement to the House of Commons ruled out for this Parliament, UK membership in the European Monetary Union, but viewed eventual participation in a successful monetary union as beneficial.

The Financial Services Authority took over responsibility for banking supervision from the Bank of England, and also for building societies, friendly societies and insurance, once the enacting legislation is passed.

November

Bank of England increases base lending rate by 25 basis points to 7.25 per cent.

Proposals to strengthen the fiscal policy framework through a Code for Fiscal Stability were announced by the Chancellor. The Code aims to make fiscal policy more transparent and predictable. A wider range of information about public finances will be published and accounts will eventually be prepared on an accruals basis. The new approach will centre on the observance of two rules: the ''Golden'' Rule and maintaining ''a stable and prudent level'' of government debt relative to GDP.

Treasury Pre-Budget report published as background for discussion of a wide range of topics.

1998

February

Mr George, Governor of the Bank of England, is re-appointed for a further term of five years.

March

The budget projects a decline in the deficit from 0.7 per cent of GDP in FY 1997/98 to 0.1 per cent of GDP in FY 1998/99. Major initiatives include:

- an extension of the New Deal initiatives for the most disadvantaged groups;
- the start of tax and benefit reform, including a reform of National Insurance Contributions, the introduction of the Working Families Tax Credit (it replaces Family Credit) and of a child care credit; and
- a reduction in the corporate tax rate, the abolition of Advance Corporation Tax and capital gains tax reform.

STATISTICAL ANNEX AND STRUCTURAL INDICATORS

Table A. **Selected background statistics**

	Average 1988-1997	1988	1989	1990	1991	1992	1993	1994	1995	1996	1997
A. Percentage changes											
Private consumption [1]	2.4	7.5	3.2	0.6	–2.2	–0.1	2.5	2.8	1.7	3.6	4.6
Gross fixed capital formation [1]	1.8	13.9	6.0	–3.5	–9.5	–1.5	0.6	4.3	1.5	1.5	4.8
Public investment [1]	–0.8	–11.0	24.0	12.0	–6.3	13.6	3.0	1.3	–7.2	–23.2	–14.2
Private investment [1]	2.5	18.4	3.5	–6.0	–10.1	–4.5	0.1	5.1	3.6	6.8	7.7
Residential [1]	1.0	20.5	–5.0	–16.7	–12.4	2.9	6.0	3.6	2.1	1.1	7.4
Non residential [1]	2.9	17.8	6.2	–3.1	–9.5	–6.2	–1.4	5.5	3.9	8.3	7.8
GDP [1]	2.0	5.0	2.2	0.4	–2.0	–0.5	2.1	4.3	2.7	2.2	3.3
GDP price deflator	4.4	6.0	7.1	6.4	6.5	4.6	3.2	1.6	2.5	3.1	2.6
Industrial production	1.6	7.3	4.0	–0.1	–5.0	–0.1	1.4	4.7	1.7	0.3	1.5
Employment	0.7	4.0	2.7	0.4	–3.0	–2.1	–0.4	1.0	1.2	1.1	1.7
Compensation of employees (current prices)	6.4	11.4	11.1	10.8	5.2	3.2	2.6	3.8	4.4	5.1	6.5
Productivity (real GDP/employment)	1.3	1.0	–0.5	0.0	1.1	1.6	2.5	3.3	1.5	1.1	1.5
Unit labour costs (compensation/real GDP)	4.4	6.1	8.7	10.3	7.3	3.7	0.5	–0.5	1.7	2.9	3.1
B. Percentage ratios											
Gross fixed capital formation as a per cent of GDP at constant prices	18.3	19.6	20.3	19.5	18.0	17.9	17.6	17.6	17.4	17.3	17.5
Stockbuilding as a per cent of GDP at constant prices	0.2	0.9	0.5	–0.3	–0.9	–0.3	0.1	0.5	0.7	0.4	0.4
Foreign balance as a per cent of GDP at constant prices	–1.9	–3.0	–3.8	–2.7	–1.5	–2.3	–2.2	–1.3	–0.4	–0.8	–1.2
Compensation of employees as a per cent of GDP at current prices	55.4	54.4	55.2	57.2	57.7	57.2	55.7	54.6	54.1	54.0	54.3
Direct taxes as a per cent of household income	11.8	12.1	12.1	12.7	12.3	11.9	11.1	11.4	11.7	11.3	11.2
Unemployment rate	8.1	7.8	6.1	5.9	8.2	10.2	10.3	9.4	8.6	8.0	6.9
Current balance as a per cent of GDP at current prices	–1.6	–3.5	–4.3	–3.5	–1.4	–1.7	–1.6	–0.3	–0.5	–0.3	0.6

1. At constant prices.
Source: Office for National Statistics.

Table B **Supply and use of resources**

£ million

	1988	1989	1990	1991	1992	1993	1994	1995	1996	1997
Private consumption	299 381	327 351	347 540	365 499	383 475	406 544	427 383	446 158	473 820	506 093
Public consumption	93 641	101 796	112 934	124 105	131 875	137 756	144 068	149 208	155 364	157 883
Gross fixed investment	91 467	105 495	107 596	97 739	93 653	94 292	100 243	108 733	114 092	120 121
Final domestic demand	484 490	534 642	568 070	587 344	609 003	638 592	671 694	704 099	743 276	784 097
Stockbuilding	4 333	2 651	–1 809	–4 933	–1 961	330	3 703	4 710	2 982	3 268
Total domestic demand	488 823	537 294	566 262	582 411	607 042	638 921	675 397	708 809	746 258	787 365
Exports	107 270	121 446	133 166	134 277	142 491	160 455	176 569	199 648	217 087	223 471
Imports	124 765	142 801	148 259	140 999	150 629	168 406	182 924	204 320	222 794	227 182
Foreign balance	–17 495	–21 355	–15 094	–6 722	–8 138	–7 951	–6 356	–4 672	–5 707	–3 710
GDP at market prices	471 328	515 939	551 168	575 689	598 903	630 970	669 042	704 137	742 053	786 279

Source: Office for National Statistics.

Table C. **Household appropriation account**

£ billion

	1988	1989	1990	1991	1992	1993	1994	1995	1996	1997
Compensation of employees	256.5	284.9	315.5	332.0	342.6	351.5	365.0	381.2	400.8	426.8
Property and income	91.8	102.6	111.4	115.7	125.6	132.9	141.2	158.7	169.6	182.6
Current transfers received	52.2	54.0	58.9	69.3	80.1	88.5	92.6	96.2	99.6	102.2
Current receipts	400.5	441.5	485.8	516.9	548.2	573.0	598.9	636.1	670.0	711.7
Direct taxes	48.3	53.6	61.5	63.4	65.2	63.6	68.3	74.3	75.7	79.5
Social security contributions	30.7	33.3	34.5	36.2	37.0	39.3	42.1	44.4	46.6	49.3
Total transfers paid	33.0	36.4	45.7	47.1	47.5	50.1	53.4	56.4	59.3	62.9
Disposable income	319.2	351.6	378.6	406.4	435.5	459.2	477.2	505.4	535.0	569.4
Private consumption	299.4	327.4	347.5	365.5	383.5	406.5	427.4	446.2	473.8	506.1
Personal savings ratio[1]	6.2	6.9	8.2	10.1	12.0	11.5	10.4	11.7	11.4	11.1
Real income	356.8	370.9	378.6	378.1	385.8	393.3	399.6	412.4	425.8	443.9

1. As a percentage of household disposable income.

Source: Office for National Statistics and OECD Secretariat.

Table D. **General government appropriation account**

£ billion

	1988	1989	1990	1991	1992	1993	1994	1995	1996	1997
Direct taxes	61.7	70.0	76.9	75.2	73.7	73.2	80.7	90.7	94.8	103.6
Indirect taxes	76.0	80.0	78.3	85.4	87.5	90.3	96.4	103.7	108.3	118.1
Social security contributions	30.7	33.3	34.5	36.2	37.0	39.3	42.1	44.4	46.6	49.3
Property and entrepreneurial income	13.7	15.0	15.0	14.5	14.2	14.4	15.1	15.7	16.4	15.8
Other current receipts	0.0	0.6	8.6	8.1	7.9	8.0	8.5	9.2	9.9	10.6
Total current receipts	182.1	198.9	213.2	219.4	220.3	225.3	242.7	263.6	275.9	297.4
Final consumption	93.6	101.8	112.9	124.1	131.9	137.8	144.1	149.2	155.4	157.9
Social security benefits paid	52.2	54.0	58.9	69.3	80.1	88.5	92.6	96.2	99.6	102.2
Subsidies	6.0	5.8	6.1	6.0	6.7	7.2	7.5	7.6	9.1	7.5
Interest payments	18.3	19.0	18.8	17.0	17.1	18.5	22.3	25.9	27.4	28.4
Other current transfers	3.2	4.3	4.6	1.1	4.8	4.9	5.1	7.1	5.0	4.3
Total current expenditure	173.4	184.9	201.3	217.5	240.6	256.9	271.5	286.0	296.4	300.4
Saving	8.7	14.0	11.9	1.9	–20.3	–31.7	–28.8	–22.4	–20.5	–3.0
Gross capital formation	6.2	9.4	12.8	12.3	12.5	11.8	12.0	12.4	10.5	7.7
Net capital transfers	0.6	0.5	–5.7	–4.4	–4.9	–6.1	–5.3	–4.6	–4.1	–4.0
Net lending	3.1	5.0	–6.6	–14.7	–37.7	–49.6	–46.0	–39.4	–35.0	–14.6
Net lending as a per cent of GDP	0.7	1.0	–1.2	–2.6	–6.3	–7.9	–6.9	–5.6	–4.7	–1.9

Source: Office for National Statistics and OECD Secretariat.

Table E. **Wages, prices and finance**

	1988	1989	1990	1991	1992	1993	1994	1995	1996	1997
Average earnings (1990 = 100)	83.5	91.1	100.0	108.0	114.6	118.5	123.2	127.4	132.3	138.2
Prices (1990 = 100)										
Producer prices manufacturing, home market	89.8	94.1	100.0	105.4	108.7	112.9	115.8	120.6	123.8	125.2
Retail prices	84.7	91.3	100.0	105.9	109.8	111.5	114.3	118.2	121.1	124.9
RPIX	87.4	92.5	100.0	106.8	111.8	115.1	117.9	121.2	124.8	128.2
RPIY	87.8	93.2	100.0	106.7	111.3	114.5	116.4	119.0	122.1	124.8
Unit values										
Exports	92.4	96.5	100.0	101.4	103.5	116.2	118.6	126.4	128.4	122.2
Imports	93.7	97.7	100.0	101.2	102.1	112.3	116.1	127.7	128.3	120.4
Banking (£ million)										
M0	16 866	17 824	18 300	18 857	19 392	20 561	21 961	23 198	24 816	26 518
M4	357 057	424 692	476 639	503 414	517 032	542 546	564 828	620 780	680 218	759 123
Interest rates[1] (per cent)	9.63	9.93	10.58	9.41	8.15	6.22	8.63	7.49	7.50	6.60

1. British government securities: yield curve data, nominal zero coupon yields, 10 years.

Source: Office for National Statistics, *Economic Trends*, *Financial Statistics* and *Monthly Digest of Statistics.*

Table F. **Balance of payments**[1]

Million dollars

	1990	1991	1992	1993	1994	1995	1996	1997[2]
Current account	–33 295	–14 036	–17 786	–15 457	–2 533	–5 797	–3 101	7 477
Trade balance	–33 407	–18 141	–23 000	–20 209	–17 036	–18 281	–19 814	–18 377
Merchandise exports	180 662	182 420	188 410	182 269	206 140	241 614	261 523	277 549
Merchandise imports	214 068	200 561	211 411	202 478	223 176	259 895	281 337	295 927
Non-factor services, net	6 552	6 287	8 688	8 282	7 311	10 855	10 877	14 837
Non-factor services, credit	55 853	54 465	61 703	58 654	64 197	73 550	78 269	86 180
Non-factor services, debit	49 301	48 178	53 015	50 372	56 887	62 695	67 392	71 343
Factor income, net	2 256	258	5 482	3 896	14 798	12 499	13 210	17 712
Factor income, credit	140 500	135 763	120 310	111 623	119 100	144 135	149 371	160 224
Factor income, debit	138 245	135 505	114 828	107 726	104 302	131 636	136 162	142 511
Official transfers, net	–8 163	–1 910	–8 485	–7 369	–7 772	–11 189	–7 845	–7 212
Private transfers, net	–533	–529	–470	–57	165	319	471	516
Capital account	0	0	0	0	0	0	0	0
Financial account	29 391	13 126	8 759	17 760	–5 166	2 650	–726	–9 445
Direct investment abroad	–18 631	–15 975	–19 044	–26 631	–33 649	–44 080	–34 081	–50 557
Portfolio investment, assets	–30 735	–55 529	–52 135	–133 332	36 763	–64 455	–90 490	–94 215
Other investment, assets	–93 322	43 273	–74 516	–75 083	–54 884	–79 363	–209 991	–248 216
Direct investment in reporting countries	32 883	15 978	16 120	15 462	9 318	22 610	26 051	36 493
Portfolio investment, liabilities	23 933	13 872	26 518	42 679	54 993	61 508	67 147	60 755
Other investment, liabilities	115 392	16 239	109 341	195 712	–16 104	106 113	239 843	284 384
Reserve assets, net	–135	–4 726	2 470	–1 048	–1 600	316	796	1 915
Errors and omissions, net	3 913	898	9 034	–2 300	7 698	3 144	3 636	6 127

1. On a transactions basis.
2. Based on the first three quarters.

Source: OECD Secretariat.

Table G. **Foreign assets and liabilities**

End of period

	1988	1989	1990	1991	1992	1993	1994	1995	1996	1997
Effective exchange rate (1990 = 100)	105.4	102.3	100.0	100.8	96.9	88.9	89.2	84.8	86.3	100.5
Official reserves ($ million)	51 685	38 645	38 464	44 126	41 654	42 926	43 898	46 986	46 300	38 418
of which: Convertible currencies	42 184	30 453	30 553	36 122	34 338	36 210	36 223	38 809	37 994	30 084
External assets of the UK (£ billion)	774.6	957.0	911.3	949.3	1 176.8	1 389.7	1 378.8	1 588.0	1 671.3	1 930.8
of which: UK investment overseas										
Direct	103.7	122.4	119.7	125.3	148.4	169.0	172.3	202.8	212.3	236.0
Portfolio	145.6	215.2	189.6	240.9	303.0	438.8	401.6	472.4	521.9	574.3
UK liabilities to overseas residents (£ billion)	711.2	896.1	904.4	938.4	1 154.5	1 352.3	1 350.8	1 562.2	1 647.7	1 922.3
of which: Overseas investment in UK										
Direct	76.8	99.8	113.2	120.7	122.7	127.9	122.3	131.5	138.7	161.0
Portfolio	86.6	110.7	109.6	135.0	181.9	257.4	270.0	316.4	354.0	415.3
Outstanding official borrowing from abroad ($ million)	15 751	14 035	14 542	17 191	32 982	29 296	28 337	28 837	28 011	21 382

Source: Office for National Statistics, *Financial Statistics* (1997).

Table H. **Foreign trade by area**

$ million, monthly averages

	1988	1989	1990	1991	1992	1993	1994	1995	1996	1997
	Imports, cif									
OECD	13 637.1	14 202.7	16 027.8	14 824.2	15 501.9	14 446.6	15 990.1	18 085.8	19 683.3	21 015.8
of which:										
North America [1]	1 933.4	2 092.5	2 502.5	2 335.5	2 314.8	2 310.4	2 541.2	3 028.5	3 366.4	3 832.5
OECD Europe	10 394.1	10 804.6	12 156.7	11 174.5	11 753.7	10 748.0	11 977.1	13 365.8	14 630.1	15 326.7
of which: EU [2]	9 200.9	9 587.2	10 712.8	9 845.0	10 447.7	9 433.0	10 643.4	11 806.0	12 938.8	13 595.9
Central and eastern European countries	57.4	58.0	64.1	53.9	53.7	40.9	40.4	48.8	57.4	55.8
Developing countries	1 978.2	2 108.8	2 461.4	2 482.9	2 692.3	2 818.9	2 995.3	3 501.1	4 135.9	4 475.0
of which: OPEC	250.0	265.2	389.3	366.3	406.4	416.9	350.5	392.6	429.7	467.3
Total [3]	15 774.1	16 469.4	18 668.7	17 470.3	18 362.5	17 955.4	19 079.5	21 688.1	23 930.7	25 611.4
	Exports, fob									
OECD	9 656.1	10 193.3	12 567.6	12 683.3	12 913.1	12 269.8	13 994.2	16 056.1	17 689.3	18 677.1
of which:										
North America [1]	1 899.9	1 984.4	2 258.0	1 969.9	2 081.4	2 215.7	2 496.7	2 697.0	2 918.0	3 269.6
OECD Europe	7 182.0	7 545.2	9 518.7	10 026.4	10 169.7	9 380.2	10 695.4	12 373.4	13 662.2	14 279.8
of which: EU [2]	6 621.7	6 983.3	8 825.1	9 325.5	9 467.1	8 605.6	9 836.3	11 339.4	12 435.1	12 899.9
Central and eastern European countries	84.2	83.4	103.6	98.1	89.4	83.7	91.4	126.4	112.0	113.0
Developing countries	2 223.5	2 315.6	2 578.6	2 509.1	2 655.5	2 774.0	3 056.4	3 592.9	3 974.1	4 543.5
of which: OPEC	641.3	693.4	725.2	747.9	776.3	712.0	602.2	706.1	900.7	1 177.1
Total [3]	12 077.6	12 714.5	15 375.7	15 405.0	15 801.1	15 767.1	17 210.9	19 848.5	21 850.2	23 410.6

1. Canada, Mexico and USA.
2. Fifteen members.
3. Including unspecified.

Source: OECD, *Foreign Trade Statistics*.

Table I. **Labour market indicators**

	1990	1991	1992	1993	1994	1995	1996	1997
	Per cent of total labour force							
A. Evolution								
Standardised unemployment rate	7.1	8.8	10.1	10.5	9.6	8.8	8.2	7.1
Unemployment rates								
Total	6.9	8.5	10.0	10.6	9.9	8.9	8.5	7.4
Male [1]	7.0	9.2	11.7	12.6	11.6	10.2	9.8	8.3
Female [1]	6.7	7.4	7.7	8.0	7.7	7.2	6.7	6.2
Youth (under 25 years) [1]	10.0	13.5	15.5	17.3	16.1	15.3	14.8	13.6
Share of long-term unemployment [2]	32.1	27.1	35.2	42.5	45.3	43.2	39.4	38.3
Vacancy rate	6.0	4.1	4.1	4.5	5.5	6.4	7.9	9.8
	Per cent							
B. Structural or institutional characteristics								
Participation rates [3, 4]								
Global	80.4	79.9	79.0	78.6	78.5	78.2	78.3	78.4
Male	88.5	87.8	86.5	85.6	85.3	84.9	84.7	84.5
Female	71.6	71.3	70.9	71.0	71.0	70.9	71.3	71.6
Part-time employment rates [3, 5]								
Global	21.8	22.3	23.4	23.9	24.3	24.2	24.9	25.0
Male	5.8	6.0	7.0	7.3	7.8	8.0	8.6	9.0
Female	42.9	43.3	43.9	44.3	44.7	44.3	45.0	44.8
Government employment and training programmes (thousand) [6]	458	418	356	333	315	267	225	197
Self-employment rate [5]	14.1	12.8	12.5	12.5	12.8	12.9	12.5	12.5

1. Per cent of respective labour force.
2. People looking for a job since one year or more as a percentage of total unemployment.
3. Data are the Spring non-seasonally adjusted data of the Labour Force Survey and are for Great Britain.
4. Defined as the total labour force divided by the population of working age (16-59/64).
5. Per cent of total employment.
6. All people aged 16 and over participating in one of the government's employment and training programmes, together with those on similar programmes administered by Training and Enterprise Councils in England and Wales, or Local Enterprise Companies in Scotland.

Source: Office for National Statistics, *Labour Force Survey* and *Labour market trends* and OECD, *Labour Force Statistics.*

Table J. **Production structure**

Per cent

	GDP share, 1990 prices				Employment share (employees)			
	1985	1990	1995	1996	1985	1990	1995	1996
Agriculture, forestry and fishing	2.1	1.9	1.7	1.6	1.7	1.4	1.2	1.2
Production industries	28.9	27.8	27.8	27.4	25.9	22.3	19.3	19.0
Mining	3.6	2.4	3.1	3.1	1.3	0.7	0.3	0.3
Energy and water supply	2.2	2.2	2.4	2.5	1.3	1.1	0.8	0.6
Manufacturing	23.1	23.2	22.3	21.8	23.3	20.5	18.3	18.1
Construction	6.2	7.2	6.1	6.0	4.9	5.0	3.8	3.7
Services industries	63.1	63.1	64.2	64.9	67.5	71.3	75.6	76.1
Distribution, hotels and catering; repairs	13.6	14.3	14.1	14.2	20.4	21.4	22.6	22.9
Transport and communication	7.9	8.4	9.3	9.4	6.2	6.1	5.9	5.9
Banking, finance, insurance, business services and leasing	18.4	19.3	19.8	20.5	12.9	15.2	16.5	17.0
Other services [1]	23.1	21.2	21.0	20.8	28.1	28.7	30.6	30.3

1. Including sewage and refuse disposal.

Source: Office for National Statistics, *The Blue Book*, 1997 edition.

Table K. **Public finance**

	1980	1985	1990	1995	1997
	Per cent of GDP				
A. Structure of expenditure and taxation					
Expenditure, total	43.0	44.0	39.9	43.0	39.7
Current consumption	21.6	21.1	20.5	21.2	20.1
Transfers to households	10.6	12.7	10.7	13.7	13.0
Subsidies	2.5	2.0	1.1	1.1	1.0
Fixed investment	2.5	2.1	2.3	1.8	1.0
Other	5.9	6.2	5.3	5.3	4.7
Tax receipts, total	39.6	41.2	38.7	37.4	37.8
Income tax	13.4	14.5	13.9	12.9	13.2
of which:					
Personal income tax	11.1	10.6	11.2	10.5	10.1
Corporate profits tax	2.3	3.9	2.8	2.3	3.1
Social security contributions	10.5	10.9	10.5	9.8	9.6
Taxes on goods and services	15.7	15.9	14.2	14.7	15.0
Memorandum item:					
Net lending	–3.4	–2.8	–1.2	–5.6	–1.9
	Per cent				
B. Taxation					
Personal income tax					
Lowest marginal tax rate	30	30	25	20	20
Highest marginal tax rate	60	60	40	40	40
Number of brackets [1]	6	6	2	3	3
Marginal income tax rate (for single average production worker)	30	30	25	25	..
Social security contributions					
Marginal contribution rate (for single average production worker)	20.5	19.5	19.4	20.2	..
of which:					
Employees' contribution rate	6.75	9	9	10	..
Employers' contribution rate	13.75	10.5	10.4	10.2	..
Corporate income tax rate	52	40	34	33	32
VAT standard rate [2]	15.0	15.0	15.0	17.5	17.5

1. There were two tax brackets from April 1988 to March 1992.
2. VAT standard rate was increased to 17.5 per cent from 1 April 1991.

Source: Office for National Statistics; OECD, *The Tax/Benefit Position of employees*; International Bureau of Fiscal Documentation, European taxation (various issues).

BASIC STATISTICS:

INTERNATIONAL COMPARISONS

BASIC STATISTICS: INTERNATIONAL COMPARISONS

	Units	Reference period[1]	Australia	Austria	Belgium	Canada	Czech Republic	Denmark	Finland	France	Germany	Greece
Population												
Total	Thousands	1996	18 289	8 060	10 157	29 964	10 316	5 262	5 125	58 380	81 877	10 465
Inhabitants per sq. km	Number	1996	2	96	333	3	131	122	15	106	229	79
Net average annual increase over previous 10 years	%	1996	1.3	0.6	0.3	1.3	0	0.3	0.4	0.5	3	0.5
Employment												
Total civilian employment (TCE)[2]	Thousands	1996	8 344	3 737 (94)	3 675 (95)	13 676	4 918	2 593	2 087	21 951	35 360	3 824 (95)
of which: Agriculture	% of TCE	1996	5.1	7.2 (94)	2.5 (95)	4.1	6.3	4	7.1	4.6	3.3	20.4 (95)
Industry	% of TCE	1996	22.5	33.2 (94)	26.7 (95)	22.8	42	27	27.6	25.9	37.5	23.2 (95)
Services	% of TCE	1996	72.4	59.6 (94)	71.4 (95)	73.1	51.7	69	65.3	69.5	59.1	56.4 (95)
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1996	398.9	228.7	268.2	579.2	56.2	174.9	125.1	1 536.6	2 353.5	91.2 (95)
Per capita	US$	1996	21 812	28 384	26 409	19 330	5 445	33 230	24 420	26 323	28 738	8 722 (95)
At current prices using current PPPs[3]	Bill. US$	1996	372.7	172.4	222	645.1	..	118	96.7	1 198.6	1 736.1	133.5
Per capita	US$	1996	20 376	21 395	21 856	21 529	..	22 418	18 871	20 533	21 200	12 743
Average annual volume growth over previous 5 years	%	1996	3.9	1.6	1.2	2.2	2	2.2	1.6	1.2	1.4	1.3 (95)
Gross fixed capital formation (GFCF)	% of GDP	1996	20.3	23.8	17.3	17.7	33	16.7	16.1	17.4	20.6	17 (95)
of which: Machinery and equipment	% of GDP	1996	10.2 (95)	8.8 (95)	7.5 (95)	6.6	..	7.9 (95)	6.4 (95)	7.8	7.6	7.7 (95)
Residential construction	% of GDP	1996	4.6 (95)	5.9 (95)	4.6 (95)	5.4	..	3.2 (95)	3.5 (95)	4.4	7.3	3.3 (95)
Average annual volume growth over previous 5 years	%	1996	5.6	2.1	0.3	2.2	9.4	2	–4.1	–1.5	0.2	0.5 (95)
Gross saving ratio[4]	% of GDP	1996	18	21.9	22.2	17.8	..	17.6	19.6	18.7	20	16 (95)
General government												
Current expenditure on goods and services	% of GDP	1996	17	19.8	14.5	18.7	21.5	25.2	21.9	19.4	19.8	20.8 (95)
Current disbursements[5]	% of GDP	1995	35.6	48.6	52.2	45.8	..	59.6	55.9	50.9	46.6	52.1
Current receipts	% of GDP	1995	34.9	47.4	49.9	42.7	..	58.1	52.8	46.9	45.9	45
Net official development assistance	% of GNP	1995	0.36	0.33	0.38	0.38	..	0.96	0.32	0.55	0.31	0.13
Indicators of living standards												
Private consumption per capita using current PPPs[3]	US$	1996	12 596	12 152	13 793	12 959	..	12 027	10 282	12 506	12 244	9 473
Passenger cars, per 1 000 inhabitants	Number	1994	460	433	416	466	282	312	368	430	488	199
Telephones, per 1 000 inhabitants	Number	1994	496	466	449	576	209	604	551	547	483[8]	478
Television sets, per 1 000 inhabitants	Number	1993	489	479	453	618	476	538	504	412	559	202
Doctors, per 1 000 inhabitants	Number	1995	2.2 (91)	2.7	3.7 (94)	2.2	2.9	2.9 (94)	2.8	2.9	3.4	3.9 (94)
Infant mortality per 1 000 live births	Number	1995	5.7	5.4	7.6 (94)	6.3 (94)	7.7	5.5	4	5.8 (94)	5.3	8.1
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1996	1.7	5.2	2.7	2.4	..	3.2	3.8	2.6	4.2	11.8
Consumer prices	%	1996	2.4	2.9	2.2	1.4	11.9	1.9	1.5	2	3.1	11.6
Foreign trade												
Exports of goods, fob*	Mill. US$	1996	60 288	57 870	170 223[7]	202 320	21 910	51 030	40 576	288 450	521 263	11 501
As % of GDP	%	1996	15.1	25.3	63.5	34.9	39	29.2	32.4	18.8	22.1	12.9 (95)
Average annual increase over previous 5 years	%	1996	7.5	7.1	7.6	9.7	..	6.2	12.1	6.3	5.4	5.8
Imports of goods, cif*	Mill. US$	1996	61 374	67 376	160 917[7]	170 931	27 721	44 987	30 911	271 348	455 741	27 402
As % of GDP	%	1996	15.4	29.5	60	29.5	49.3	25.7	24.7	17.7	19.4	30.4 (95)
Average annual increase over previous 5 years	%	1996	9.7	5.9	5.9	7.7	..	5.6	7.3	3.9	3.3	6.6
Total official reserves[6]	Mill. SDRs	1996	10 107	15 901	11 789[7]	14 202	8 590	9 834	4 810	18 635	57 844	12 171
As ratio of average monthly imports of goods	Ratio	1996	2	2.8	0.9	1	..	2.6	1.9	0.8	1.5	5.3

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Including non-residential construction.
10. Refers to the public sector including public enterprises.

Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* Series A. Total official reserves: IMF, *International Financial Statistics.*

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Hungary	Iceland	Ireland	Italy	Japan	Korea	Luxembourg	Mexico	Netherlands	New Zealand
Population												
Total	Thousands	1996	10 193	270	3 621	57 473	125 864	45 545	418	96 582	15 494	3 640
Inhabitants per sq. km	Number	1996	77	3	52	191	333	458	161	48	380	14
Net average annual increase over previous 10 years	%	1996	–0.3	1.1	0.2	0	0.4	1	1.3	2	0.6	1.1
Employment												
Total civilian employment (TCE)[2]	Thousands	1996	3 605	142	1 307	20 036	64 860	20 764	212 (95)	32 385 (95)	6 983	1 688
of which: Agriculture	% of TCE	1996	8.4	9.2	10.7	7	5.5	11.6	2.8 (95)	23.5 (95)	3.9	9.5
Industry	% of TCE	1996	33	23.9	27.2	32.1	33.3	32.5	30.7 (90)	21.7 (95)	22.4	24.6
Services	% of TCE	1996	58.6	66.2	62.3	60.9	61.2	55.9	66.1 (90)	54.8 (95)	73.8	65.9
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1996	43.7 (95)	7.3	70.7	1 214.2	4 595.2	484.8	17	329.4	396	65.9
Per capita	US$	1996	4 273 (95)	27 076	19 525	21 127	36 509	10 644	40 791	3 411	25 511	18 093
At current prices using current PPPs[3]	Bill. US$	1996	..	6.3	68.8	1 148	2 924.5	618.5	13.5	751.1	324.5	63.6
Per capita	US$	1996	..	23 242	18 988	19 974	23 235	13 580	32 416	7 776	20 905	17 473
Average annual volume growth over previous 5 years	%	1996	–2.4 (95)	1.5	7.1	1	1.5	7.1	4.8	1.7	2.3	3.7
Gross fixed capital formation (GFCF)	% of GDP	1996	19.3 (95)	17.5	17.2	17	29.7	36.8	20.8	18	19.7	20.9
of which: Machinery and equipment	% of GDP	1996	..	6.7	5.5 (95)	8.8	10.1 (95)	13	..	8.8	9.4	10
Residential construction	% of GDP	1996	. .	3.9	4.9 (95)	4.5	5.3 (95)	7.6	..	4.7	5	5.6
Average annual volume growth over previous 5 years	%	1996	–0.9 (95)	–1.4	6	–1.4	1.3	6.9	0.2	–0.7	2.2	9.6
Gross saving ratio[4]	% of GDP	1996	..	15.6	21.7	20.5	31.4	34.2	37.5	22.7	25.7	16
General government												
Current expenditure on goods and services	% of GDP	1996	24.9 (95)	20.8	14.1	16.4	9.7	10.6	13.6	9.7[10]	14	14.4
Current disbursements[5]	% of GDP	1995	..	35.1	39.2 (94)	49.5	28.5	15.1	..	..	51.8	..
Current receipts	% of GDP	1995	..	36	39.3 (94)	44.5	32	25.1	..	..	50	..
Net official development assistance	% of GNP	1995	..	..	0.29	0.15	0.28	0.03	0.36	..	0.81	0.23
Indicators of living standards												
Private consumption per capita using current PPPs[3]	US$	1996	..	14 244	10 020	12 224	13 912	7 354	17 811	5 045	12 477	10 895
Passenger cars, per 1 000 inhabitants	Number	1994	212	434	264	517	342	115	544	91	383	457
Telephones, per 1 000 inhabitants	Number	1994	170	557	350	429	480	397	564	93	509	470
Television sets, per 1 000 inhabitants	Number	1993	427	335	301	429	618	215	261	150	491	
Doctors, per 1 000 inhabitants	Number	1995	3.4	3.9 (94)	3.4	3.0 (94)	1.7	1.6 (92)	1.8 (94)	1.1	2.2 (93)	1.6
Infant mortality per 1 000 live births	Number	1995	11	6.1	6.3	6.6 (94)	4.3	9	5.3 (94)	17 (94)	5.5	7.2 (94)
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1996	..	..	3.7	3.5	1.8	..	..	–1.6	2.4	1.5
Consumer prices	%	1996	23.2	2.6	2.2	4.5	0.7	5.3	2.4	19.7	2.5	2
Foreign trade												
Exports of goods, fob*	Mill. US$	1996	15 674	1 891	48 416	250 842	411 067	129 715	..	96 000	203 953	14 316
As % of GDP	%	1996	35.9	26	68.5	20.7	8.9	26.8	..	29.1	51.5	21.7
Average annual increase over previous 5 years	%	1996	8.9	4	14.8	8.2	5.5	12.5	..	17.6	8.9	8.2
Imports of goods, cif*	Mill. US$	1996	18 105	2 032	35 763	206 904	349 149	150 340	..	89 469	184 389	14 682
As % of GDP	%	1996	41.4	27.9	50.6	17	7.6	31	..	27.2	46.6	22.3
Average annual increase over previous 5 years	%	1996	9.6	3.4	11.5	2.5	8	13.9	..	12.4	7.8	11.8
Total official reserves[6]	Mill. SDRs	1996	6 812	316	5 706	31 954	150 663	23 670	..	13 514	18 615	4 140
As ratio of average monthly imports of goods	Ratio	1996	..	1.9	1.9	1.9	5.2	..	..	1.8	1.2	3.4

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Including non-residential construction.
10. Refers to the public sector including public enterprises.

Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* Series A. Total official reserves: IMF, *International Financial Statistics.*

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Norway	Poland	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States
Population											
Total	Thousands	1996	4 370	38 618	9 935	39 270	8 901	7 085	62 695	58 782	265 557
Inhabitants per sq. km	Number	1996	13	123	108	78	20	172	80	240	28
Net average annual increase over previous 10 years	%	1996	0.5	0.3	–0.1	0.2	0.6	0.8	2	0.3	1
Employment											
Total civilian employment (TCE)[2]	Thousands	1996	2 110	14 977	4 475	12 394	3 963	3 803	20 895	26 088	126 708
of which: Agriculture	% of TCE	1996	5.2	22.1	12.2	8.7	2.9	4.5	44.9	2	2.8
Industry	% of TCE	1996	23.4 (95)	31.7	31.4	29.7	26.1	27.7	22	27.4	23.8
Services	% of TCE	1996	71.5 (95)	46.2	56.4	61.6	71	67.4	33.1	71	73.3
Gross domestic product (GDP)											
At current prices and current exchange rates	Bill. US$	1996	157.8	117.9 (95)	103.6	584.9	251.7	294.3	181.5	1 153.4	7 388.1
Per capita	US$	1996	36 020	3 057 (95)	10 425	14 894	28 283	41 411	2 894	19 621	27 821
At current prices using current PPPs[3]	Bill. US$	1996	106.7	..	130.1	587.2	171.4	180.6	383.3	1 095.5	7 388.1
Per capita	US$	1996	24 364	..	13 100	14 954	19 258	25 402	6 114	18 636	27 821
Average annual volume growth over previous 5 years	%	1996	4.1	2.2 (95)	1.5	1.3	1	0.1	4.4	2.2	2.8
Gross fixed capital formation (GFCF)	% of GDP	1996	20.5	17.1 (95)	24.1	20.1	14.8	20.2	25	15.5	17.6
of which: Machinery and equipment	% of GDP	1996	8.4	..	11.7 (93)	6.1 (95)	7.9	9.3	11.9	7.6	8.3 (95)
Residential construction	% of GDP	1996	2.6 (94)	..	5.2 (93)	4.3 (95)	1.9	11[9]	8.4 (95)	3	4.1 (95)
Average annual volume growth over previous 5 years	%	1996	2.8	5.4 (95)	2.2	–1	–2.6	–0.8	6.9	1.3	6.9
Gross saving ratio[4]	% of GDP	1996	29.9	..	21.6	20.7	16	27.1	22.3	14.6	16.6
General government											
Current expenditure on goods and services	% of GDP	1996	20.5	16.9 (95)	18.5	16.3	26.2	14.3	11.6	21.1	15.6
Current disbursements[5]	% of GDP	1995	45.8	..	42.5 (93)	41.2	63.8	47.7	..	42.3 (94)	34.3
Current receipts	% of GDP	1995	50.9	..	39.8 (93)	37.9	57.5	53.8	..	37.2 (94)	32.1
Net official development assistance	% of GNP	1995	0.87	..	0.27	0.24	0.77	0.34	0.07	0.28	0.1
Indicators of living standards											
Private consumption per capita using current PPPs[3]	US$	1996	11 593	..	8 522	9 339	10 096	15 632	4 130	11 865	18 908
Passenger cars, per 1 000 inhabitants	Number	1994	381	186	357	351	406 (93)	451	47	372	565
Telephones, per 1 000 inhabitants	Number	1994	554	131	350	371	683	597	201	489	602
Television sets, per 1 000 inhabitants	Number	1993	427	298	190	400	470	400	176	435	816
Doctors, per 1 000 inhabitants	Number	1995	2.8	2.3	3	4.1 (93)	3.1	3.1 (94)	1.2	1.6 (94)	2.6 (94)
Infant mortality per 1 000 live births	Number	1995	4	13.6	7.4	6 (94)	4	5	46.8 (94)	6.2 (94)	8 (94)
Wages and prices (average annual increase over previous 5 years)											
Wages (earnings or rates according to availability)	%	1996	3.2	..	..	5.8	4.8	..	..	4.9	2.7
Consumer prices	%	1996	1.9	..	5.6	4.7	2.7	2.2	81.6	2.7	2.9
Foreign trade											
Exports of goods, fob*	Mill. US$	1996	49 576	24 417	24 614	102 067	84 836	79 581	23 301	259 941	625 075
As % of GDP	%	1996	31.4	20.7	23.8	17.5	33.7	27	12.8	22.5	8.5
Average annual increase over previous 5 years	%	1996	7.8	..	8.6	11.2	9	5.3	11.1	7	8.2
Imports of goods, cif*	Mill. US$	1996	35 575	37 185	35 192	121 838	66 825	78 052	43 094	287 033	795 289
As % of GDP	%	1996	22.5	31.5	34	20.8	26.5	26.5	23.7	24.9	10.8
Average annual increase over previous 5 years	%	1996	6.9	..	6.1	5.5	6	3.2	15.1	6.5	10.3
Total official reserves[6]	Mill. SDRs	1996	18 441	12 409	11 070	40 284	13 288	26 727	11 430	27 745	44 536
As ratio of average monthly imports of goods	Ratio	1996	6.2	..	3.8	4	2.4	4.1	3.2	1.2	0.7

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Including non-residential construction.
10. Refers to the public sector including public enterprises.

Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* Series A. Total official reserves: IMF, *International Financial Statistics.*

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